

11. FINANCIAL INFORMATION

11.1 HISTORICAL FINANCIAL INFORMATION

Our Group's historical audited financial information comprises the combined statements of financial position, combined statements of comprehensive income and combined statements of cash flows for the Financial Period Under Review. The historical financial information has been prepared in accordance with MFRS and IFRS and were not subject to any audit qualification.

The following financial information should be read in conjunction with the Management's Discussion and Analysis of Results of Operations and Financial Condition set out in Section 11.2 and Accountants' Report included in Section 12 of this Prospectus.

11.1.1 Combined statements of comprehensive income

The following table sets out a summary of our Group's audited combined statements of comprehensive income for the Financial Period Under Review as well as the unaudited combined statements of comprehensive income for FPE 2025, which was extracted from the Accountants' Report set out in Section 12 of this Prospectus.

	Audited				Unaudited	Audited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Revenue	104,980	73,784	88,814	108,944	31,557	22,554
Cost of sales	(82,042)	(57,391)	(71,996)	(82,909)	(23,290)	(17,068)
GP	22,938	16,393	16,818	26,035	8,267	5,486
Other income	8,512	8,777	3,169	602	113	405
Administrative and other operating expenses	(8,814)	(11,046)	(9,012)	(12,748)	(3,717)	(2,634)
Profit from operations	22,636	14,124	10,975	13,889	4,663	3,257
Finance costs	(525)	(511)	(889)	(963)	(228)	(231)
Finance income	2	97	117	123	36	32
Share of result of associates	381	-	(623)	(983)	302	(39)
PBT	22,494	13,710	9,580	12,066	4,773	3,019
Taxation	(2,009)	(697)	(337)	(870)	(414)	(778)
PAT	20,485	13,013	9,243	11,196	4,359	2,241

11. FINANCIAL INFORMATION (Cont'd)

	Audited				Unaudited	Audited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Foreign currency translation differences for foreign operation	298	1,026	(383)	(1,157)	(122)	(36)
Share of other comprehensive income/(loss) of investment in associates	-	-	267	(292)	(31)	19
Total comprehensive income	20,783	14,039	9,127	9,747	4,206	2,224
Adjusted PBT ⁽¹⁾	14,608	5,881	8,753	12,066	4,773	3,019
Adjusted PAT ⁽¹⁾	12,599	5,184	8,416	11,196	4,359	2,241
EBIT ⁽²⁾	23,017	14,124	10,352	12,906	4,965	3,218
EBITDA ⁽²⁾	25,744	17,568	12,997	15,595	5,819	3,982
GP margin (%) ⁽³⁾	21.8	22.2	18.9	23.9	26.2	24.3
PBT margin (%) ⁽⁴⁾	21.4	18.6	10.8	11.1	15.1	13.4
PAT margin (%) ⁽⁴⁾	19.5	17.6	10.4	10.3	13.8	9.9
Adjusted PBT margin (%)	13.9	8.0	9.9	11.1	15.1	13.4
Adjusted PAT margin (%)	12.0	7.0	9.5	10.3	13.8	9.9
Basic EPS (sen) ⁽⁵⁾	4.81	3.06	2.17	2.63	1.02	0.53
Diluted EPS (sen) ⁽⁶⁾	3.59	2.28	1.62	1.96	0.76	0.39

11. FINANCIAL INFORMATION (Cont'd)

Notes:

- (1) Our Group recorded patent income arising from Anhui Automation for the rights to manufacture, market and sell certain licensed products of our Group in China, gain on disposal of investment in a subsidiary, dividend income, gain on disposal of intangible assets, gain on bargain purchase and one-off referral fees. Hence, the adjusted PBT and PAT excluding the aforementioned other income for the Financial Period Under Review and FPE 2025 are as follows:

	Audited				Unaudited	Audited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
PBT	22,494	13,710	9,580	12,066	4,773	3,019
Less:						
Patent income ^(a)	(4,155)	(2,097)	-	-	-	-
Gain on disposal of investment in a subsidiary ^(b)	(2,697)	-	(110)	-	-	-
Dividend income ^(c)	(1,034)	-	-	-	-	-
Gain on disposal of intangible assets ^(d)	-	(4,589)	-	-	-	-
Gain on bargain purchase ^(e)	-	(1,143)	-	-	-	-
One-off referral fees ^(f)	-	-	(717)	-	-	-
Adjusted PBT	14,608	5,881	8,753	12,066	4,773	3,019
Taxation	(2,009)	(697)	(337)	(870)	(414)	(778)
Adjusted PAT	12,599	5,184	8,416	11,196	4,359	2,241

Sub-notes:

- (a) Patent income was derived from a patent licence agreement between BHT and Anhui Automation where BHT granted a non-exclusive licence to Anhui Automation for the rights to manufacture, market and sell the abatement systems covered by the licensed patents in China.
- (b) Refers to disposal of SIW Taiwan and Kaisu in December 2022 and May 2024 respectively.
- (c) Refers to dividend received from Kaisu.

11. FINANCIAL INFORMATION (Cont'd)

- (d) Gain on disposal of intangible assets was derived from a patent purchase and assignment agreement between SIW Engineering and Anhui Automation where SIW Engineering transferred all its rights, titles and interests in the intellectual properties registered in China to Anhui Automation; and a patent purchase and assignment agreement between BHT and Anhui Automation supplemented by a trademark assignment agreement where BHT transferred all its rights, titles and interests in the intellectual properties registered in China to Anhui Automation.
- (e) Refers to the difference between the purchase consideration of RM0.03 million and our Group share's NA position of Kaisu of RM1.18 million (proportioned to the increase in equity interest) pursuant to the Acquisition of Kaisu.
- (f) Refers to one-off referral fees received from Anhui Automation.

- (2) EBIT and EBITDA are calculated as follows:

	Audited				Unaudited	Audited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
PAT	20,485	13,013	9,243	11,196	4,359	2,241
Less: Finance income	(2)	(97)	(117)	(123)	(36)	(32)
Add:						
Finance costs	525	511	889	963	228	231
Taxation	2,009	697	337	870	414	778
EBIT	23,017	14,124	10,352	12,906	4,965	3,218
Add: Depreciation	2,577	2,819	2,584	2,356	563	746
Amortisation	150	625	61	333	291	18
EBITDA	25,744	17,568	12,997	15,595	5,819	3,982

- (3) Calculated based on GP over revenue.
- (4) Calculated based on respective PBT and PAT over revenue.
- (5) Calculated based on PAT over share capital of 425,658,000 Shares after completion of the Acquisition of SIW Manufacturing but before our IPO.
- (6) Calculated based on PAT over enlarged share capital of 571,354,000 Shares after our IPO.

11. FINANCIAL INFORMATION (Cont'd)

11.1.2 Combined statements of financial position

The following table sets out a summary of our Group's audited combined statements of financial position for the Financial Period Under Review, which was extracted from the Accountants' Report set out in Section 12 of this Prospectus.

	Audited				
	As at 31 December				As at 31 March
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Non-current assets					
Property, plant and equipment	6,344	5,175	16,588	17,512	16,983
Right-of-use assets	1,361	907	357	153	96
Intangible assets	928	520	429	259	250
Investment in associates	392	-	5,924	4,683	4,663
Other investments	1,219	1,298	1,307	1,220	1,223
Deferred tax assets	-	100	54	511	1,147
	10,244	8,000	24,659	24,338	24,362
Current assets					
Inventories ⁽²⁾	26,527	26,876	41,809	38,453	47,907
Trade and other receivables ⁽³⁾	25,165	18,994	26,990	27,124	26,155
Contract assets	30	-	-	-	-
Current tax assets	-	340	452	458	-
Cash and bank balances	9,924	10,819	8,978	8,338	12,871
	61,646	57,029	78,229	74,373	86,933
TOTAL ASSETS	71,890	65,029	102,888	98,711	111,295
Equity					
Share capital	-	(1) -	(1) -	(1) -	(1) -
Invested equity	1,500	1,500	1,500	1,500	1,500
Reserves	30,640	36,183	45,311	55,058	57,282
TOTAL EQUITY	32,140	37,683	46,811	56,558	58,782

11. FINANCIAL INFORMATION (Cont'd)

	Audited				As at 31 March 2026 RM'000
	As at 31 December				
	2022	2023	2024	2025	
	RM'000	RM'000	RM'000	RM'000	
Non-current liabilities					
Borrowings	5,842	3,135	11,008	11,241	10,954
Lease liabilities	795	397	88	4	-
Deferred tax liabilities	340	14	14	12	12
	6,977	3,546	11,110	11,257	10,966
Current liabilities					
Trade and other payables ⁽⁴⁾	23,620	17,251	35,051	20,306	25,545
Borrowings	4,516	3,340	6,620	7,726	8,237
Lease liabilities	674	541	285	156	100
Contract liabilities	1,082	573	1,005	704	5,625
Refund liabilities	1,295	574	1,713	1,807	903
Current tax liabilities	1,586	1,521	293	197	1,137
	32,773	23,800	44,967	30,896	41,547
TOTAL LIABILITIES	39,750	27,346	56,077	42,153	52,513
TOTAL EQUITY AND LIABILITIES	71,890	65,029	102,888	98,711	111,295

Notes:

- (1) Represents amount less than RM1,000.
- (2) The breakdown of inventories by business segments are as follows:

	31 December				31 March
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
UHP segment	24,249	21,919	24,216	21,081	26,260
Abatement segment	2,278	4,957	^(a) 17,593	17,372	^(b) 21,647
	26,527	26,876	41,809	38,453	47,907

11. FINANCIAL INFORMATION (Cont'd)**Sub-note:**

- (a) The increase was mainly due to the higher raw materials purchased following the large orders which primarily secured from Customer F, as well as building up our inventory to reduce our purchase lead time. In addition, the increase was also attributable to higher proportion of work-in-progress inventories which have yet to be completed and finished goods which pending for delivery to our customers.
- (b) The increase was mainly due to higher inventories held in preparation for subsequent orders from our major customer, Customer F, which were scheduled for delivery after FPE 2026. As at 31 March 2026, inventories held for Customer F amounted to RM6.88 million, comprising RM3.60 million of raw materials held in preparation for subsequent orders, RM2.71 million of work-in-progress inventories yet to be completed and RM0.57 million of finished goods pending for delivery.
- (3) The breakdown of trade and other receivables are as follows:

	31 December				31 March
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Trade receivables	12,737	12,581	21,341	23,691	21,820
Other receivables	12,428	^(a) 6,413	^(b) 5,649	^(c) 3,433	^(d) 4,335
	25,165	18,994	26,990	27,124	26,155

Sub-notes:

- (a) The decrease was mainly due to the repayment from our Managing Director, Chan Chee Wei in relation to advances provided to him for working capital in Eco Research and repayment from Anhui Automation in relation to one-off licensing fee, annual royalties and assignment of intellectual property rights.
- (b) The decrease was mainly due to the repayment from Anhui Automation in relation to one-off referral fees for the sales of abatement systems, repayment from SIW Taiwan in relation to advances provided during the period when it was a subsidiary of SIW Engineering, repayment from our Managing Director, Chan Chee Wei, in relation to advances provided to him for working capital in Eco Research, as well as the capitalisation of non-refundable deposits following the completion of acquisition of Simpang Ampat Factory.
- (c) The decrease was mainly due to the repayment from Anhui Automation in relation to annual royalties of intellectual property rights and provision of technical assistance.
- (d) The increase was mainly due to prepayments made for our Listing exercise.

11. FINANCIAL INFORMATION (Cont'd)

(4) The breakdown of trade and other payables are as follows:

	31 December				31 March
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Trade payables	18,196	12,664	^(d) 25,075	13,387	^(e) 18,665
Other payables	5,424	^(a) 4,587	^(b) 9,976	^(c) 6,919	6,880
	23,620	17,251	35,051	20,306	25,545

Sub-notes:

- (a) The decrease was mainly due to the payment of dividends declared for FYE 2022, as well as lower sundry payable balances mainly due to payments made to suppliers and service providers primarily for the purchase of gases used in operations and hiring of temporary workers.
- (b) The increase was mainly due to the amount due to a related party, namely Eco Research, in relation to the Investment in Anhui Automation, as well as higher sundry payable balances mainly arising from the hiring of temporary workers, cleaning of our precision engineering components, purchase of gases used in operations, and freight charges.
- (c) The decrease was mainly due to the repayment to a related party, namely Eco Research, in relation to the Investment in Anhui Automation.
- (d) The increase was mainly due to higher purchases from our major suppliers, namely Singafluid and Anhui Group, during FYE 2024.
- (e) The increase was mainly due to higher purchases from our major suppliers, namely Ham-Let Singapore Valves & Fittings Pte Ltd, Fujikin Singapore Pte Ltd and Pfeiffer Vacuum Malaysia Sdn Bhd, during FPE 2026.

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11. FINANCIAL INFORMATION (Cont'd)

11.1.3 Combined statements of cash flows

The following table sets out a summary of our Group's audited combined statements of cash flows for the Financial Period Under Review, which was extracted from the Accountants' Report set out in Section 12 of this Prospectus.

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Cash flows from operating activities					
PBT	22,494	13,710	9,580	12,066	3,019
<u>Adjustments for:</u>					
Accretion of interest on lease liabilities	104	50	41	15	2
Amortisation of intangible assets	150	625	61	333	18
Deposit forfeited	-	1	-	50	-
Depreciation of property, plant and equipment	1,788	2,069	2,041	2,028	690
Depreciation of right-of-use assets	789	750	543	328	56
Dividend income	(1,034)	-	-	-	-
Gain on bargain purchase	-	(1,143)	-	-	-
Gain on lease remeasurement	-	(41)	-	-	-
Gain on disposal of intangible assets	-	(4,589)	-	-	-
Gain on disposal of investment in a subsidiary	(2,697)	-	(110)	-	-
Intangible assets written off	-	-	19	-	-
Interest expenses	421	461	848	948	229
Interest income	(2)	(97)	(117)	(123)	(32)
Inventories written off	-	2,138	-	-	-
Loss on disposal of property, plant and equipment	-	-	-	8	-
Property, plant and equipment written off	30	-	-	306	-
Share of results of associates	(381)	-	623	983	39
Unrealised (gain)/loss on foreign exchange, net	(134)	1,264	(17)	28	475
Operating profit before changes in working capital	21,528	15,198	13,512	16,970	4,496

11. FINANCIAL INFORMATION (Cont'd)

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Changes in working capital:					
Inventories	(17,298)	(2,487)	(15,277)	3,701	(9,454)
Receivables	10,719	380	(7,208)	(2,593)	1,339
Payables	188	(5,655)	6,679	(2,829)	4,816
Associates ⁽²⁾	-	-	5,512	(6,121)	(85)
Contract assets	(30)	30	-	-	-
Contract liabilities	1,082	(509)	432	(301)	4,921
Refund liabilities	1,295	(721)	1,139	113	(904)
Cash from operations	17,484	6,236	4,789	8,940	5,129
Income tax paid	(790)	(2,050)	(1,635)	(1,362)	(484)
Income tax refunded	-	-	-	-	450
Interest paid	(421)	(461)	(848)	(948)	(229)
Interest received	2	97	117	123	32
Net cash from operating activities	16,275	3,822	2,423	6,753	4,898
Cash flows from investing activities					
Dividend received	1,034	-	-	-	-
Investment in associates	-	-	(1,836)	(4,478)	-
Net cash inflow arising from acquisition of a subsidiary	-	1,929	-	-	-
Net cash (outflow)/inflow arising from disposal of a subsidiary	(411)	-	677	-	-
Placement of fixed deposits	-	-	(208)	(256)	(65)
Proceeds from disposal of intangible assets	-	4,589	-	-	-
Proceeds from disposal of property, plant and equipment	-	-	-	30	-
Acquisition of intangible assets	(599)	-	-	(197)	(9)
Purchase of property, plant and equipment	(614)	(385)	(13,456)	(3,079)	(163)
Net cash (used in)/from investing activities	(590)	6,133	(14,823)	(7,980)	(237)

11. FINANCIAL INFORMATION (Cont'd)

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Cash flows from financing activities					
Proceeds from issuance of shares	-	(1) -	(1) -	-	-
Dividend paid	(2,433)	(9,374)	(1,000)	-	-
Net change in a Director's account	(6,388)	5,216	1,176	7	-
Net change in associates' balances	205	-	-	-	-
Net change in bankers' acceptances	(408)	(1,518)	4,037	2,576	471
Repayment of hire purchases	(352)	(567)	(629)	(577)	(149)
Drawdown of term loans	-	-	10,638	1,138	-
Repayment of term loans	(1,903)	(2,337)	(2,894)	(2,032)	(98)
Payment of lease liabilities	(880)	(788)	(594)	(352)	(60)
Net cash (used in)/from financing activities	(12,159)	(9,368)	10,734	760	164
Net increase/(decrease) in cash and cash equivalents	3,526	587	(1,666)	(467)	4,825
Effect of foreign exchange rates changes	67	308	(384)	(428)	(358)
Cash and cash equivalents as at beginning of financial year/period	6,331	9,924	10,819	8,769	7,874
Cash and cash equivalents as at end of financial year/period	9,924	10,819	8,769	7,874	12,341

Notes:

- (1) Represents amount less than RM1,000.
- (2) Mainly arising from purchases and payments made to Anhui Group for the procurement of components and modules of abatement systems.

11. FINANCIAL INFORMATION (Cont'd)**11.2 MANAGEMENT'S DISCUSSION AND ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION**

The following management's discussion and analysis of our Group's results of operations and financial condition for the Financial Period Under Review should be read in conjunction with our combined financial statements and the accompanying notes as set out in the Accountants' Report included in Section 12 of this Prospectus.

This discussion and analysis contain data derived from our combined financial statements as well as forward-looking statements that reflect our views with respect to future events and our future financial performance. Actual events and results may differ significantly from those anticipated in these forward-looking statements as a result of a number of factors, including those set forth under Risk Factors in Section 8 of this Prospectus.

11.2.1 Overview of our business operations**(i) Principal activities**

Our Group is principally involved in the provision of industrial solutions for the pan-semiconductor industry, comprising the ultra-high purity fabrication of precision engineering components and sub-assembly modules, as well as the R&D, customisation, assembly, installation, testing, commissioning and maintenance of abatement systems.

Our principal activities can be divided into 2 main business segments, namely UHP segment and abatement segment.

Please refer to Section 6.5 of this Prospectus for our Group's detailed business overview.

(ii) Revenue

Revenue for the Financial Period Under Review is mainly derived from the following 2 reportable business segments:

Business segment	Description	Basis for revenue recognition
UHP segment	Our Group fabricates metal and plastic parts and performs welding for components used in the assembly of ultra-high purity fluid processing solutions. We also produce sub-assembly modules to meet the requirements and specifications of our customers in the pan-semiconductor industry.	Revenue is recognised at a point in time upon the delivery of goods to customers and there is no unfulfilled obligation that could affect the customers' acceptance of the goods.
	Please refer to Section 6.5.1.1 of this Prospectus for further details on our UHP segment.	

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Business segment	Description	Basis for revenue recognition
Abatement segment	Our Group designs, develops, customises, assemblies, installs, tests, commissions and maintains abatement systems, which are used to capture, treat and neutralise harmful gases emitted during manufacturing processes. Our abatement segment can be further segregated into 2 sub-segments: (i) Development and maintenance of abatement systems; and (ii) Sale of abatement modules and components. Please refer to Section 6.5.1.2 of this Prospectus for further details on our abatement segment.	Revenue is recognised at a point in time upon the delivery of goods and services to customers and there is no unfulfilled obligation that could affect the customers' acceptance of the goods and services.

(iii) Cost of sales

Our cost of sales mainly consists of purchase of materials consumed, staff costs, depreciation expenses, direct labour cost and chemical cleaning expenses as follows:

(a) Purchase of materials consumed**(i) UHP segment**

Our Group's materials consumed for UHP segment mainly consist of fitting connectors, tubing and precision parts. We generally purchase materials based on our customer's requirements, which may include specific brands of materials to be used. These materials are mainly sourced from overseas suppliers.

(ii) Abatement segment

Our Group's materials consumed for abatement segment consist of modules and components, which are mainly comprising electronic parts, mechanical parts and metal parts.

Our selection and purchase of materials are generally based on the specification of abatement systems required to be developed. These materials are widely available and are mainly sourced from overseas suppliers. Our suppliers are selected based on pricing, product quality, availability and lead time for delivery. Whilst we have maintained long-term business relationship with our existing suppliers, we also source for materials from new suppliers, if the need arises.

11. FINANCIAL INFORMATION (Cont'd)

(b) Staff costs

Our staff costs mainly consist of wages and statutory contributions paid to our staff whom are directly involved in both our UHP and abatement segments.

(c) Depreciation expenses

Our depreciation expenses relate to depreciation charged on the property, plants and equipment directly used in our operations in both UHP and abatement segments.

(d) Direct labour cost

We engage temporary workers to carry out some of the non-core process as and when required. These temporary workers are mainly assisting in non-core process such as cleaning of equipment, picking, packaging and labelling.

(e) Chemical cleaning expenses

Our chemical cleaning expenses relate to the use of cleaning agents and solutions in our UHP segment to remove surface contaminants, such as particles, ionic residues and certain hydrocarbons from the precision engineering components.

(iv) Other income

Other income mainly consists of patent income, gain on disposal of investment in a subsidiary, dividend income, gain on foreign exchange, gain on disposal of intangible assets and gain on bargain purchase.

(v) Administrative and other operating expenses

Administrative and other operating expenses mainly consist of staff costs, commission, loss on foreign exchange, Directors' remuneration, depreciation and amortisation, as well as withholding tax.

(vi) Finance costs

Finance costs consist of interest expenses on bankers' acceptances, hire purchases and term loans, as well as the accretion of interest on lease liabilities.

(vii) Finance income

Finance income refers to the interest income generated from interest-bearing current accounts, fixed deposits with a licensed bank and keyman insurance.

11. FINANCIAL INFORMATION (Cont'd)

(viii) Recent development

Save as disclosed below, there were no other significant events subsequent to our Group's audited combined financial statements for FPE 2026:

- (i) On 27 November 2025, EcoSys has entered into a conditional share sale agreement with Chan Chee Wei and Solarvest to acquire the entire equity interest in SIW Manufacturing comprising 1,500,000 ordinary shares for a total purchase consideration of RM46,822,369 which was satisfied via the issuance of 425,657,900 new Shares at an issue price of RM0.11 per Share. The new Shares issued under the acquisition rank equally in all respects with existing Shares. The Acquisition was completed on 15 July 2026.

(ix) Exceptional and extraordinary items and audit qualifications

There were no exceptional or extraordinary items during Financial Period Under Review. In addition, our audited financial statements for the Financial Period Under Review were not subjected to any audit qualifications.

11.2.2 Significant factors affecting our business

Section 8 of this Prospectus details a number of risk factors relating to our business and industry in which we operate in. Some of these risk factors have an impact on our Group's revenue and financial performance. The main factors which affect revenue and profits include but are not limited to the following:

(i) We are dependent on 2 major customers

We are dependent on 2 major customers, namely Customer A and Customer B, that collectively contributed 60.5%, 54.7%, 61.5%, 52.8% and 53.8% of our Group's revenue during the Financial Period Under Review.

Customer A and Customer B are key participants in the pan-semiconductor industry, involved in front-end wafer processing equipment and high-precision electronic assemblies respectively. Customer B is also a contract manufacturer for Customer A. However, we are not able to ascertain the portion of our sales to Customer B which is attributable to Customer A. We provide ultra-high purity fabrication of precision engineering components and sub-assembly modules to these 2 major customers.

As at LPD, we do not enter into any long-term agreements with these 2 major customers. Our sales from these major customers are transacted on a purchase orders basis. Our ability to continue securing purchase orders from these major customers are dependent on several factors including, among others, our ability to consistently meet their specification and requirements, competitive pricing, timely delivery of products, as well as continued customer service.

Given the highly specialised and cyclical nature of the semiconductor industry, any reduction in orders, change in procurement strategy or adverse market developments affecting these customers could materially impact our financial performance. If we experience lower purchase orders and/or a loss of any of these major customers, and we are not able to replace them with new customers or with additional orders from other existing customers in a timely manner, we may experience a loss in revenue. This will adversely affect our business and financial performance.

11. FINANCIAL INFORMATION (Cont'd)**(ii) We are exposed to risk of fluctuation of foreign exchange rate**

During the Financial Period Under Review, our sales transactions with customers denominated in foreign currencies accounted for 100.0%, 100.0%, 99.1%, 99.7% and 99.4% of our total revenue, respectively. Meanwhile, our purchases denominated in foreign currencies accounted for 99.5%, 99.2%, 96.6%, 97.0% and 97.4% of our total purchases, respectively. Accordingly, we are exposed to fluctuations in foreign exchange rates arising from both our sales and purchases.

A depreciation of the RM against the currencies in which we transact will lead to higher purchase cost as well as higher revenue in RM after conversion. Conversely, appreciation of the RM against the currencies in which we transact will lead to a lower purchase cost but lower revenue in RM after conversion. Although we maintain foreign currency accounts to settle payments of the same currency where possible, we remain exposed to foreign currency exchange gains or losses arising from timing differences between the issuance of invoices and the actual receipt of payments from customers or settlement of payments to suppliers.

We currently do not use any financial instrument to hedge our exposure against transactions in foreign currency. Therefore, any unfavourable fluctuations in these foreign exchange rates may have an adverse impact on our financial performance and profitability.

(iii) We are exposed to fluctuations in the prices of raw materials

Our operations, particularly in the fabrication of precision engineering components and the manufacturing of abatement systems, rely on a steady supply of materials and supplies. Among the materials and supplies used in our operations are fitting connectors, tubing, precision parts, as well as modules and components mainly comprising electronic parts, mechanical parts and metal parts.

The prices of these raw materials are subject to fluctuations driven by global supply and demand dynamics, foreign exchange movements and geopolitical uncertainties such as tariffs imposed by governments in the countries where these materials are produced. In addition, most of our raw materials are sourced from overseas suppliers, which exposes us to risks of extended lead times, logistics delays and supply chain disruptions.

Any unfavourable changes in conditions of the above factors may result in an increase in the prices of raw materials thus resulting in an increase in purchase cost. As such, in the event that we may not be able to pass on such cost increase to our customers, our Group would be required to bear the increase in cost which will adversely affect our financial performance.

In addition to the risk factors set out in Section 8 of this Prospectus, our subsidiary, SIW Manufacturing, was granted Pioneer Status for a period of 5 years from December 2020 to November 2025. Pursuant to this Pioneer Status, SIW Manufacturing has been benefitted from 70.0% exemption from income tax on its statutory income arising from promoted activities for the production of waste gas abatement machine and integrated gas system and related modules and components for semiconductor industry during the relevant period. The effective tax rates of our Group for the Financial Period Under Review were 8.9%, 5.1%, 3.5% 7.2% and 25.8% respectively. For illustration purposes, the comparison on our Group's PAT for the Financial Period Under Review based on the scenario of with and without tax incentives enjoyed by SIW Manufacturing is as follows:

11. FINANCIAL INFORMATION (Cont'd)

	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
With tax incentives for the Financial Period Under Review					
PBT	22,494	13,710	9,580	12,066	3,019
Tax expenses	(2,009)	(697)	(337)	(870)	(778)
PAT	20,485	13,013	9,243	11,196	2,241
PAT margin (%)	19.5	17.6	10.4	10.3	9.9
Effective tax rate (%)	8.9	5.1	3.5	7.2	25.8
Without tax incentives for the Financial Period Under Review					
PBT	22,494	13,710	9,580	12,066	3,019
Tax expenses	(4,326)	(1,780)	(2,323)	(3,251)	(778)
PAT	18,168	11,930	7,257	8,815	2,241
PAT margin (%)	17.3	16.2	8.2	8.1	9.9
Effective tax rate (%)	19.2	13.0	24.2	26.9	25.8
Impact of operating cash flows for the Financial Period Under Review without tax incentives					
Net cash flows from/(used in) operating activities	16,275	3,822	2,423	6,753	4,898
Additional income tax to be paid (without tax incentive)	(2,317)	(1,083)	(1,986)	(2,381)	-
Adjusted net cash flows from/(used in) operating activities	13,958	2,739	437	4,372	4,898

It is nonetheless not our Group's intention to pursue for the extension of Pioneer Status upon its expiry as certain requirements, such as meeting MIDA's prescribed thresholds of at least 40.0% for value-added contributions in purchase of raw materials (without sub-assembled and ancillary engineering works), may restrict our Group's sourcing flexibility for semi or fully assembled components.

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11. FINANCIAL INFORMATION (Cont'd)

11.2.3 Review of results of our business operations

(i) Revenue

Analysis of revenue by business segments

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
UHP segment ⁽¹⁾	78,022	74.3	50,202	68.0	61,557	69.3	62,976	57.8	18,420	58.4	12,889	57.1
<u>Abatement segment</u>												
• Abatement systems	21,024	20.0	19,456	26.4	23,510	26.5	43,129	39.6	12,743	40.4	8,473	37.6
• Modules and components	5,934	5.7	4,126	5.6	3,747	4.2	2,839	2.6	394	1.2	1,192	5.3
	26,958	25.7	23,582	32.0	27,257	30.7	45,968	42.2	13,137	41.6	9,665	42.9
Total	104,980	100.0	73,784	100.0	88,814	100.0	108,944	100.0	31,557	100.0	22,554	100.0

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11. FINANCIAL INFORMATION (Cont'd)

Analysis of revenue by geographical locations

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Malaysia	32,937	31.4	20,054	27.2	24,385	27.5	29,646	27.2	9,567	30.3	6,513	28.9
Overseas												
• Singapore	59,229	56.4	36,082	48.9	47,176	53.1	36,088	33.1	9,981	31.6	7,005	31.1
• India	-	-	-	-	6,321	7.1	38,216	35.1	11,339	36.0	6,696	29.7
• US	2,328	2.2	4,418	6.0	5,431	6.1	3,916	3.6	565	1.8	1,266	5.6
• Taiwan	3,493	3.3	3,673	5.0	4,758	5.4	724	0.7	72	0.2	126	0.6
• China	5,430	5.2	6,949	9.4	495	0.6	144	0.1	10	(2) -	11	(2) -
• Others ⁽³⁾	1,563	1.5	2,608	3.5	248	0.2	210	0.2	23	0.1	937	4.1
	72,043	68.6	53,730	72.8	64,429	72.5	79,298	72.8	21,990	69.7	16,041	71.1
Total	104,980	100.0	73,784	100.0	88,814	100.0	108,944	100.0	31,557	100.0	22,554	100.0

Notes:

- (1) Revenue contributed from precision engineering components and sub-assembly modules to our Group's revenue in UHP segment during Financial Period Under Review is disclosed in table below. The sub-assembly modules, which consist of precision engineering components, were undertaken by our Group on an ad-hoc basis as requested by customers and offered as part of the total solution offerings in UHP segment. As such, the segmentation by precision engineering components and sub-assembly modules would not be meaningful.

	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	%	%	%	%	%	%
Precision engineering components	98.6	98.6	99.0	100.0	100.0	100.0
Sub-assembly modules	1.4	1.4	1.0	-	-	-

- (2) Represents less than 0.1%.
- (3) Consists of, among others, Japan, South Korea and Netherlands. The increase in FPE 2026 was attributable to higher revenue generated from the sales of abatement systems and maintenance parts to Customer K in South Korea.

11. FINANCIAL INFORMATION (*Cont'd*)

During FYE 2022 and FYE 2023, our Group's revenue was mainly derived from SIW Engineering (FYE 2022: 67.1% and FYE 2023: 52.1%) and EcoSys PLT (FYE 2022: 22.3% and FYE 2023: 29.3%). During FYE 2024, FYE 2025 and FPE 2026, our Group's revenue was mainly derived from SIW Manufacturing (FYE 2024: 45.7%, FYE 2025: 68.4% and FPE 2026: 66.8%) and SIW Engineering (FYE 2024: 40.3%, FYE 2025: 27.9% and FPE 2026: 26.8%).

Our revenue was mainly derived from the UHP segment which contributed 57.1% to 74.3% of our total revenue during the Financial Period Under Review. On the other hand, revenue from abatement segment contributed between 25.7% to 42.9% during the Financial Period Under Review.

Our revenue was mainly derived from overseas market, which accounted for 68.6% to 72.8% of our total revenue for the Financial Period Under Review, with Singapore and India being the major revenue contributors mainly derived from 2 major customers located in Singapore, namely Customer A and Customer C, as well as 5 major customers located in India, namely Customer F, Customer G, Customer H, Customer I and Customer J. Meanwhile, revenue derived from Malaysia accounted for 27.2% to 31.4% of our total revenue for the Financial Period Under Review. Our sales are primarily denominated in USD.

Generally, we secure sales through referrals from existing customers, distributors and sales representatives in different geographical regions. We also engage with our customers through user group meetings, industry networking events as well as trade exhibitions and events. Our revenue from abatement segment is not recurring in nature, as it depends on our customers' demand, arising from upgrading of their existing facilities or expansion of their manufacturing capacities. On the other hand, revenue from our UHP segment is generally more consistent as the precision engineering components and sub-assembly modules are regularly used in the pan-semiconductor industry.

Comparison between FYE 2022 and FYE 2023

Our Group's revenue decreased by RM31.20 million or 29.7% from RM104.98 million in FYE 2022 to RM73.78 million in FYE 2023. Approximately 68.0% of our revenue in FYE 2023 was derived from our UHP segment. The decrease in our overall revenue during FYE 2023 was due to lower revenue generated from both our UHP and abatement segments, which decreased by 35.7% and 12.5% respectively.

During FYE 2023, 72.8% of our revenue was derived from overseas customers, primarily located in Singapore, China, US and Taiwan, representing 48.9%, 9.4%, 6.0% and 5.0% of our Group's total revenue respectively, while the remaining 27.2% was derived from Malaysia.

Revenue from Singapore and Malaysia decreased by RM23.15 million and RM12.88 million respectively, mainly due to decrease in orders from a few major customers, including Customer A, Customer B, Customer C and Customer D. Nevertheless, such decrease was partially offset by the increase in revenue from US and China by RM2.09 million and RM1.52 million respectively mainly due to higher orders secured from our distributors.

11. FINANCIAL INFORMATION *(Cont'd)*

UHP segment

We provide ultra-high purity fabrication services for precision engineering components as well as sub-assembly modules used within the pan-semiconductor industry. As fabrication is carried out according to individual customer's specifications, component designs and requirements may vary across different orders. Therefore, the selling price of our products is determined and negotiated on a case-by-case basis, influenced by factors such as complexity of the design provided by customer, materials, quantity and delivery lead time.

Revenue from our UHP segment decreased by RM27.82 million or 35.7% from RM78.02 million in FYE 2022 to RM50.20 million in FYE 2023, mainly attributable to lower revenue generated from the following major customers:

- (i) Customer A which decreased by RM13.97 million or 35.3% in FYE 2023;
- (ii) Customer B which decreased by RM9.27 million or 38.7% in FYE 2023; and
- (iii) Customer D which decreased by RM3.18 million or 42.7% in FYE 2023.

These customers made bulk purchases during FYE 2022 in anticipation of the surge in demand as well as longer delivery time needed due to the congestion in major container ports following the post Covid-19 recovery period, resulting in lower quantities being ordered in FYE 2023.

Abatement segment

Revenue from abatement segment decreased by RM3.38 million or 12.5% from RM26.96 million in FYE 2022 to RM23.58 million in FYE 2023 due to lower revenue generated from both our abatement systems as well as modules and components sub-segments.

Revenue from abatement systems sub-segment was mainly derived from the development of abatement systems. We also provide after-sales services as and when required by our customers. As we do not focus on the provision of after-sales services, revenue generated from this service remained minimal, which contributed less than 3.0% of our total revenue during Financial Period Under Review. We offer 4 series of abatement systems, namely CDO, Vector, Marathon and Guardian Series, each carrying different price range due to different technologies adopted as well as the customisations made according to our customers' technical and operating requirements. Typically, our Marathon and CDO Series command higher selling prices as they use higher and more complex combination technologies as compared to Vector and Guardian Series. Revenue from our abatement systems sub-segment is primarily driven by the average selling price per abatement system as well as the number of abatement systems delivered during the financial year/period.

11. FINANCIAL INFORMATION *(Cont'd)*

Our revenue from the abatement systems sub-segment decreased by RM1.57 million mainly due to decrease in number of abatement systems delivered from 130 units in FYE 2022 to 81 units in FYE 2023. This was driven by the decrease in orders from one of our major customers, namely Customer C, whom has placed a large order for Guardian Series abatement systems to progressively upgrade its production facilities during FYE 2022. The overall decrease in abatement systems delivered was also due to limited production capacity as our Group required longer time to manufacture the Marathon Series abatement systems due to its complexity.

Notwithstanding that, the average selling price of abatement systems increased from RM0.16 million per unit in FYE 2022 to RM0.24 million per unit in FYE 2023. This was due to higher number of Marathon Series abatement systems delivered during FYE 2023 of 37 units (FYE 2022: 13 units) which were able to command higher selling prices.

Revenue from our modules and components sub-segment is derived from the sale of maintenance parts to our distributors as well as existing customers who uses abatement systems. This sub-segment complements our abatement systems sub-segment as the sale of our abatement systems generates recurring demand for the related maintenance parts. Revenue from this sub-segment is mainly driven by the types and quantity of maintenance parts delivered during the financial year/period.

During FYE 2023, revenue generated from our modules and components sub-segment decreased by RM1.81 million due to the decrease in both quantity and average selling price. We delivered 9,328 maintenance parts at an average selling price of RM442 per unit in FYE 2023 as compared to 11,880 maintenance parts at an average selling price of RM499 per unit in FYE 2022.

Comparison between FYE 2023 and FYE 2024

Our Group's revenue increased by RM15.03 million or 20.4% from RM73.78 million in FYE 2023 to RM88.81 million in FYE 2024. Revenue from our UHP segment remained as our largest segment, contributing 69.3% of our total revenue in FYE 2024, while the remaining 30.7% was derived from the abatement segment. The increase in our overall revenue during FYE 2024 was contributed by higher revenue generated from both our UHP and abatement segments which increased by 22.6% and 15.6% respectively.

During FYE 2024, 72.5% of our revenue was derived from overseas customers, primarily located in Singapore, India, US and Taiwan, representing 53.1%, 7.1%, 6.1% and 5.4% of our Group's total revenue respectively, while the remaining 27.5% was derived from Malaysia.

Revenue from Singapore and Malaysia increased by RM11.09 million and RM4.33 million respectively mainly due to higher orders from our existing major customers, including Customer A, Customer B and Customer C. During FYE 2024, we have also expanded our geographical presence to India by securing orders from a new major customer, namely Customer F through referral from our existing customer. Nevertheless, the overall increase was partially offset by the decrease in revenue from China by RM6.45 million due to lesser orders secured, mainly arising from our major customer, Customer E, and our distributors.

11. FINANCIAL INFORMATION (Cont'd)

UHP segment

Revenue from the UHP segment increased by RM11.36 million or 22.6% from RM50.20 million in FYE 2023 to RM61.56 million in FYE 2024. This was mainly due to higher revenue generated from the following major customers:

- (i) Customer A which increased by RM6.61 million or 25.8% in FYE 2024; and
- (ii) Customer B which increased by RM7.74 million or 52.7% in FYE 2024.

The increase in revenue from these semiconductor equipment manufacturers was primarily driven by higher order volumes, supported by the overall growth in the pan-semiconductor industry which drives the increase in demand for precision engineering solutions, in particular, UHP components, as more multinational semiconductor and electronics companies set up or expanding their operations in Southeast Asia countries. Where necessary, we also adjusted the selling price of certain precision engineering components arising from any major fluctuations in the production costs, such as material costs.

Abatement segment

Revenue generated from abatement segment increased by RM3.68 million or 15.6% from RM23.58 million in FYE 2023 to RM27.26 million in FYE 2024 driven by higher revenue contribution from our abatement systems sub-segment as we delivered more abatement systems during FYE 2024. The number of abatement systems delivered increased from 81 units in FYE 2023 to 99 units in FYE 2024 mainly due to higher orders from Customer C, as they continue to upgrade their production facilities during the financial year, as well as orders secured from a new major customer, namely Customer F, through referral from our existing customer. Meanwhile, the average selling price of our abatement systems remained fairly consistent at RM0.24 million per unit, due to the similar composition of abatement systems delivered between FYE 2023 and FYE 2024.

Revenue from the modules and components sub-segment decreased by RM0.38 million. Despite the increase in the number of our maintenance parts delivered from 9,328 units in FYE 2023 to 10,554 units in FYE 2024, the decrease in revenue from this sub-segment was due to the lower average selling price of our maintenance parts which decreased from RM442 per unit in FYE 2023 to RM355 per unit in FYE 2024.

11. FINANCIAL INFORMATION (Cont'd)

Comparison between FYE 2024 and FYE 2025

Our Group's revenue increased by RM20.13 million or 22.7% from RM88.81 million in FYE 2024 to RM108.94 million in FYE 2025. Revenue from our UHP segment remained as our largest segment, contributing 57.8% of our total revenue in FYE 2025, while the remaining 42.2% was derived from the abatement segment. The increase in our overall revenue during FYE 2025 was contributed by higher revenue generated from both our UHP and abatement segments which increased by 2.3% and 68.6% respectively.

During FYE 2025, 72.8% of our revenue was derived from overseas customers, primarily located in India and Singapore, representing 35.1% and 33.1% of our Group's total revenue respectively, while the remaining 27.2% was derived from Malaysia.

Revenue from India increased by RM31.90 million mainly due to higher orders from our existing major customer, namely Customer F, as well as orders secured from 3 new major customers, namely Customer G, Customer H and Customer I. Meanwhile, revenue from Malaysia increased by RM5.26 million mainly due to higher orders from our existing major customer, namely Customer B. Nevertheless, the overall increase was partially offset by the decrease in revenue from Singapore, Taiwan and US by RM11.09 million, RM4.03 million and RM1.52 million respectively mainly due to reduced orders from Customer A and Customer C, as well as our other existing customers and distributors.

UHP segment

Revenue from the UHP segment increased by RM1.42 million or 2.3% from RM61.56 million in FYE 2024 to RM62.98 million in FYE 2025. This was mainly due to higher revenue generated from Customer B which increased by RM5.25 million or 23.4% in FYE 2025, which was partially offset by the decrease in revenue from Customer A by RM2.40 million or 7.4%.

Overall, the increase in revenue from semiconductor equipment manufacturers was primarily driven by higher order volumes from 69,294 precision engineering components in FYE 2024 to 71,420 precision engineering components in FYE 2025 as semiconductor equipment manufacturers continue to benefit from the overall growth in the pan-semiconductor industry, driven by the growth in technology and increasing demand for consumer and industrial electronic devices.

Abatement segment

Revenue generated from abatement segment increased by RM18.71 million or 68.6% from RM27.26 million in FYE 2024 to RM45.97 million in FYE 2025 driven by higher revenue contribution from our abatement systems sub-segment as we delivered more abatement systems during FYE 2025. The number of abatement systems delivered increased from 99 units in FYE 2024 to 194 units in FYE 2025 due to the following reasons, which resulted in the increase in revenue from this sub-segment by RM19.62 million:

11. FINANCIAL INFORMATION (*Cont'd*)

- (i) large orders secured from 3 new customers from India, including Customer G, Customer H and Customer I, which are operating within the solar industry through referral from our existing customer and foreign sales representative; and
- (ii) higher number of abatement machines delivered to Customer F from 27 units in FYE 2024 to 88 units in FYE 2025.

Nonetheless, the average selling price of our abatement systems decreased from RM0.24 million per unit in FYE 2024 to RM0.22 million per unit in FYE 2025. This was mainly due to the differences in material used to cater to different customer specifications and requirements, whereby some of our customers in FYE 2025 opted for more cost-effective materials as compared to the higher-specification of abatement systems delivered in the previous financial year.

Revenue from the modules and components sub-segment decreased by RM0.91 million. Despite the increase in the number of our maintenance parts delivered from 10,554 units in FYE 2024 to 15,821 units in FYE 2025, the decrease in revenue from this sub-segment was due to lower average selling price of our maintenance parts which decreased from RM355 per unit in FYE 2024 to RM179 per unit in FYE 2025. The decrease was mainly attributable to the changes in sales mix with the increase of lower priced maintenance parts delivered in FYE 2025 compared to FYE 2024.

Comparison between FPE 2025 and FPE 2026

Our Group's revenue decrease by RM9.01 million or 28.5% from RM31.56 million in FPE 2025 to RM22.55 million in FPE 2026. Revenue from our UHP segment remained as our largest segment, contributing 57.1% of our total revenue in FPE 2026, while the remaining 42.9% was derived from the abatement segment. The decrease in our overall revenue during FPE 2026 was contributed by lower revenue generated from both our UHP and abatement segments which decrease by 30.0% and 26.4% respectively.

During FPE 2026, 71.1% of our revenue was derived from overseas customers, primarily located in Singapore and India, representing 31.1% and 29.7% of our Group's total revenue respectively, while the remaining 28.9% was derived from Malaysia.

Revenue from India, Malaysia and Singapore decreased by RM4.64 million, RM3.05 million and RM2.98 million respectively mainly due to decrease in orders secured from a few major customers, including Customer A, Customer B, Customer C, Customer F, and Customer G. Nevertheless, such decrease was partially offset by the increase in revenue from US and South Korea by RM0.70 million and RM0.93 million respectively mainly due to higher orders secured from our existing customers and distributors.

11. FINANCIAL INFORMATION *(Cont'd)*

UHP segment

Revenue from the UHP segment decreased by RM5.53 million or 30.0% from RM18.42 million in FPE 2025 to RM12.89 million in FPE 2026. This was mainly due to lower revenue generated from the following major customers:

- (i) Customer A which decreased by RM1.42 million or 19.0% in FPE 2026 mainly due to the weakening of USD, which resulted in lower RM-equivalent revenue from our sales denominated in USD; and
- (ii) Customer B which decreased by RM3.00 million or 33.0% in FPE 2026 mainly due to a normalisation of delivery volumes in FPE 2026 following high delivery volumes in January 2025, which were made pursuant to a revised delivery schedule requested by the customer.

Abatement segment

Revenue generated from abatement segment decreased by RM3.47 million or 26.4% from RM13.14 million in FPE 2025 to RM9.67 million in FPE 2026 due to lower revenue generated from our abatement systems sub-segment.

Our revenue from the abatement systems sub-segment decreased by RM4.27 million mainly due to decrease in number of abatement systems delivered from 50 units in FPE 2025 to 35 units in FPE 2026. The lower number of abatement systems delivered during FPE 2026 was mainly due to the completion of scheduled deliveries to our major customer, Customer F, following which our employees were mainly involved in the corresponding installation and commissioning activities, as well as the preparatory work for Customer F's subsequent orders for delivery after FPE 2026.

In addition, the average selling price of our abatement systems also decreased from RM0.25 million per unit in FPE 2025 to RM0.24 million per unit in FPE 2026 mainly due to different composition of abatement systems delivered where we delivered a lower number of Marathon Series abatement systems of 22 units during FPE 2026 (FPE 2025: 40 units) and a higher number of Guardian Series abatement systems of 13 units in FPE 2026 (FPE 2025: 10 units).

Revenue from the modules and components sub-segment increased by RM0.80 million due to the increase in both quantity and average selling price. We delivered 2,477 maintenance parts at an average selling price of RM159 per unit in FPE 2025 as compared to 5,249 maintenance parts at an average selling price of RM227 per unit in FPE 2026. The increase in number of maintenance parts delivered in FPE 2026 was mainly attributable to higher orders from Customer F to maintain their abatement systems.

11. FINANCIAL INFORMATION (Cont'd)

(ii) Cost of sales

Analysis of cost of sales by business segments

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
UHP segment	65,471	79.8	41,871	73.0	51,698	71.8	50,671	61.1	14,881	63.9	10,457	61.3
Abatement segment												
• Abatement systems	11,976	14.6	12,334	21.4	17,423	24.2	30,225	36.5	8,156	35.0	5,716	33.5
• Modules and components	4,595	5.6	3,186	5.6	2,875	4.0	2,013	2.4	253	1.1	895	5.2
	16,571	20.2	15,520	27.0	20,298	28.2	32,238	38.9	8,409	36.1	6,611	38.7
Total	82,042	100.0	57,391	100.0	71,996	100.0	82,909	100.0	23,290	100.0	17,068	100.0

Analysis of cost of sales by cost items

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Purchase of materials consumed	64,225	78.3	43,790	76.3	59,362	82.5	68,128	82.2	20,086	86.3	14,018	82.1
Staff costs	10,547	12.9	8,071	14.1	6,818	9.5	7,581	9.1	1,821	7.8	1,867	11.0
Depreciation expenses ⁽²⁾	1,582	1.9	2,013	3.5	2,154	3.0	1,858	2.3	450	1.9	601	3.5
Direct labour cost	1,066	1.3	304	0.5	453	0.6	867	1.0	150	0.6	80	0.5
Chemical cleaning expenses	875	1.1	680	1.2	626	0.9	847	1.0	154	0.7	139	0.8
Others ⁽¹⁾	3,747	4.5	2,533	4.4	2,583	3.5	3,628	4.4	629	2.7	363	2.1
Total	82,042	100.0	57,391	100.0	71,996	100.0	82,909	100.0	23,290	100.0	17,068	100.0

Notes:

- (1) Mainly consist of tools and equipment, travelling expenses, utilities expenses, repair and upkeep expenses, licenses fees and professional fees.

11. FINANCIAL INFORMATION (*Cont'd*)

- (2) Depreciation expenses increased from FYE 2022 to FYE 2024 mainly due to purchases of plant and machinery, as well as expansion of cleanroom. In FYE 2025, depreciation decreased as certain plant and machinery has been fully depreciated.

The main components of our cost of sales are purchase of materials consumed and staff costs, which collectively accounted for 91.2%, 90.4%, 92.0%, 91.3% and 93.1% of our total cost of sales for FYE 2022, FYE 2023, FYE 2024, FYE 2025 and FPE 2026 respectively.

Comparison between FYE 2022 and FYE 2023

During FYE 2023, 73.0% of our total cost of sales was incurred for our UHP segment, while the remaining 27.0% was incurred for the abatement segment. Our Group's total cost of sales decreased by RM24.65 million or 30.0% from RM82.04 million in FYE 2022 to RM57.39 million in FYE 2023 due to lower cost incurred for both our UHP and abatement segments by RM23.60 million and RM1.05 million respectively.

The overall decrease in our total cost of sales was mainly attributable to:

- (i) decrease in purchase of material consumed by RM20.44 million or 31.8% in line with the overall decrease in revenue in FYE 2023; and
- (ii) decrease in staff costs by RM2.48 million or 23.5% mainly due to resignation of staff from technical and production team, which resulted our Group's overall average headcount to decrease from 106 staff in FYE 2022 to 88 staff in FYE 2023. The decrease was also attributed to lower bonus for FYE 2023; and
- (iii) decrease in direct labour cost as we hired lesser temporary workers in FYE 2023 in line with the overall decrease in revenue and production volume from our UHP segment.

Comparison between FYE 2023 and FYE 2024

Our UHP segment remained as the primary cost driver, accounted for 71.8% of our total cost of sales for FYE 2024. The remaining 28.2% of our total cost of sales was incurred for the abatement segment. Our Group's total cost of sales increased by RM14.61 million or 25.5% from RM57.39 million in FYE 2023 to RM72.00 million in FYE 2024 due to higher cost incurred for both UHP and abatement segments by RM9.83 million and RM4.78 million respectively.

The overall increase in our total cost of sales was mainly due to higher purchase of materials consumed by RM15.57 million or 35.6%, which primarily attributed to higher material prices of raw materials used to produce our precision engineering components. Nevertheless, such increase was partially offset by decrease in staff costs by RM1.25 million or 15.5% mainly due to resignation of staff from technical and production team, R&D team and quality assurance team, which resulted in the decrease in our Group's overall average headcount from 88 staff in FYE 2023 to 74 staff in FYE 2024.

11. FINANCIAL INFORMATION *(Cont'd)*

Comparison between FYE 2024 and FYE 2025

Our UHP segment remained as the primary cost driver, accounted for 61.1% of our total cost of sales for FYE 2025. The remaining 38.9% of our total cost of sales was incurred for the abatement segment. Our Group's total cost of sales increased by RM10.91 million or 15.2% from RM72.00 million in FYE 2024 to RM82.91 million in FYE 2025 due to higher cost incurred for our abatement segment by RM11.94 million.

The overall increase in our total cost of sales was mainly due to:

- (i) increase in purchase of materials consumed by RM8.77 million or 14.8% in line with the increase in our total revenue in FYE 2025;
- (ii) increase in staff costs by RM0.76 million or 11.2% mainly due to higher bonus and overtime cost;
- (iii) increase in direct labour cost by RM0.41 million or 91.4% as we hired more temporary workers to support our operations, in line with the overall increase in revenue and production volume from our UHP segment; and
- (iv) increase in other cost of sales collectively by RM1.05 million or 40.5% mainly arising from higher repair and maintenance expenses for machineries and equipment for our abatement segment, higher upkeep costs of production area, as well as technical support services obtained from an external service provider for the installation, commissioning and maintenance service for our customers in India.

Comparison between FPE 2025 and FPE 2026

Our UHP segment remained as the primary cost driver, accounted for 61.3% of our total cost of sales for FPE 2026. The remaining 38.7% of our total cost of sales was incurred for the abatement segment. Our Group's total cost of sales decreased by RM6.22 million or 26.7% from RM23.29 million in FPE 2025 to RM17.07 million in FPE 2026 due to lower cost incurred for both UHP and abatement segments by RM4.42 million and RM1.80 million respectively.

The overall decrease in our total cost of sales was mainly due to the decrease in purchase of materials consumed by RM6.07 million or 30.2% in line with the decrease in our total revenue in FPE 2026 as well as lower raw material prices due the following:

- (i) change in supplier mix for our UHP segment as requested by our major customers, resulting in greater proportion of raw materials previously purchased from Singafluid being sourced from Ham-Let Singapore Valves & Fittings Pte Ltd, Fujikin Singapore Pte Ltd and Pfeiffer Vacuum Malaysia Sdn Bhd, which offered more competitive pricing. The resulting cost savings depend on our customers' requirements, as the selection of suppliers is determined by our customers. Nevertheless, the reduction in raw material cost did not have any material impact on our GP margin as our selling price is mainly determined based on the underlying cost incurred; and

11. FINANCIAL INFORMATION (Cont'd)

- (ii) decrease in purchase from Anhui Group and direct procurement of components and modules of abatement systems from other 14 suppliers in China. Previously, the purchase of components and modules from Anhui Group includes charges for the sub-assembly of modules. As we have undertaken the sub-assembly of modules internally since second quarter of 2025, we are able to procure the components and modules directly from source suppliers at lower material costs, while eliminating the sub-assembly charges previously incurred from Anhui Group. This resulting cost savings are expected to be sustainable going forward, as we will continue to undertake the sub-assembly of modules internally.

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11. FINANCIAL INFORMATION (Cont'd)

(iii) GP and GP margin

Analysis of GP and GP margin by business segments

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	GP		GP		GP		GP		GP		GP	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
UHP segment	12,551	16.1	8,331	16.6	9,859	16.0	12,305	19.5	3,539	19.2	2,432	18.9
<u>Abatement segment</u>												
• Abatement systems	9,048	43.0	7,122	36.6	6,087	25.9	12,904	29.9	4,587	36.0	2,757	32.5
• Modules and components	1,339	22.6	940	22.8	872	23.3	826	29.1	141	35.8	297	24.9
	10,387	38.5	8,062	34.2	6,959	25.5	13,730	29.9	4,728	36.0	3,054	31.6
Total	22,938	21.8	16,393	22.2	16,818	18.9	26,035	23.9	8,267	26.2	5,486	24.3

Comparison between FYE 2022 and FYE 2023

Our overall GP decreased by RM6.55 million or 28.6% from RM22.94 million in FYE 2022 to RM16.39 million in FYE 2023 due to lower profit derived from both our UHP and abatement segments. However, our overall GP margin increased slightly by 0.4% from 21.8% in FYE 2022 to 22.2% in FYE 2023 contributed by higher GP margin from our UHP segment.

UHP segment

GP from our UHP segment decreased by RM4.22 million or 33.6% from RM12.55 million in FYE 2022 to RM8.33 million in FYE 2023 in line with the decrease in our segment revenue. While our GP margin may fluctuate marginally mainly due to the different product mix sold during the financial year/period, the overall GP margin for this segment remained fairly consistent throughout the Financial Period Under Review in order to remain competitive, as customers generally prioritise pricing as the main consideration when selecting suppliers.

11. FINANCIAL INFORMATION (*Cont'd*)

Notwithstanding the above, our GP margin for FYE 2023 increased by 0.5% from 16.1% in FYE 2022 to 16.6% in FYE 2023 as we were able to adjust the selling price to reflect major changes in production costs, such as material costs, to our major customers, namely Customer A and Customer B, who collectively accounted for approximately 81.5% and 80.4% of the UHP segment revenue in FYE 2022 and FYE 2023 respectively. While the industry is generally price-sensitive, we have continued to maintain long-term business relationships with these customers due to our ability to provide operational flexibility, particularly in accommodating frequent changes in delivery schedules and production plans.

Abatement segment

GP from the abatement segment decreased by RM2.33 million or 22.4% from RM10.39 million in FYE 2022 to RM8.06 million in FYE 2023 in line with the overall decrease in our segment revenue during FYE 2023. Our GP margin from this segment also decreased by 4.3% from 38.5% in FYE 2022 to 34.2% in FYE 2023 mainly due to lower GP margin from our abatement systems sub-segment.

The decrease in GP margin from our abatement systems by 6.4% was mainly due to higher average cost of materials consumed by 62.5% from RM0.08 million per unit in FYE 2022 to RM0.13 million per unit in FYE 2023 mainly attributable to the change in product mix delivered during FYE 2023 where we incurred higher material costs to manufacture the Marathon Series as the components required for its production are generally more expensive compared to those used in the Guardian Series, primarily due to the complexity in design and technologies. The standard selling prices for our abatement systems are not adjusted frequently and hence, any increase in production costs is not directly passed on to our customers. In addition, negotiation of selling prices with our customers may also take a long time, making it difficult for us to revise the previously agreed selling prices. Meanwhile, GP and GP margin from modules and components remained fairly consistent in FYE 2022 and FYE 2023.

Comparison between FYE 2023 and FYE 2024

Our overall GP increased by RM0.43 million or 2.6% from RM16.39 million in FYE 2023 to RM16.82 million in FYE 2024, supported by higher profit derived from our UHP segment. However, our overall GP margin decreased by 3.3% from 22.2% in FYE 2023 to 18.9% in FYE 2024, mainly due to lower GP margin generated from our abatement segment.

UHP segment

GP from the UHP segment increased by RM1.53 million or 18.4% from RM8.33 million in FYE 2023 to RM9.86 million in FYE 2024 due to higher segment revenue generated. Overall, our GP margin from the UHP segment remained fairly consistent as we were able to adjust the selling price to reflect any major changes in production costs to our major customers. Overall, GP margin for the UHP segment decreased by 0.6% from 16.6% in FYE 2023 to 16.0% in FYE 2024.

11. FINANCIAL INFORMATION (Cont'd)

Abatement segment

GP from the abatement segment decreased by RM1.10 million or 13.6% from RM8.06 million in FYE 2023 to RM6.96 million in FYE 2024 mainly due to the increase in cost of materials consumed and staff costs in the abatement systems sub-segment collectively by RM4.52 million. Our GP margin from this sub-segment also decreased by 10.7% from 36.6% in FYE 2023 to 25.9% in FYE 2024 mainly due to higher allocation of staff costs by RM1.85 million. Despite the decrease in our Group's overall headcount, the increase in staff costs in this sub-segment was attributable to higher allocation of technical and production staff in line with the increase in number of abatement systems delivered during FYE 2024. The increase in staff costs was also due to higher allocation of staff as we commenced to manufacture the entire abatement systems, including modules and components, in our operational facility, as compared to the assembly of modules and components which were previously sub-assembled by Anhui Group.

GP from our modules and components sub-segment decreased by RM0.07 million in line with the overall decrease in revenue from this sub-segment. Nevertheless, despite the decrease in GP, our GP margin from this sub-segment increased from 22.8% in FYE 2023 to 23.3% in FYE 2024 mainly driven by a lower average purchase cost per unit by 19.7% from RM336 per unit in FYE 2023 to RM270 per unit in FYE 2024.

Comparison between FYE 2024 and FYE 2025

Our overall GP increased by RM9.22 million or 54.8% from RM16.82 million in FYE 2024 to RM26.04 million in FYE 2025 while our overall GP margin increased significantly by 5.0% from 18.9% in FYE 2024 to 23.9% in FYE 2025. The overall increase in our GP and GP margin was driven by higher profit derived from both our UHP and abatement segments.

UHP segment

GP from our UHP segment increased by RM2.45 million or 24.8% from RM9.86 million in FYE 2024 to RM12.31 million in FYE 2025 while our GP margin from this segment also increased by 3.5% from 16.0% in FYE 2024 to 19.5% in FYE 2025. The increase in both GP and GP margin was contributed by higher segment revenue generated, coupled with lower fixed costs incurred for this segment due to economies of scale. Our fixed costs (in particular staff costs and depreciation expenses) decreased by 13.0% despite an increase in segment revenue by 2.3%, mainly attributable to the hiring of more temporary workers following the resignation of technical and production employees due to the relocation to Simpang Ampat Factory in October 2025 which resulted in commute challenges and inconvenience for certain employees.

11. FINANCIAL INFORMATION (Cont'd)

Abatement segment

GP from the abatement segment increased by RM6.77 million or 97.3% from RM6.96 million in FYE 2024 to RM13.73 million in FYE 2025 while our GP margin from this segment also increased by 4.4% from 25.5% in FYE 2024 to 29.9% in FYE 2025. The overall increase in our GP and GP margin in FYE 2025 was driven by the following:

- (i) higher quantity of abatement systems delivered by 96.0% mainly arising from orders from 3 new customers in India, including Customer G, Customer H and Customer I, as well as our existing customer, namely Customer F;
- (ii) lower average cost per unit of abatement systems by 11.5%, mainly due to different specification of Marathon Series which yielded better margin; and
- (iii) economies of scale where the increase in fixed costs (in particular staff costs and depreciation expenses) by 35.1% which did not increase in proportion with the increase in abatement systems sub-segment revenue by 83.5%.

GP from our modules and components sub-segment remained fairly consistent at RM0.83 million in FYE 2025 as compared to RM0.87 million in FYE 2024. Nonetheless, our GP margin for this sub-segment increased from 23.3% in FYE 2024 to 29.1% in FYE 2025 mainly driven by a lower average purchase cost per unit by 55.9% from RM270 per unit in FYE 2024 to RM119 per unit in FYE 2025.

Comparison between FPE 2025 and FPE 2026

Our overall GP decreased by RM2.78 million or 33.6% from RM8.27 million in FPE 2025 to RM5.49 million in FPE 2026 while our overall GP margin decreased by 1.9% from 26.2% in FPE 2025 to 24.3% in FPE 2026. The overall decrease in our GP and GP margin was due to lower profit derived from both our UHP and abatement segments.

UHP segment

GP from our UHP segment decreased by RM1.11 million or 31.4% from RM3.54 million in FPE 2025 to RM2.43 million in FPE 2026 in line with the decrease in our segment revenue. Overall, our GP margin for this segment remained fairly consistent at 18.9% in FPE 2026 as compared to 19.2% in FPE 2025, as lower raw material prices were offset by corresponding adjustments in our selling prices, given that the selection of suppliers is determined by our major customers.

11. FINANCIAL INFORMATION (Cont'd)

Abatement segment

GP from the abatement segment decreased by RM1.68 million or 35.5% from RM4.73 million in FPE 2025 to RM3.05 million in FPE 2026 in line with the lower segment revenue generated. Our GP margin from this segment also decreased by 4.4% from 36.0% in FPE 2025 to 31.6% in FPE 2026 mainly due to lower average selling price of abatement systems by 4.0% arising from different composition of abatement systems delivered.

GP from our modules and components sub-segment increased by RM0.16 million, in line with higher revenue generated. Despite the increase in GP, our GP margin for this sub-segment decrease from 35.8% in FPE 2025 to 24.9% in FPE 2026 mainly due to the higher purchase cost per unit by 70.0% from RM96 per unit in FPE 2025 to RM163 per unit in FPE 2026.

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11. FINANCIAL INFORMATION (Cont'd)**(iv) Other income**

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Patent income	4,155	48.8	2,097	23.9	-	-	-	-	-	-	-	-
Gain on disposal of investment in a subsidiary	2,697	31.7	-	-	110	3.5	-	-	-	-	-	-
Dividend income	1,034	12.2	-	-	-	-	-	-	-	-	-	-
Gain on foreign exchange	547	6.4	847	9.7	1,872	59.1	272	45.2	24	21.2	280	69.1
Gain on lease remeasurement	-	-	41	0.4	-	-	-	-	-	-	-	-
Gain on disposal of intangible assets	-	-	4,589	52.3	-	-	-	-	-	-	-	-
Gain on bargain purchase	-	-	1,143	13.0	-	-	-	-	-	-	-	-
One-off referral fees	-	-	-	-	717	22.6	-	-	-	-	-	-
Technical fees income	-	-	-	-	25	0.8	298	49.5	77	68.2	72	17.8
Sundry income ⁽¹⁾	79	0.9	60	0.7	445	14.0	32	5.3	12	10.6	53	13.1
Total	8,512	100.0	8,777	100.0	3,169	100.0	602	100.0	113	100.0	405	100.0

Note:

(1) Mainly consist of tax refund, cancellation fee arising from the cancellation of an order by one of our major customers and scrap income.

Comparison between FYE 2022 and FYE 2023

Our Group's other income increased by RM0.27 million or 3.2% from RM8.51 million in FYE 2022 to RM8.78 million in FYE 2023. The increase was mainly due to:

- (i) gain on disposal of intangible assets of RM4.59 million arising from the transfer of intellectual property rights to Anhui Automation;
- (ii) gain on bargain purchase of RM1.14 million (being the difference between the purchase consideration of RM0.03 million and the NA position of Kaisu of RM1.17 million) arising from the Acquisition of Kaisu; and

11. FINANCIAL INFORMATION (*Cont'd*)

- (iii) increase in gain on foreign exchange by RM0.30 million mainly due to the strengthening of USD arising from our sales denominated in USD as well as the translation of our bank balances denominated in USD.

However, the overall increase was offset by the following:

- (i) non-recurrence of one-off gain on disposal of investment in a subsidiary of RM2.70 million arising from the disposal of the entire equity interest in SIW Taiwan in December 2022;
- (ii) decrease in patent income by RM2.06 million mainly due to the absence of a one-off licensing fee recognised in FYE 2022; and
- (iii) one-off dividend income of RM1.03 million received from Kaisu in FYE 2022.

Comparison between FYE 2023 and FYE 2024

Our other income decreased by RM5.61 million or 63.9% from RM8.78 million in FYE 2023 to RM3.17 million in FYE 2024 mainly due to:

- (i) non-recurrence of a one-off gain on disposal of intangible assets of RM4.59 million arising from the transfer of intellectual property rights to Anhui Automation in FYE 2023;
- (ii) decrease in patent income by RM2.10 million, which was previously derived from a patent licence agreement between BHT and Anhui Automation where BHT granted a non-exclusive licence to Anhui Automation to manufacture, market and sell products covered by the licensed patents in China, and which was subsequently ceased in October 2023 following the transfer of intellectual property rights to Anhui Automation; and
- (iii) non-recurrence of a one-off gain on bargain purchase of RM1.14 million in relation to the Acquisition of Kaisu in FYE 2023.

Nevertheless, the overall decrease was offset by the following:

- (i) increase in gain on foreign exchange by RM1.03 million mainly due to the weakening of USD and RMB arising from our purchases from overseas suppliers;
- (ii) one-off referral fees of RM0.72 million for the introduction of customers to Anhui Automation for the supply of abatement systems in China;

11. FINANCIAL INFORMATION (Cont'd)

- (iii) increase in sundry income by RM0.39 million mainly due to tax refund arising from excess tax instalment paid, as well as a cancellation fee arising from the cancellation of an order by one of our major customers, following the cancellation of the underlying order by its end customer; and
- (iv) gain on disposal of investment in a subsidiary of RM0.11 million arising from Disposal of Kaisu.

Comparison between FYE 2024 and FYE 2025

Our other income decreased by RM2.57 million or 81.1% from RM3.17 million in FYE 2024 to RM0.60 million in FYE 2025 due to:

- (i) decrease in gain on foreign exchange by RM1.60 million mainly due to the weakening of USD arising from our sales denominated in USD as well as the translation of our bank balances denominated in USD;
- (ii) non-recurrence of referral fees of RM0.72 million in relation to the introduction of customers to Anhui Automation for the supply of abatement systems in China;
- (iii) decrease in sundry income by RM0.41 million mainly due to the non-recurrence of tax refund arising from excess tax instalment paid, as well as the non-recurrence of a cancellation fee arising from the cancellation of an order by one of our major customers, following the cancellation of the underlying order by its end customer; and
- (iv) non-recurrence of gain on disposal of investment in a subsidiary of RM0.11 million arising from Disposal of Kaisu.

Nevertheless, the overall decrease was partially offset by the increase in technical fees income by RM0.27 million attributed to the recognition of a full year of technical fees income in FYE 2025 following the execution of technical assistance and service agreement with Anhui Automation in November 2024.

Comparison between FPE 2025 and FPE 2026

Our other income increased by RM0.30 million from RM0.11 million in FPE 2025 to RM0.41 million in FPE 2026 mainly due to the increase in gain on foreign exchange by RM0.26 million primarily arising from the weakening of USD, SGD and RMB arising from our purchases from overseas suppliers.

11. FINANCIAL INFORMATION (Cont'd)**(v) Administrative and other operating expenses**

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Audit fee	160	1.8	92	0.8	352	3.9	214	1.7	27	0.7	58	2.2
Bank charges	209	2.4	193	1.7	236	2.6	293	2.3	91	2.4	64	2.4
Commission	20	0.2	371	3.4	129	1.4	3,495	27.4	1,459	39.3	571	21.7
Depreciation and amortisation	1,183	13.4	1,430	12.9	491	5.4	831	6.5	404	10.8	162	6.2
Directors' remuneration	437	5.0	1,076	9.7	1,170	13.0	1,488	11.7	381	10.3	358	13.6
Loss on disposal and written off of assets	35	0.4	-	-	19	0.2	⁽³⁾ 314	2.5	-	-	-	-
Loss on foreign exchange	1,654	18.8	2,245	20.3	221	2.5	939	7.4	84	2.3	496	18.8
Marketing expenses	38	0.4	128	1.2	468	5.2	153	1.2	3	0.1	10	0.4
Professional fees	301	3.4	892	8.1	809	9.0	427	3.3	131	3.5	182	6.9
Staff costs	3,038	34.5	2,901	26.3	2,933	32.5	2,726	21.4	779	21.0	521	19.8
Travelling expenses	276	3.1	599	5.4	398	4.4	488	3.8	91	2.4	70	2.7
Upkeep expenses	187	2.1	229	2.1	30	0.3	590	4.6	17	0.5	1	⁽²⁾ -
Utilities	229	2.6	84	0.8	52	0.6	62	0.5	9	0.2	17	0.6
Withholding tax	272	3.1	-	-	1,059	11.8	37	0.3	27	0.7	-	-
Others ⁽¹⁾	775	8.8	806	7.3	645	7.2	691	5.4	214	5.8	124	4.7
Total	8,814	100.0	11,046	100.0	9,012	100.0	12,748	100.0	3,717	100.0	2,634	100.0

Notes:

- (1) Mainly consists of office expenses, insurance and road tax, entertainment, and subscription fee, each representing not more than 2.0% of our total administrative and other operating expenses.
- (2) Represents less than 0.1%.
- (3) Relates to the write-off of property, plant and equipment in the previous Bayan Lepas Factory, mainly consist of cleanroom, renovation, office equipment, furniture and fittings, electrical installation, following the relocation to Simpang Ampat Factory amounted to RM0.30 million, as well as the disposal of motor vehicles amounted to RM0.01 million.

11. FINANCIAL INFORMATION *(Cont'd)*

The major components of our administrative and other operating expenses are staff costs, commission, loss on foreign exchange, Directors' remuneration, depreciation and amortisation, as well as withholding tax, which collectively accounted for 75.0%, 72.6%, 66.6%, 74.7% and 80.1% of our Group's total administrative and other operating expenses for FYE 2022, FYE 2023, FYE 2024, FYE 2025 and FPE 2026 respectively.

Comparison between FYE 2022 and FYE 2023

Administrative and other operating expenses increased by RM2.24 million or 25.4% from RM8.81 million in FYE 2022 to RM11.05 million in FYE 2023. The increase was mainly due to:

- (i) increase in Directors' remuneration by RM0.64 million mainly due to an upward salary revision to align our Directors' remuneration with the prevailing market rates;
- (ii) increase in loss on foreign exchange by RM0.59 million mainly attributable to strengthening of USD arising from our purchases from overseas suppliers;
- (iii) increase in professional fees by RM0.59 million mainly due to the application, renewal and transfer of patents and trademarks; and
- (iv) increase in commission by RM0.35 million mainly attributable to commission paid to an introducer for the introduction of new customers.

Comparison between FYE 2023 and FYE 2024

Administrative and other operating expenses decreased by RM2.04 million or 18.5% from RM11.05 million in FYE 2023 to RM9.01 million in FYE 2024. The decrease was mainly due to:

- (i) decrease in loss on foreign exchange by RM2.02 million mainly due to weakening of USD arising from our purchases from overseas suppliers; and
- (ii) decrease in depreciation and amortisation by RM0.94 million as certain property, plant and equipment, patents and trademarks were fully depreciated and amortised in FYE 2023.

However, the overall decrease was partially offset by one-off withholding tax charged amounted to RM1.06 million arising from patent income and gain on disposal of investment in a subsidiary, both of which were subject to withholding tax upon collection during FYE 2024.

11. FINANCIAL INFORMATION (Cont'd)

Comparison between FYE 2024 and FYE 2025

Administrative and other operating expenses increased by RM3.74 million or 41.5% from RM9.01 million in FYE 2024 to RM12.75 million in FYE 2025. The increase was mainly due to:

- (i) increase in commission by RM3.37 million mainly attributable to commissions to our sales representatives for sales to customers in India. Such commissions are determined on a case-by-case basis and may either be one-off for the introduction of new customers or recurring based on a fixed percentage of revenue;
- (ii) increase in loss on foreign exchange by RM0.72 million mainly due to weakening of USD arising from our sales denominated in USD; and
- (iii) increase in upkeep expenses by RM0.56 million mainly due to higher cleaning and maintenance expenses incurred at our Simpang Ampat Factory.

However, the overall increase was partially offset by the decrease in withholding tax by RM1.02 million.

Comparison between FPE 2025 and FPE 2026

Administrative and other operating expenses decreased by RM1.09 million or 29.3% from RM3.72 million in FPE 2025 to RM2.63 million in FPE 2026. The decrease was mainly due to:

- (i) decrease in commission by RM0.88 million mainly due to lower commission payable to our sales representatives in line with the decrease in revenue generated from customers in India which are subject to commission arrangements;
- (ii) decrease in staff costs by RM0.26 million mainly due to the decrease in headcount of our finance, human resource and administration, as well as sales and product management teams, collectively from 17 employees as at 31 March 2025 to 13 employees as at 31 March 2026 as well as lower bonus for FPE 2026; and
- (iii) decrease in depreciation and amortisation by RM0.24 million due to lower amortisation charged from patents in FPE 2026.

However, the overall decrease was partially offset by the increase in loss on foreign exchange by RM0.41 million mainly due to weakening of USD arising from our sales denominated in USD.

11. FINANCIAL INFORMATION (Cont'd)**(vi) Finance costs**

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Accretion of interest on lease liabilities	104	19.8	50	9.8	41	4.6	15	1.6	7	3.1	2	0.9
Interest expenses on:												
• Bankers' acceptances	119	22.7	171	33.5	92	10.3	140	14.5	28	12.3	62	26.8
• Hire purchases	104	19.8	141	27.6	111	12.5	81	8.4	21	9.2	15	6.5
• Term loans	198	37.7	149	29.1	645	72.6	727	75.5	172	75.4	152	65.8
Total	525	100.0	511	100.0	889	100.0	963	100.0	228	100.0	231	100.0

Comparison between FYE 2022 and FYE 2023

Finance costs decreased by RM0.02 million or 3.8% from RM0.53 million in FYE 2022 to RM0.51 million in FYE 2023 mainly attributable to lower accretion of interest on lease liabilities by RM0.06 million arising from payment of lease liabilities.

However, this decrease was partially offset by the net increase in interest expenses on banking facilities by RM0.04 million mainly due to drawdown of bankers' acceptances.

Comparison between FYE 2023 and FYE 2024

Finance costs increased by RM0.38 million or 74.5% from RM0.51 million in FYE 2023 to RM0.89 million in FYE 2024 mainly due to the increase in term loans interest by RM0.49 million due to drawdown of additional term loans to finance the purchase of a freehold land and building. This increase was partially offset by the decrease in interest expenses on bankers' acceptances and hire purchases collectively by RM0.11 million due to repayment of hire purchase and recent drawdown of bankers' acceptances towards the end of FYE 2024.

Comparison between FYE 2024 and FYE 2025

Finance costs increased by RM0.07 million or 7.9% from RM0.89 million in FYE 2024 to RM0.96 million in FYE 2025 due to the increase in interest expenses on term loans and bankers' acceptances collectively by RM0.13 million, arising from the drawdown of additional term loans to finance the purchase of our Simpang Ampat Factory towards the end of FYE 2024, as well as additional bankers' acceptances for working capital purpose.

11. FINANCIAL INFORMATION (Cont'd)

Nonetheless, this increase was partially offset by the decrease in interest expenses on hire purchases by RM0.03 million due to repayment of hire purchases. The overall increase was also partially offset by the decrease in the accretion of interest on lease liabilities by RM0.03 million mainly due to the full depreciation of right-of-use asset following our relocation from Bayan Lepas Factory to Simpang Ampat Factory.

Comparison between FPE 2025 and FPE 2026

Our finance costs remained fairly consistent at RM0.23 million in both FPE 2025 and FPE 2026. The interest expenses on bankers' acceptances increased by RM0.03 million due to higher average outstanding balances of bankers' acceptances during FPE 2026 as compared to FPE 2025. However, the increase was partially offset by the decrease in interest expenses on term loans and hire purchases collectively by RM0.03 million due to repayment of term loans and hire purchases.

(vii) Finance income

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Interest income	2	100.0	97	100.0	117	100.0	123	100.0	36	100.0	32	100.0

For the Financial Period Under Review, our finance income comprises interest income generated from our interest-bearing current accounts, fixed deposits placed with a licensed bank as well as keyman insurance. Our Group recognised a total finance income of RM0.002 million, RM0.10 million, RM0.12 million, RM0.12 million and RM0.03 million in FYE 2022, FYE 2023, FYE 2024, FYE 2025 and FPE 2026 respectively.

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11. FINANCIAL INFORMATION (Cont'd)

(viii) Share of result of associates

	Audited								Unaudited		Audited	
	FYE 2022		FYE 2023		FYE 2024		FYE 2025		FPE 2025		FPE 2026	
	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%	RM'000	%
Share of result of associates	381	100.0	-	-	(623)	100.0	(983)	100.0	302	100.0	(39)	100.0

Our Group recognises the share of profit or loss from our associates using equity method of accounting, with the share of our associates' results recognised in proportion to our equity interest. During Financial Period Under Review, our Group recognised a share of profit of RM0.38 million from Kaisu in FYE 2022, a share of loss of RM0.62 million and RM0.98 million collectively from SIW Taiwan and Anhui Automation in FYE 2024 and FYE 2025, respectively, as well as a share of loss of RM0.04 million in FPE 2026 arising from the share of loss of RM0.07 million from Anhui Automation, which was partially offset by the share of profit of RM0.03 million from SIW Taiwan. The losses from Anhui Automation were mainly due to the downturn in China's solar industry, as well as the new management's business direction at Anhui Automation involving the R&D of vacuum pumps for the semiconductor industry, which did not deliver the expected results amid a period of weaker market demand in abatement systems.

(ix) Taxation

	Audited				Unaudited	Audited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
Taxation (RM'000)	2,009	697	337	870	414	778
Effective tax rate (%)	8.9	5.1	3.5	7.2	8.7	25.8
Statutory tax rate (%)	24.0	24.0	24.0	24.0	24.0	24.0

During FYE 2022 to FYE 2025, our Group's effective tax rate was lower than the statutory tax rate of 24.0% mainly due to the following:

- pioneer income which was not subjected to tax as SIW Manufacturing has been granted pioneer status incentive by MIDA to enjoy 70.0% exemption from income tax on its statutory income arising from promoted activities for the production of "waste gas abatement machine and integrated gas system and related modules and components for semiconductor industry" for a period of 5 years commencing from 1 December 2020 to 30 November 2025. Nonetheless, it is not our Group's intention to pursue for the extension of Pioneer Status following its expiry on 30 November 2025; and

11. FINANCIAL INFORMATION (Cont'd)

- (ii) lower tax rate in foreign jurisdiction as some of our subsidiaries operate in foreign countries where the applicable statutory tax rates are lower than Malaysia's statutory tax rate of 24.0%.

In addition to the above, our Group's effective tax rate reduced from 8.9% in FYE 2022 to 5.1% in FYE 2023 mainly due to the non-taxable income of RM0.90 million, which primarily arising from unrealised gain on foreign exchange, gain on bargain purchase and gain on disposal of intangible assets. During FYE 2024, our effective tax rate reduced further to 3.5%, mainly due to the overprovision of taxation of RM0.59 million.

Our Group's effective tax rate subsequently increased to 7.2% in FYE 2025, mainly due to lower overprovision of taxation by RM0.31 million. During FPE 2026, our effective tax rate increased significantly to 25.8%, higher than the statutory tax rate of 24.0%, following the expiry of pioneer status incentive in November 2025, coupled with non-deductible expenses of RM0.08 million mainly arising from depreciation and amortisation, as well as professional fee mainly arising from our Listing exercise.

(x) PBT, PAT, PBT margin and PAT margin

	Audited				Unaudited	Audited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
PBT (RM'000)	22,494	13,710	9,580	12,066	4,773	3,019
PAT (RM'000)	20,485	13,013	9,243	11,196	4,359	2,241
PBT margin (%)	21.4	18.6	10.8	11.1	15.1	13.4
PAT margin (%)	19.5	17.6	10.4	10.3	13.8	9.9
Adjusted PBT	14,608	5,881	8,753	12,066	4,773	3,019
Adjusted PAT	12,599	5,184	8,416	11,196	4,359	2,241
Adjusted PBT margin (%)	13.9	8.0	9.9	11.1	15.1	13.4
Adjusted PAT margin (%)	12.0	7.0	9.5	10.3	13.8	9.9

Comparison between FYE 2022 and FYE 2023

PBT decreased by RM8.78 million or 39.0% from RM22.49 million in FYE 2022 to RM13.71 million in FYE 2023 mainly due to the overall decrease in our Group's GP by RM6.55 million, coupled with the increase in our administrative and other operating expenses by RM2.24 million mainly arising from higher Directors' remuneration, loss on foreign exchange, professional fees and commission. In tandem with the overall decrease in our PBT, our PAT decreased by RM7.48 million or 36.5% from RM20.49 million in FYE 2022 to RM13.01 million in FYE 2023.

11. FINANCIAL INFORMATION (Cont'd)

Despite the increase in our overall GP margin, our PBT margin decreased by 2.8% from 21.4% in FYE 2022 to 18.6% in FYE 2023 due to higher administrative and other operating expenses during FYE 2023. Accordingly, our PAT margin decreased from 19.5% in FYE 2022 to 17.6% in FYE 2023.

Excluding our other income from patent income, gain on disposal of investment in a subsidiary, dividend income, gain on disposal of intangible assets and gain on bargain purchase, our adjusted PBT decreased by RM8.73 million or 59.8% from RM14.61 million in FYE 2022 to RM5.88 million in FYE 2023, and our adjusted PBT margin decreased from 13.9% in FYE 2022 to 8.0% in FYE 2023. Accordingly, our adjusted PAT decreased by RM7.42 million or 58.9% from RM12.60 million in FYE 2022 to RM5.18 million in FYE 2023, and our adjusted PAT margin decreased from 12.0% in FYE 2022 to 7.0% in FYE 2023.

Comparison between FYE 2023 and FYE 2024

PBT decreased by RM4.13 million or 30.1% from RM13.71 million in FYE 2023 to RM9.58 million in FYE 2024 mainly due to decrease in other income by RM5.61 million arising from the decrease in patent income, gain on disposal of intangible assets and gain on bargain purchase. In tandem with the overall decrease in our PBT, our PAT decreased by RM3.77 million or 29.0% from RM13.01 million in FYE 2023 to RM9.24 million in FYE 2024.

Our PBT margin also decreased by 7.8% from 18.6% in FYE 2023 to 10.8% in FYE 2024 due to the overall decrease in our GP margin and lower other income during FYE 2024. Overall, our PAT margin decreased from 17.6% in FYE 2023 to 10.4% in FYE 2024.

However, excluding other income from patent income, gain on disposal of investment in a subsidiary, gain on disposal of intangible assets, gain on bargain purchase as well as one-off referral fees, our adjusted PBT increased by RM2.87 million or 48.8% from RM5.88 million in FYE 2023 to RM8.75 million in FYE 2024, and our adjusted PBT margin increased from 8.0% in FYE 2023 to 9.9% in FYE 2024. Accordingly, our adjusted PAT increased by RM3.24 million or 62.5% from RM5.18 million in FYE 2023 to RM8.42 million in FYE 2024, and our adjusted PAT margin increased from 7.0% in FYE 2023 to 9.5% in FYE 2024.

Comparison between FYE 2024 and FYE 2025

PBT increased by RM2.49 million or 26.0% from RM9.58 million in FYE 2024 to RM12.07 million in FYE 2025 mainly due to the overall increase in our Group's GP by RM9.22 million. This was partially offset by the following:

- (i) decrease in other income by RM2.57 million mainly arising from lower gain on foreign exchange, as well as non-recurrence of referral fees, tax refund, cancellation fee and gain on disposal of investment in a subsidiary;
- (ii) increase in administrative and other operating expenses by RM3.74 million mainly due to higher commission, loss on foreign exchange and upkeep expenses; and

11. FINANCIAL INFORMATION (*Cont'd*)

(iii) higher share of loss of associates by RM0.36 million.

In line with the overall increase in our PBT, our PAT increased by RM1.96 million or 21.2% from RM9.24 million in FYE 2024 to RM11.20 million in FYE 2025.

Our PBT margin also increased by 0.3% from 10.8% in FYE 2024 to 11.1% in FYE 2025 driven by the overall increase in our GP margin, which was partially offset by lower other income, higher administrative and other operating expenses, as well as higher share of loss of associates. However, the increase in our PAT was partially offset by higher taxation incurred of RM0.87 million, representing a higher effective tax rate of 7.2% as compared to 3.5% in FYE 2024. Therefore, our PAT margin decreased marginally from 10.4% in FYE 2024 to 10.3% in FYE 2025.

Excluding our other income from gain on disposal of investment in a subsidiary and one-off referral fees, our adjusted PBT increased by RM3.32 million or 37.9% from RM8.75 million in FYE 2024 to RM12.07 million in FYE 2025, and our adjusted PBT margin increased from 9.9% in FYE 2024 to 11.1% in FYE 2025. Accordingly, our adjusted PAT increased by RM2.78 million or 33.0% from RM8.42 million in FYE 2024 to RM11.20 million in FYE 2025, and our adjusted PAT margin increased from 9.5% in FYE 2024 to 10.3% in FYE 2025.

Comparison between FPE 2025 and FPE 2026

PBT decreased by RM1.75 million or 36.7% from RM4.77 million in FPE 2025 to RM3.02 million in FPE 2026 mainly due to the overall decrease in our Group's GP by RM2.78 million, coupled with the recognition of share of loss of associates of RM0.04 million in FPE 2026 as compared to a share of profit of RM0.30 million in FPE 2025. Nevertheless, the overall decrease was partially offset by the following:

- (i) decrease in administrative and other operating expenses by RM1.09 million, mainly due to lower commission, staff costs as well as depreciation and amortisation; and
- (ii) increase in other income by RM0.30 million mainly arising from higher gain on foreign exchange.

In tandem with the overall decrease in our PBT, coupled with the increase in taxation by RM0.36 million following the expiry of our pioneer status incentive in November 2025, our PAT decreased by RM2.12 million or 48.6% from RM4.36 million in FPE 2025 to RM2.24 million in FPE 2026.

In line with the decrease in our overall GP margin, our PBT margin decreased by 1.7% from 15.1% in FPE 2025 to 13.4% in FPE 2026. Accordingly, our PAT margin decreased by 3.9% from 13.8% in FPE 2025 to 9.9% in FPE 2026 due to higher taxation incurred of RM0.78 million, representing a higher effective tax rate of 25.8% as compared to 8.7% in FPE 2025.

11. FINANCIAL INFORMATION (Cont'd)**11.2.4 Review of cash flows**

The table below sets forth a summary of our Group's combined statements of cash flows for the Financial Period Under Review. This should be read in conjunction with the Accountants' Report as set out in Section 12 of this Prospectus.

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Net cash from operating activities	16,275	3,822	2,423	6,753	4,898
Net cash (used in)/from investing activities	(590)	6,133	(14,823)	(7,980)	(237)
Net cash (used in)/from financing activities	(12,159)	(9,368)	10,734	760	164
Net increase/(decrease) in cash and cash equivalents	3,526	587	(1,666)	(467)	4,825
Effect of foreign exchange rates changes	67	308	(384)	(428)	(358)
Cash and cash equivalents as at the beginning of the financial year/period	6,331	9,924	10,819	8,769	7,874
Cash and cash equivalents as at the end of the financial year/period ⁽¹⁾	9,924	10,819	8,769	7,874	12,341

Note:

(1) The components of cash and cash equivalents are set out below:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Cash in hand and at banks	9,924	10,819	8,769	7,874	12,341
Fixed deposits with a licensed bank	-	-	208	464	530
Less: Fixed deposits pledged with a licensed bank	-	-	(208)	(464)	(530)
	9,924	10,819	8,769	7,874	12,341

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11. FINANCIAL INFORMATION (Cont'd)**FYE 2022****Net cash from operating activities**

Our net cash from operating activities amounted to RM16.28 million. This was due to our Group's collections of RM124.14 million which was offset by total payments of RM107.86 million. Such payments were mainly for:

- (i) payment to our suppliers of RM91.56 million;
- (ii) staff costs, direct labour cost and Directors' remuneration of RM15.09 million;
- (iii) income tax paid of RM0.79 million; and
- (iv) interest paid of RM0.42 million.

Net cash used in investing activities

Our net cash used in investing activities amounted to RM0.59 million mainly due to the following:

- (i) purchase of property, plant and equipment amounted to RM0.61 million;
- (ii) registration of patents and trademarks amounted to RM0.60 million; and
- (iii) net cash outflow from disposal of SIW Taiwan amounted to RM0.41 million.

This was partially offset by dividend income received from Kaisu of RM1.03 million.

Net cash used in financing activities

Our net cash used in financing activities amounted to RM12.16 million due to the following:

- (i) advances and repayment to Chan Chee Wei amounted to RM6.38 million and RM0.01 million respectively;
- (ii) net repayment of borrowings and lease liabilities, collectively amounted to RM3.54 million; and
- (iii) dividend paid of RM2.43 million.

This was partially offset by repayment received from Kaisu amounted to RM0.21 million.

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11. FINANCIAL INFORMATION (Cont'd)**FYE 2023****Net cash from operating activities**

Our net cash from operating activities amounted to RM3.82 million. This was due to our Group's collections of RM75.07 million which was partially offset by total payments of RM71.25 million. Such payments were mainly for:

- (i) payment to our suppliers of RM56.39 million;
- (ii) staff costs, direct labour cost and Directors' remuneration of RM12.35 million;
- (iii) income tax paid of RM2.05 million; and
- (iv) interest paid of RM0.46 million.

Net cash from investing activities

Our net cash from investing activities amounted to RM6.13 million due to the following:

- (i) proceeds from transfer of intellectual property rights to Anhui Automation amounted to RM4.59 million; and
- (ii) net cash inflow arising from the Acquisition of Kaisu amounted to RM1.93 million.

This was partially offset by the purchase of property, plant and equipment of RM0.39 million.

Net cash used in financing activities

Our net cash used in financing activities amounted to RM9.37 million due to the following:

- (i) dividend paid of RM9.37 million; and
- (ii) net repayment of borrowings and lease liabilities, collectively amounted to RM5.21 million.

This was partially offset by repayment received from our Managing Director, Chan Chee Wei, amounted to RM5.22 million.

FYE 2024**Net cash from operating activities**

Our net cash from operating activities amounted to RM2.42 million. Our total collections of RM78.90 million was partially offset by total payments of RM76.48 million. Such payments were mainly for:

- (i) payment to our suppliers of RM62.63 million;
- (ii) staff costs, direct labour cost and Directors' remuneration of RM11.37 million;
- (iii) income tax paid of RM1.63 million; and
- (iv) interest paid of RM0.85 million.

11. FINANCIAL INFORMATION (Cont'd)

Net cash used in investing activities

Our net cash used in investing activities amounted to RM14.82 million due to the following:

- (i) purchase of property, plant and equipment amounting to RM13.46 million, mainly consisting of a freehold land and building, as well as capital work-in-progress related to construction of Simpang Ampat Factory;
- (ii) Investment in SIW Taiwan amounted to RM0.03 million;
- (iii) Investment in Anhui Automation amounted to RM1.81 million; and
- (iv) placement of fixed deposits of RM0.21 million.

This was partially offset by net cash inflow arising from Disposal of Kaisu of RM0.68 million.

Net cash from financing activities

Our net cash from financing activities amounted to RM10.73 million due to the following:

- (i) net drawdown of borrowings and lease liabilities, collectively amounted to RM10.56 million; and
- (ii) repayment received from our Managing Director, Chan Chee Wei, amounted to RM1.18 million.

This was partially offset by dividend paid amounted to RM1.00 million.

FYE 2025

Net cash from operating activities

Our net cash from operating activities amounted to RM6.75 million. Our total collections of RM104.86 million was partially offset by total payments of RM98.11 million. Such payments were mainly for:

- (i) payment to our suppliers of RM83.14 million;
- (ii) staff costs, direct labour cost and Directors' remuneration of RM12.66 million;
- (iii) income tax paid of RM1.36 million; and
- (iv) interest paid of RM0.95 million.

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11. FINANCIAL INFORMATION (Cont'd)

Net cash used in investing activities

Our net cash used in investing activities amounted to RM7.98 million due to the following:

- (i) Investment in Anhui Automation amounted to RM4.10 million;
- (ii) purchase of property, plant and equipment amounting to RM3.08 million, mainly consisting of renovation and capital work-in-progress related to the construction of Simpang Ampat Factory, as well as plant and machineries primarily to support our UHP segment;
- (iii) additional Investment in SIW Taiwan amounted to RM0.38 million;
- (iv) placement of fixed deposits of RM0.25 million; and
- (v) registration of patents and trademarks amounted to RM0.20 million.

This was partially offset by proceeds from disposal of property, plant and equipment amounted to RM0.03 million.

Net cash from financing activities

Our net cash from financing activities amounted to RM0.76 million mainly due to the net drawdown of borrowings and lease liabilities, collectively amounted to RM0.75 million.

FPE 2026

Net cash used in operating activities

Our net cash from operating activities amounted to RM4.90 million. This was due to our total collections of RM24.01 million which was partially offset by total payments of RM19.11 million. Such payments were mainly for:

- (i) payment to our suppliers of RM15.57 million;
- (ii) staff costs, direct labour cost and Directors' remuneration of RM2.83 million;
- (iii) income tax paid of RM0.48 million; and
- (iv) interest paid of RM0.23 million.

Net cash used in investing activities

Our net cash used in investing activities amounted to RM0.24 million due to the following:

- (i) purchase of property, plant and equipment amounting to RM0.16 million, mainly consisting of plant and machineries primarily to support our UHP segment;
- (ii) placement of fixed deposits of RM0.07 million; and
- (iii) registration of patents amounted to RM0.01 million.

Net cash from financing activities

Our net cash generated from financing activities amounted to RM0.16 million arising from the net drawdown of borrowings and lease liabilities.

11. FINANCIAL INFORMATION (Cont'd)

11.3 LIQUIDITY AND CAPITAL RESOURCES**11.3.1 Working capital**

We finance our operations with cash generated from operations, credits granted by trade payables and/or financial institutions as well as cash and bank balances. The facilities from financial institutions comprise term loans, bankers' acceptances and hire purchases.

Our Board confirms that we have sufficient working capital for our existing and foreseeable requirements for a period of 12 months from the date of this Prospectus after taking into account the following:

- (a) cash and cash equivalents of RM7.07 million as at LPD;
- (b) banking facilities (excluding lease liabilities) of up to a credit limit of RM38.56 million as at LPD, of which RM23.77 million has been utilised; and
- (c) expected future cash flows from operations.

Based on the pro forma consolidated statements of financial position of our Group as at 31 March 2026 (after the Acquisition but before Public Issue), our NA position stood at RM58.78 million and our gearing level is 0.33 times. Our NA position after the Acquisition of SIW Manufacturing, Public Issue and utilisation of proceeds is RM92.62 million and our gearing level is 0.12 times.

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11. FINANCIAL INFORMATION (Cont'd)

11.4 BORROWINGS

We utilise term loans, hire purchases and bankers' acceptances to finance the purchase of our property, plant and equipment, as well as to support our daily working capital. All these facilities are secured, interest-bearing and denominated in RM, USD and SGD. Details of our outstanding borrowings and finance lease as at 31 March 2026 are set out below:

Type of borrowings	Purpose	Securities provided	Tenure	Effective interest rate %	As at 31 March 2026 RM'000
Interest bearing short-term borrowings, payable within 1 year:					
Bankers' acceptances	Working capital	(a) Legal charges over freehold land and building; (b) Life insurance policy of a Director; (c) Joint and several guarantee of our Directors; (d) Legal charges over fixed deposits with a licensed bank; and (e) Guarantee of Syarikat Jaminan Pembiayaan Perniagaan Berhad ("SJPP").	up to 150 days	3.4 – 8.0	7,084
Hire purchases	Purchase of motor vehicles, plant and machineries, as well as computer and software	(a) Motor vehicles under finance lease; (b) Legal charges over plant and machinery, as well as computers and software; and (c) Joint and several guarantee of our Directors.	60 to 66 months	3.0 – 5.7	602
Term loans	Purchase, construction and renovation of Simpang Ampat Factory	(a) Legal charges over freehold land and building; and (b) Joint and several guarantee of our Directors.	60 to 240 months	3.9 – 4.9	551
					8,237
Interest bearing long-term borrowings, payable after 1 year:					
Hire purchases	Purchase of motor vehicles, plant and machineries, as well as computer and software	(a) Motor vehicles under finance lease; (b) Legal charges over plant and machinery, as well as computers and software; and (c) Joint and several guarantee of our Directors.	60 to 66 months	3.0 – 5.7	334

11. FINANCIAL INFORMATION (Cont'd)

Type of borrowings	Purpose	Securities provided	Tenure	Effective interest rate %	As at 31 March 2026 RM'000
Term loans	Purchase, construction and renovation of Simpang Ampat Factory/ Working capital	(a) Legal charges over freehold land and building; and (b) Joint and several guarantee of our Directors.	60 to 240 months	3.9 – 4.9	10,620
Total borrowings					10,954 19,191

Gearing (times)

After Acquisition of SIW Manufacturing, but before IPO and utilisation of proceeds ⁽¹⁾

0.33

After Acquisition of SIW Manufacturing, IPO and utilisation of proceeds ⁽²⁾

0.12

Notes:

- (1) Computed based on our pro forma equity attributable to the owners of our Company of RM58.78 million after the Acquisition, but before IPO and utilisation of proceeds.
- (2) Computed based on total borrowings of RM11.19 million (after utilisation of proceeds for the repayment of bank borrowings) over our pro forma equity attributable to the owners of our Company of RM92.62 million after the Acquisition, IPO and utilisation of proceeds.

Separately, we have also recognised the following lease liabilities in relation to rental lease arrangement which are denominated in RM:

	Purpose	Tenure	As at 31 March 2026 RM'000
Lease liabilities within 1 year	Rental of workers' accommodation and offices	2 to 3 years	100 100

11. FINANCIAL INFORMATION (Cont'd)

As at LPD, we do not have any borrowings which are non-interest bearing. We have not defaulted on payments of principal sums and/or interests in respect of any of our borrowings throughout the Financial Period Under Review and up to LPD.

As at LPD, neither our Company nor any of our subsidiaries is in breach of any terms and conditions or covenants associated with the credit arrangement or bank loan which may materially affect our financial position and operations.

Therefore, we have not experienced any claw back or reduction in the facilities limit granted to us by our lenders arising from defaulted on payments as well as breach of any terms and conditions or covenants associated with the banking facilities during Financial Period Under Review.

In relation to the guarantees given by Directors of our Company, we have applied to the Financiers to obtain a release and/or discharge of the personal guarantees by substituting the same with a corporate guarantee from our Company and/or other securities from our Group acceptable to the Financiers. Until such release and/or discharge are obtained from the respective Financier, our Directors will continue to guarantee the banking facilities extended to our Group. As at LPD, we have received conditional approvals from all the Financiers to release and/or discharge the guarantees. Please refer to Section 9.5.1 of this Prospectus for further details.

11.5 TYPES OF FINANCIAL INSTRUMENTS USED, TREASURY POLICIES AND OBJECTIVES

Save as disclosed in Section 11.4 above, we do not have nor utilise any other financial instruments or have any treasury policies. All our financial instruments are used for the purchase of property, plant and equipment and working capital purpose to conduct our business. Our Group does not intend to utilise any financial instruments to manage our foreign exchange risks in view that we maintain foreign currency bank accounts to receive collections of our sales and make payments for our purchases in foreign currencies, which provide a natural hedge against foreign currency fluctuations. As at 31 March 2026, save for the finance lease liabilities which are based on fixed rates, all our other facilities with licensed financial institutions are based on base rate plus or minus a rate which varies depending on the type of facility.

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11. FINANCIAL INFORMATION (Cont'd)**11.6 MATERIAL CAPITAL COMMITMENTS, MATERIAL LITIGATION AND CONTINGENT LIABILITIES****11.6.1 Material capital commitments**

As at LPD, we do not have any material capital commitments.

11.6.2 Material litigation and contingent liabilities

As at LPD, we have not engaged in any material litigation, claim or arbitration either as plaintiff or defendant and there is no proceeding pending or threatened or any fact likely to give rise to any proceeding which might materially or adversely affect our financial performance, position or profitability.

As at LPD, our Directors confirm that there are no contingent liabilities incurred by our Group, which upon becoming enforceable may have a material effect on our Group's financial performance, position or profitability.

11.7 KEY FINANCIAL RATIOS

The key financial ratios of our Group for the Financial Period Under Review are as follows:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
Trade receivables turnover period (days) ⁽¹⁾	69	63	70	75	91
Trade payables turnover period (days) ⁽²⁾	105	129	116	103	103
Inventory turnover period (days) ⁽³⁾	102	223	211	215	277
Current ratio (times) ⁽⁴⁾	1.88	2.40	1.74	2.41	2.09
Gearing ratio (times) ⁽⁵⁾	0.32	0.17	0.38	0.34	0.33

Notes:

- (1) Computed based on average of the opening and closing trade receivables over total revenue for the financial year/period and multiplied by 365 days for each financial year and 90 days for FPE 2026.
- (2) Computed based on average of the opening and closing trade payables over total purchase of materials consumed for the financial year/period and multiplied by 365 days for each financial year and 90 days for FPE 2026. Total purchase of materials consumed is adopted as it represents a more accurate payment behaviour against materials that have moved through our production process rather than materials held in inventory. This provides a more meaningful basis in assessing our overall working capital management.
- (3) Computed based on average of the opening and closing inventories over total purchase of materials consumed for the financial year/period and multiplied by 365 days for each financial year and 90 days for FPE 2026.

11. FINANCIAL INFORMATION (Cont'd)

- (4) Computed based on current assets over current liabilities as at each financial year/period.
- (5) Computed based on total borrowings over total equity as at each financial year/period.

11.7.1 Trade receivables turnover

Our average trade receivables turnover period for the Financial Period Under Review is set out below:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Opening trade receivables	26,914	12,737	12,581	21,341	23,691
Closing trade receivables	12,737	12,581	21,341	23,691	21,820
Average trade receivables	19,826	12,659	16,961	22,516	22,756
Revenue	104,980	73,784	88,814	108,944	22,554
Trade receivables turnover period (days)	69	63	70	75	91

The normal credit period granted by us to our customers is between 30 to 90 days while the variation of credit period is assessed and approved on a case-by-case basis after taking into consideration, amongst others, business relationship with the customers, payment history and creditworthiness.

Our trade receivables turnover period for Financial Period Under Review were between 63 to 91 days. Save for FPE 2026, our trade receivables turnover period for Financial Period Under Review were within our normal credit period granted by us to our customers. Our trade receivables turnover period improved from 69 days in FYE 2022 to 63 days in FYE 2023 due to faster collection from our customers. Subsequently, our trade receivables turnover period increased to 70 days in FYE 2024, 75 days in FYE 2025 and 91 days in FPE 2026 mainly due to more invoices issued towards the end of respective financial years and period. Our Group will continue the implementation of our credit control procedures, including but not limited to closely following up with customers via phone calls, messages and reminder emails with the corresponding statements of accounts.

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11. FINANCIAL INFORMATION (Cont'd)

The ageing analysis of our Group's trade receivables as at 31 March 2026 is as follows:

	Trade receivables as at 31 March 2026		Amount collected from 1 April 2026 to LPD		Trade receivables net of subsequent collections	
	RM'000	Percentage of trade receivables (a)/ total of (a)	RM'000	Percentage collected (b) / total of (a)	RM'000	Percentage of trade receivables net of subsequent collections (c)/ total of (c)
	(a)		(b)		(c) = (a)-(b)	
Neither past due nor impaired	20,186	92.5	8,143	37.3	12,043	99.9
Past due:						
• 1 to 30 days	710	3.2	710	3.2	-	-
• 31 to 60 days	366	1.7	358	1.6	8	0.1
• 61 to 90 days	299	1.4	292	1.4	7	(1) -
• More than 90 days	259	1.2	257	1.2	2	(1) -
	1,634	7.5	1,617	7.4	17	0.1
Total	21,820	100.0	9,760	44.7	12,060	100.0

Note:

(1) Represents less than 0.1%.

Our Group's total trade receivables past due as at 31 March 2026 is RM1.63 million, representing 7.5% of our total trade receivables. Subsequent to 1 April 2026 and up to LPD, we have collected RM9.76 million, representing 44.7% of the total trade receivables as at 31 March 2026.

We have not encountered any major disputes with our customers. With respect to our overdue trade receivables, we have generally been able to collect payment eventually as evidenced by our subsequent collections of past due trade receivables after 31 March 2026. As such, our management is of the view that these overdue trade receivables are recoverable. We will closely monitor the recoverability of the overdue trade receivables on a regular basis, and when required, provide for impairment of these trade receivables.

Generally, we will review the impairment of overdue trade receivables. We will also assess the adequacy of impairment loss allowance on the overall trade receivables balance at every reporting period based on our historical collection experience. We have not provided for any impairment on trade receivables for the Financial Period Under Review.

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11. FINANCIAL INFORMATION (Cont'd)**11.7.2 Trade payables turnover**

Our average trade payables turnover period for the Financial Period Under Review is set out below:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Opening trade payables	18,922	18,196	12,664	25,075	13,387
Closing trade payables	18,196	12,664	25,075	13,387	18,665
Average trade payables	18,559	15,430	18,870	19,231	16,026
Total purchase of materials consumed	64,225	43,790	59,362	68,128	14,018
Trade payables turnover period (days)	105	129	116	103	103

Trade payables are recognised at their original invoice amounts which represent their fair value on initial recognition. The normal credit term granted to us by our suppliers ranges from 30 to 60 days from the date of invoice.

Our trade payables turnover period for Financial Period Under Review were between 103 to 129 days, all beyond our normal credit period granted by our suppliers as a result of our working capital management taking into account, inter-alia, collections from our customers. While we have established long-term business relationships and consistent payment trends with our major suppliers, our trade payables turnover days are generally longer than our trade receivables turnover days as we manage our payments based on overall working capital requirements. We monitor and assess our working capital requirements regularly, with any overdue payments to suppliers generally settled within 30 to 60 days after the credit terms granted as evidenced by the overall trade payables turnover period ranging from 103 to 129 days.

The ageing analysis of our Group's trade payables as at 31 March 2026 is as follows:

	Trade payables as at 31 March 2026		Amount paid from 1 April 2026 up to LPD		Balance trade payables unpaid as at LPD	
	RM'000	Percentage of trade payables (a)/ total of (a)	RM'000	Percentage paid (b)/ total of (a)	RM'000	Percentage of trade payables net of subsequent payments (c)/ total of (c)
	(a)		(b)		(c) = (a)-(b)	
Within credit period	9,664	51.8	9,664	51.8	-	-
Exceeding credit period:						
- 1 to 30 days	6,137	32.9	6,106	32.7	31	6.5
- 31 to 60 days	2,564	13.7	2,202	11.8	362	76.1
- 61 to 90 days	217	1.2	217	1.2	-	-
- More than 90 days	83	0.4	-	-	83	17.4
	9,001	48.2	8,525	45.7	476	100.0
Total	18,665	100.0	18,189	97.5	476	100.0

11. FINANCIAL INFORMATION (Cont'd)

Based on our Group's trade payables ageing profile as at 31 March 2026, 51.8% of the trade payables are current while 46.6% are overdue within 60 days after the credit terms. This indicates that the majority of overdue balance remains within manageable ageing bracket. As at LPD, we have settled RM18.19 million, representing 97.5% of the total trade payables as at 31 March 2026.

As part of our Group's plan to prevent the potential dispute risks arising from the late payment to suppliers, our Group will maintain regular communication with our key suppliers to align payment schedules and, where appropriate, may explore the negotiation of longer credit terms on a mutually agreed basis to better match our operating cash flow cycle. During the Financial Period Under Review, our trade payables relate to long-standing suppliers mainly from Singafluid, Anhui Group and Ham-Let Singapore Valves & Fittings Pte Ltd with whom we have established long-term business relationships and consistent payment trends. Accordingly, there are no disputes in respect of our total outstanding trade payables and no legal action has been initiated by our suppliers to demand for payment. There was no interest charged by our suppliers for any overdue payments after the credit terms granted during the Financial Period Under Review.

11.7.3 Inventory turnover

Our inventory turnover period for the Financial Period Under Review is set out below:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Opening inventories	9,206	26,527	26,876	41,809	38,453
Closing inventories	26,527	26,876	41,809	38,453	47,907
Average inventories	17,867	26,702	34,343	40,131	43,180
Total purchase of materials consumed	64,225	43,790	59,362	68,128	14,018
Inventory turnover period (days)	102	223	211	215	277

Our Group's inventories consist of raw materials, work-in-progress, goods-in-transit and finished goods. Our inventory turnover period increased from 102 days in FYE 2022 to 223 days in FYE 2023 due to higher work-in-progress inventories which have yet to be completed and higher finished goods which pending for delivery to our customers, collectively accounted for 25.0% of our total inventories as at 31 December 2023 as compared to only 9.2% of our total inventories as at 31 December 2022. Similarly, we recorded an inventory turnover period of 211 days for FYE 2024 due to the higher work-in-progress inventories, goods-in-transit and finished goods held, collectively accounted for 32.8% of our total inventories as at 31 December 2024, all of which arose from the timing of production and delivery schedules.

The prolonged delivery schedules were mainly due to shipment delays to our new customers in India for the abatement segment upon their request during early FYE 2024, as well as additional administrative procedures pertaining to quality review checks at our factory by the customers' approved personnel prior to delivery. Subsequent shipments to India from FYE 2025 onwards have improved as we are more familiar with the relevant procedures.

11. FINANCIAL INFORMATION (Cont'd)

Our inventory turnover period subsequently increased to 215 days in FYE 2025 due to higher work-in-progress inventories, which accounted for 19.4% of our total inventories as at 31 December 2025 as compared to 16.4% of our total inventories as at 31 December 2024. In FPE 2026, our inventory turnover period increased further to 277 days mainly due to higher raw materials in preparation for subsequent orders from our major customer, Customer F, which were scheduled for delivery after FPE 2026.

After excluding work-in-progress, goods-in-transit and finished goods, our inventory turnover period for the Financial Period Under Review was as follows:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Opening inventories ⁽¹⁾	9,206	23,259	20,117	28,091	26,487
Closing inventories ⁽¹⁾	23,259	20,117	28,091	26,487	37,630
Average inventories	16,233	21,688	24,104	27,289	32,059
Total purchases of materials consumed	64,225	43,790	59,362	68,128	14,018
Inventory turnover period (days)	92	181	148	146	206

Note:

(1) Excluding work-in-progress, goods-in-transit and finished goods.

Most of our inventories (excluding work-in-progress, goods-in-transit and finished goods) consist of raw materials for the UHP segment. Save for higher raw materials held as at 31 March 2026 which were mainly intended for the manufacturing of abatement systems to fulfil subsequent orders from our major customer, Customer F, we generally maintain a minimum of 3 to 4 months of raw material inventories, mainly to cater for expected orders from Customer A and Customer B based on their rolling 12-month purchase forecasts. Furthermore, certain raw materials are purchased in bulk packaging, which also results in a longer holding period.

Our Group intends to maintain an optimal level of inventories going forward, as inventory purchases are also driven by the secured purchase orders from our customers and ongoing engagement with our existing customers. As our inventory mainly consist of UHP components, we plan to have more regular engagement with our major customers to obtain updates on their rolling 12-month purchase forecasts, thereby enabling us to plan our inventory management more effectively. Nevertheless, our Group will continuously monitor and review inventory levels to better align with our operational needs from time to time.

The details of our inventories as at 31 March 2026 are as follows:

	Audited
	RM'000
Raw materials	37,630
Work-in-progress	7,567
Finished goods	2,710
	47,907

We will assess whether inventories should be impaired by identifying obsolete and slow-moving inventories during periodic stock count. These assessments require judgement and estimates.

11. FINANCIAL INFORMATION (Cont'd)

Possible changes in these estimates could result in revisions to the valuation of inventories. In this regard, slow-moving inventories will be written down to their net realisable value and obsolete inventories will be written off. Our inventories written off mainly due to slow-moving for the Financial Period Under Review are as follows:

	Audited				
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Inventories written off	-	2,138	-	-	-

Inventories written off in FYE 2023 relates to slow-moving inventories which are limited or no longer in use for our current production due to different product design and customer specification. The written off of inventories were also partially due to the cancellation of an order by one of our major customers, which has to be scrapped as per the customer's instruction.

In the event of order cancellation, we are entitled to charge cancellation fees based on the timing of the cancellation. Generally, we may charge (i) 100.0% of raw material cost if official cancellation notice is received 2 days after receipt of the purchase order; (ii) 80.0% of the total purchase order value if cancellation is made 15 to 36 days prior to the committed delivery date; and (iii) 100.0% of the total purchase order value if cancellation occurs within 14 days prior to the committed delivery date. Cancellation fees are recognised as other income in our Group's profit or loss statement and are only applicable to UHP customers, as those UHP components are highly customised, could not be repurposed and subject to confidentiality restrictions.

Accordingly, based on the terms included in our quotation issued to all UHP customers, we had charged the major customer a cancellation fee as the inventories could not be repurposed or sold to other customers due to confidentiality requirements. Hence, such cancellation is not expected to have any material adverse impact on our Group.

In contrast, we do not impose any cancellation fee charges for our abatement segment as we generally collect an upfront deposit of 30.0% from our customers and progressively issue invoice up to 80.0% and 90.0% of the order value before product delivery, which shall be forfeited upon cancellation. In addition, abatement systems can be easily repurposed as any specific fitments customised to individual customer requirements can be reconfigured to fulfil new orders. Therefore, the absence of cancellation fee charges for abatement segment is not expected to have any material adverse impact on our Group.

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11. FINANCIAL INFORMATION (Cont'd)**11.7.4 Current ratio**

Our Group's current ratio for the Financial Period Under Review are as follows:

	Audited				As at 31 March
	As at 31 December				2026
	2022	2023	2024	2025	
	RM'000	RM'000	RM'000	RM'000	RM'000
Current assets	61,646	57,029	78,229	74,373	86,933
Current liabilities	(32,773)	(23,800)	(44,967)	(30,896)	(41,547)
Net current assets	28,873	33,229	33,262	43,477	45,386
Current ratio (times)	1.88	2.40	1.74	2.41	2.09

Our current ratio increased from 1.88 times as at 31 December 2022 to 2.40 times as at 31 December 2023 mainly driven by the decrease in current liabilities by RM8.97 million or 27.4% from RM32.77 million as at 31 December 2022 to RM23.80 million as at 31 December 2023, which outpaced the decrease in our current assets of RM4.62 million or 7.5% during the same period. The decrease in current liabilities was mainly attributable to the decrease in trade and other payables as well as borrowings collectively by RM7.55 million. Meanwhile, the decrease in current assets was mainly due to the decrease in trade and other receivables by RM6.17 million, which was partially offset by the increase in cash and bank balances, inventories and current tax assets collectively by RM1.58 million.

Our current ratio subsequently decreased to 1.74 times as at 31 December 2024. Despite the increase in our current assets by RM21.20 million or 37.2% from RM57.03 million as at 31 December 2023 to RM78.23 million 31 December 2024, such increase was mostly offset by the increase in our current liabilities by RM21.17 million or 88.9% during the same period. The increase in current assets was mainly due to the increase in inventories and trade and other receivables collectively by RM22.93 million, which was partially offset by the decrease in our cash and bank balances by RM1.84 million. The increase in current liabilities was primarily due to the increase in trade and other payables, and borrowings collectively by RM21.08 million.

Subsequently, our current ratio increased to 2.41 times as at 31 December 2025, mainly due to the decrease in our current liabilities by RM14.07 million or 31.3% from RM44.97 million as at 31 December 2024 to RM30.90 million as at 31 December 2025, which outpaced the decrease in our current assets of RM3.86 million or 4.9% during the same period. The decrease in our current liabilities was mainly attributable to the decrease in trade and other payables, as well as contract liabilities and refund liabilities collectively by RM15.05 million, which was partially offset by the increase in our borrowings by RM1.34 million. Meanwhile, the decrease in our current assets was mainly attributable to the decrease in inventories as well as cash and bank balances collectively by RM4.00 million, which was partially offset by the increase in trade and other receivables by RM0.14 million.

As at 31 March 2026, our current ratio decreased to 2.09 times as the increase in current assets by RM12.56 million or 16.9% from RM74.37 million as at 31 December 2025 to RM86.93 million 31 March 2026 was mostly offset by the increase in current liabilities by RM10.65 million or 34.5% from RM30.90 million as at 31 December 2025 to RM41.55 million as at 31 March 2026. The increase in our current assets was due to the increase in inventories as well as cash and bank balances collectively by RM13.99 million, which was partially offset by the decrease in trade and other receivables as well as current tax assets collectively by RM1.43 million. Meanwhile, the increase in our current liabilities was due to the increase in trade and other payables, contract liabilities, current tax liabilities and borrowings collectively by RM11.61

11. FINANCIAL INFORMATION (Cont'd)

million, which was partially offset by the decrease in refund liabilities and lease liabilities collectively by RM0.96 million.

Our current ratio for the Financial Period Under Review is above 1 time. This indicates that our Group is capable of meeting our current obligations as our current assets which can be readily converted to cash, together with our cash and bank balances are sufficient to meet our current liabilities.

11.7.5 Gearing ratio

Our Group's gearing ratio for the Financial Period Under Review are as follows:

	Audited				As at 31
	As at 31 December				March
	2022	2023	2024	2025	2026
	RM'000	RM'000	RM'000	RM'000	RM'000
Total borrowings	10,358	6,475	17,628	18,967	19,191
Total equity	32,140	37,683	46,811	56,558	58,782
Gearing ratio (times)	0.32	0.17	0.38	0.34	0.33

Our Group's gearing ratio decreased from 0.32 times as at 31 December 2022 to 0.17 times as at 31 December 2023 mainly due to the decrease in our total borrowings by RM3.88 million which resulted from the repayment of bankers' acceptances and term loans, as well as increase in our total equity arising from the increase in our retained earnings during FYE 2023.

Our Group's gearing ratio subsequently increased to 0.38 times as at 31 December 2024 due to the increase in our total borrowings by RM11.15 million mainly arising from the drawdown of term loans and bankers' acceptances during FYE 2024.

Our Group's gearing ratio subsequently decreased to 0.34 times and 0.33 times as at 31 December 2025 and 31 March 2026 respectively due to the increase in our total equity by RM9.75 million and RM2.22 million in respective financial year and period, both driven by the increase in our retained earnings.

11.8 IMPACT OF GOVERNMENT, ECONOMIC, FISCAL OR MONETARY POLICIES

There were no government, economic, fiscal or monetary policies or factors which have materially affected our financial performance during the Financial Period Under Review. There is no assurance that our financial performance will not be adversely affected by the impact of further changes in government, economic, fiscal or monetary policies or factors moving forward. Risks relating to government, economic, fiscal or monetary policies or factors which may adversely and materially affect our business operations are set out in Section 8 of this Prospectus.

11.9 IMPACT OF INFLATION

Our financial performance during the Financial Period Under Review was not significantly affected by the impact of inflation. However, there is no assurance that our business will not be adversely affected by the impact of inflation in the future.

11. FINANCIAL INFORMATION (Cont'd)**11.10 IMPACT OF FOREIGN EXCHANGE RATE, INTEREST RATES AND/OR COMMODITY PRICES****11.10.1 Impact of foreign exchange rate**

Impact of foreign exchange rate to our Group as at 31 March 2026 is as follows:

	RM'000 equivalent of balances denominated					Total
	USD	SGD	RMB	EUR	(1) Other	RM'000
Financial assets						
Trade and other receivables	21,697	1,065	858	-	-	23,620
Cash and bank balances	10,835	290	-	-	(2) -	11,125
Total	32,532	1,355	858	-	(2) -	34,745
Financial liabilities						
Trade and other payables	13,701	3,380	3,244	7	-	20,332
Borrowings	2,148	191	-	-	-	2,339
Total	15,849	3,571	3,244	7	-	22,671

Notes:

(1) Refers to Indian Rupee.

(2) Represents amount less than RM1,000.

Based on the above:

- (i) our foreign currency trade and other receivables represent 90.3% of our total trade and other receivables of RM26.16 million as at 31 March 2026;
- (ii) our foreign currency cash and bank balances represent 86.5% of our total cash and bank balances of RM12.87 million as at 31 March 2026;
- (iii) our foreign currency trade and other payables represent 79.6% of our total trade and other payables of RM25.55 million as at 31 March 2026; and
- (iv) our foreign currency borrowings represent 12.2% of our total borrowings of RM19.19 million as at 31 March 2026.

Kindly refer to Note 30.6 of the Accountants' Report included in Section 12 of this Prospectus for the sensitivity analysis on our PBT and equity to a 5.0% strengthening and weakening of USD, SGD and RMB against RM, as well as SGD and RMB against USD, with all other variables held constant.

As at LPD, we do not enter into forward exchange contracts to hedge foreign currency risks. Nevertheless, we maintain foreign currency bank accounts to receive collections of our sales and make payments for our purchases in foreign currencies, which provide a natural hedge against foreign currency fluctuations for our overseas sales and purchases. We also monitor foreign exchange fluctuations on an on-going basis to ensure that our net foreign currency exposure is at an acceptable level that would not materially affect our cash flow positions as well as cash and bank balances.

11. FINANCIAL INFORMATION (Cont'd)**11.10.2 Impact of interest rates**

	Audited				Unaudited	Audited
	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2025	FPE 2026
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
EBIT	23,017	14,124	10,352	12,906	4,965	3,218
Finance costs	525	511	889	963	228	231
Interest coverage ratio (times) ⁽¹⁾	43.84	27.64	11.64	13.40	21.78	13.93

Note:

(1) Computed based on EBIT over finance costs for the Financial Period Under Review.

Interest coverage ratio measures the number of times a company can make its interest payments with its EBIT. The interest coverage ratio of our Group was between 11.64 to 43.84 times for the Financial Period Under Review, indicating that we have been able to generate sufficient EBIT to meet our interest serving obligations.

Our Group's financial results for the Financial Period Under Review were not materially affected by fluctuations in interest rates. However, major increase in interest rates would raise the cost of borrowings and our finance costs, which may have an adverse effect on the performance of our Group.

11.10.3 Impact of commodity prices

During the Financial Period Under Review, we were not directly affected by fluctuations in commodity prices.

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11. FINANCIAL INFORMATION (Cont'd)

11.11 DIRECTORS' DECLARATION ON OUR GROUP'S FINANCIAL PERFORMANCE

Our Board is of the opinion that:

- (a) our Group's revenue will remain sustainable in line with positive outlook of the pan-semiconductor industry as set out in the IMR Report in Section 7 of this Prospectus;
- (b) our liquidity will improve subsequent to the Public Issue given the proceeds to be raised for us to carry out our business strategies as stated in Section 6.7 of this Prospectus; and
- (c) our capital resources will strengthen, considering the proceeds to be raised from our Public Issue as well as internally generated funds. We may consider debt funding for our business expansion should the need arise.

In addition to the above, our Board is not aware of any circumstances which would result in a significant decline in our revenue and GP margins or know of any factors that are likely to have a material impact on our liquidity, revenue or profitability.

11.12 TREND INFORMATION

Based on our track record for the Financial Period Under Review, including our segmental analysis of revenue and profitability, the following trends may continue to affect our business:

- (a) During the Financial Period Under Review, our Group's revenue was derived from both the UHP and abatement segments. We expect both segments to continue to contribute to our financial performance moving forward;
- (b) The main components of our cost of sales are purchase of materials consumed and staff costs, which collectively accounted for 90.4% to 93.1% of our total cost of sales for the Financial Period Under Review. Moving forward, our cost of sales is expected to increase in tandem with the growth of our business and would depend on amongst others, the availability and price fluctuation of materials and staff costs; and
- (c) We achieved a GP margin of 21.8%, 22.2%, 18.9%, 23.9 and 24.3% for the FYE 2022, FYE 2023, FYE 2024, FYE 2025 and FPE 2026 respectively. We intend to maintain consistent or higher GP margin in the future. This would depend on, amongst others, our continued ability to manage our costs and pricing for the abatement systems, maintenance parts, as well as precision engineering components and sub-assembly modules in the future.
- (d) Our subsidiary, SIW Manufacturing, was granted Pioneer Status for a period of 5 years from December 2020 to November 2025. Pursuant to this Pioneer Status, SIW Manufacturing has been benefitted from 70.0% exemption from income tax on its statutory income arising from promoted activities for the production of waste gas abatement machine and integrated gas system and related modules and components for semiconductor industry during the relevant period. The effective tax rates of our Group for the Financial Period Under Review were 8.9%, 5.1%, 3.5%, 7.2% and 25.8% respectively.

Nonetheless, it is not our Group's intention to pursue for the extension of Pioneer Status following its expiry on 30 November 2025. Therefore, the effective tax rate of SIW Manufacturing is expected to be closer to Malaysia's statutory tax rate of 24.0% moving forward.

11. FINANCIAL INFORMATION (Cont'd)

As at LPD, after all reasonable enquiries, our Board confirms that our operations have not been and are not expected to be affected by any of the following:

- (a) known trends, demands, commitments, events or uncertainties that have had or that we reasonably expect to have a material favourable or unfavourable impact on our financial performance, position and operations, other than those discussed in this section, Section 6 and Section 8 of this Prospectus;
- (b) known trends, demands, commitments, events or uncertainties that are reasonably likely to make our Group's historical financial statements not necessarily indicative of the future financial performance and position other than those discussed in this section, Section 6 and Section 8 of this Prospectus;
- (c) known trends, demands, commitments, events or uncertainties that have resulted in a substantial increase in our Group's revenue save for those that had been discussed in this section, Section 6 and Section 8 of this Prospectus;
- (d) material capital commitments for capital expenditure as set out in Section 11.6 of this Prospectus; and
- (e) unusual, infrequent events or transactions or any significant economic changes that have materially affected the financial performance, position and operations of our Group save as discussed in Section 6 and Section 8 of this Prospectus.

Our Board is optimistic about the future prospects of our Group given the positive outlook of the industrial sector in Malaysia as set out in the IMR Report in Section 7 of this Prospectus, our Group's competitive advantages and key strengths as set out in Section 6.5.7 of this Prospectus as well as our future plans and business strategies as set out in Section 6.7 of this Prospectus.

11.13 ORDER BOOKS

Due to the nature of our business, we do not maintain an order book as we generate revenue by way of receipt of purchase orders from our customers on an ongoing basis. The secured purchase orders as at LPD are as follows:

	RM'000
Secured purchase orders	94,333

Based on the delivery schedules discussed with our customers, approximately RM63.42 million of our secured purchase orders as at the LPD are expected to be delivered by FYE 2026, while the remaining RM30.91 million is expected to be delivered in FYE 2027.

11.14 DIVIDEND POLICY

Our Group presently does not have any formal dividend policy. As our Company is an investment holding company, our ability to declare dividends or make other distributions to our shareholders are dependent upon the dividends we receive from our subsidiary, present or future.

Save for compliance with the solvency requirement under the Act, which is applicable to all Malaysian companies, there are no legal, financial, or economic restrictions on the ability of our existing subsidiary to transfer funds in the form of cash dividends, loans or advances to

11. FINANCIAL INFORMATION (Cont'd)

us. Moving forward, the payment of dividends or other distributions by our subsidiaries will depend on their distributable profits, operating results, financial condition, capital expenditure plans, business expansion plans and other factors that their respective boards of directors deem relevant.

The declaration of interim dividends and the recommendation of final dividends are subject to the discretion of our Board and any final dividends for the year are subject to shareholders' approval. It is our intention to pay dividends to shareholders in the future; however, such payments will depend upon a number of factors, including our Group's operating results, financial performance, capital expenditure requirements, business expansion plans and any other factors deemed relevant by our Board. Dividend payments, capital gains and profits from dealing in our Shares will not be subject to Malaysian taxation (not applicable to entities, including companies with trading of shares as their principal activity). No withholding tax is imposed on the above transactions.

Actual dividends proposed and declared may vary depending on the financial performance and cash flows of our Group, and may be waived if the payment of the dividends would adversely affect the cash flows and operations of our Group.

During the Financial Period Under Review and up to LPD, we have declared and paid the following dividends via internally generated funds:

	FYE 2022	FYE 2023	FYE 2024	FYE 2025	FPE 2026	1 April 2026 up to LPD
	RM'000	RM'000	RM'000	RM'000	RM'000	RM'000
Dividend declared	4,311	8,496	-	-	-	-
Dividend paid	2,433	9,374	1,000	-	-	-
Dividend payout ratio (%) ⁽¹⁾	21.0	65.3	-	-	-	-

Note:

(1) Calculated based on dividend declared over PAT.

Our Group confirms that save as disclosed above, there will be no further dividends to be declared and/or paid up to the completion of our Listing. Our Board does not foresee that dividends paid during the Financial Period Under Review and up to LPD would affect the execution and implementation of our future plans or business strategies moving forward.

Together with the proceeds raised from the Public Issue, we believe we have sufficient cash from operations and bank borrowings to fund our operations and expansion plans.

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11. FINANCIAL INFORMATION (Cont'd)**11.15 CAPITALISATION AND INDEBTEDNESS**

The table below summarises our capitalisation and indebtedness:

- (a) Based on the latest financial information as at 31 July 2026; and
- (b) After adjusting for the effects of the Public Issue including utilisation of proceeds from the Public Issue.

	Unaudited	I	II
	As at	After	After I and
	31 July 2026	our IPO	utilisation of
	RM'000	RM'000	proceeds
			RM'000
Capitalisation			
Shareholders' equity	63,550	102,888	97,388
Total capitalisation	63,550	102,888	97,388
Indebtedness ⁽¹⁾			
Current			
Borrowings	8,973	8,973	8,973
Lease liabilities	396	396	396
Non-current			
Borrowings	10,744	10,744	2,744
Lease liabilities	175	175	175
Total indebtedness	20,288	20,288	12,288
Total capitalisation and indebtedness	82,838	123,176	109,676
Gearing ratio (times) ⁽²⁾	0.31	0.19	0.12

Notes:

- (1) All of our indebtedness is secured and guaranteed.
- (2) Computed based on total indebtedness (excluding lease liabilities in relation to the right-of-use assets) divided by total capitalisation.

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12. ACCOUNTANTS' REPORT

ECOSYS (MALAYSIA) BERHAD
Registration No. 202301024280 (1518203-H)
(Incorporated in Malaysia)

**ACCOUNTANTS' REPORT ON THE
COMBINED FINANCIAL STATEMENTS**

GRANT THORNTON MALAYSIA PLT
CHARTERED ACCOUNTANTS
Member Firm of Grant Thornton International Ltd.

12. ACCOUNTANTS' REPORT (*Cont'd*)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

STATEMENT BY DIRECTOR

I, **Chan Chee Wei**, being the director of EcoSys (Malaysia) Berhad, do hereby state that, in my opinion, the accompanying combined financial statements set out on pages 5 to 77 are properly drawn up in accordance with Malaysian Financial Reporting Standards and IFRS Accounting Standards so as to give a true and fair view of the combined financial position of EcoSys (Malaysia) Berhad and its combining entities as at 31 March 2026, 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022 and of their combined financial performance and combined cash flows for the financial period/years then ended.

Signed on behalf of the Board of Directors in accordance with a resolution of Board of Directors:



.....
Chan Chee Wei

Date: 4 September 2026

12. ACCOUNTANTS' REPORT (Cont'd)



Date: 4 September 2026

The Board of Directors
EcoSys (Malaysia) Berhad
No. 25 Lorong Beringin 2
Taman Industri Beringin
14100 Simpang Ampat
Pulau Pinang

Dear Sirs/Madams,

Grant Thornton Malaysia PLT

Level 5, Menara BHL
51 Jalan Sultan Ahmad Shah
10050 Penang
Malaysia

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F +604 227 9828

Reporting Accountants' Opinion on the Combined Financial Statements contained in the Accountants' Report of EcoSys (Malaysia) Berhad ("the Company" or "EcoSys")

Opinion

We have audited the accompanying combined financial statements of the Company and its combining entities, SIW Manufacturing Sdn. Bhd. and its subsidiaries (collectively known as "EcoSys Group" or "the Group"), which comprise the combined statements of financial position as at 31 March 2026, 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022, and the combined statements of comprehensive income, combined statements of changes in equity and combined statements of cash flows for the financial period/years then ended, and notes to the combined financial statements, including material accounting policy information, as set out on pages 5 to 77.

The combined financial statements of the Group have been prepared solely for inclusion in the Prospectus of EcoSys in connection with the listing of and quotation for the entire enlarged issued share capital of EcoSys on the ACE Market of Bursa Malaysia Securities Berhad and for no other purposes.

In our opinion, the accompanying combined financial statements give a true and fair view of the combined financial position of the Group as at 31 March 2026, 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022, and of its combined financial performance and combined cash flows for the financial period/years then ended in accordance with Malaysian Financial Reporting Standards and IFRS Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants* (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

12. ACCOUNTANTS' REPORT (Cont'd)

Grant Thornton

Responsibilities of the Directors for the Combined Financial Statements

The directors of the Company are responsible for the preparation of combined financial statements of the Group that give a true and fair view in accordance with Malaysian Financial Reporting Standards and IFRS Accounting Standards. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of the combined financial statements of the Group that are free from material misstatement, whether due to fraud or error.

In preparing the combined financial statements of the Group, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements

Our objectives are to obtain reasonable assurance about whether the combined financial statements of the Group as a whole are free from material misstatement, whether due to fraud or error, and to issue a reporting accountants' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these combined financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the combined financial statements of the Group, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our reporting accountants' report to the related disclosures in the combined financial statements of the Group or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our report. However, future events or conditions may cause the Group to cease to continue as a going concern.

12. ACCOUNTANTS' REPORT (Cont'd)



Reporting Accountants' Responsibilities for the Audit of the Combined Financial Statements (cont'd)

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also: (cont'd)

- Evaluate the overall presentation, structure and content of the combined financial statements of the Group, including the disclosures, and whether the combined financial statements of the Group represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming an opinion on the combined financial statements of the Group. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Other Matter

The comparative information for the combined statements of comprehensive income, combined statements of changes in equity, combined statements of cash flows and notes to the combined financial statements of the Company for the financial period ended 31 March 2025 has not been audited.

Restriction on Distribution and Use

This report has been prepared solely to comply with the Prospectus Guidelines - Equity issued by the Securities Commission Malaysia and for inclusion in the Prospectus of EcoSys in connection with the listing of and quotation for the entire enlarged issued share capital of EcoSys on the ACE Market of Bursa Malaysia Securities Berhad and should not be relied upon for any other purposes. We do not assume responsibility to any other person for the content of this report.

Grant Thornton Malaysia PLT
AF: 0737
201906003682 (LLP0022494-LCA)
Chartered Accountants

Penang

Teh Khang Xuen
No. 03805/12/2027 J
Chartered Accountant

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF FINANCIAL POSITION

		Audited				
	NOTE	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
ASSETS						
Non-current assets						
Property, plant and equipment	4	16,983,088	17,511,939	16,588,404	5,174,958	6,343,584
Right-of-use assets	5	95,620	152,810	356,551	906,809	1,360,704
Intangible assets	6	249,473	258,978	428,694	520,285	928,432
Investment in associates	7	4,662,849	4,683,447	5,923,717	-	392,146
Other investments	8	1,223,353	1,220,046	1,306,944	1,298,337	1,218,884
Deferred tax assets	9	1,147,382	510,800	54,404	99,485	-
		<u>24,361,765</u>	<u>24,338,020</u>	<u>24,658,714</u>	<u>7,999,874</u>	<u>10,243,750</u>
Current assets						
Inventories	10	47,907,156	38,452,714	41,809,099	26,876,394	26,527,618
Trade and other receivables	11	26,155,343	27,124,629	26,990,017	18,994,351	25,165,259
Contract assets	12	-	-	-	-	29,852
Current tax assets		-	457,851	452,310	339,847	-
Cash and bank balances	13	12,870,647	8,338,034	8,977,446	10,818,840	9,923,986
		<u>86,933,146</u>	<u>74,373,228</u>	<u>78,228,872</u>	<u>57,029,432</u>	<u>61,646,715</u>
TOTAL ASSETS		<u>111,294,911</u>	<u>98,711,248</u>	<u>102,887,586</u>	<u>65,029,306</u>	<u>71,890,465</u>

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF FINANCIAL POSITION (CONT'D)

		Audited			
	NOTE	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM
EQUITY AND LIABILITIES					
Share capital	14.1	100	100	100	1
Invested equity	14.2	1,500,000	1,500,000	1,500,000	1,500,000
Reserves	15	57,281,702	55,058,001	45,310,629	36,183,170
Total equity		58,781,802	56,558,101	46,810,729	37,683,171
Non-current liabilities					
Borrowings	16	10,953,711	11,240,834	11,008,041	3,135,114
Lease liabilities	5	-	3,787	87,841	396,584
Deferred tax liabilities	9	12,522	12,569	13,852	14,206
		10,966,233	11,257,190	11,109,734	3,545,904
Current liabilities					
Trade and other payables	17	25,545,409	20,306,119	35,050,966	17,250,657
Borrowings	16	8,236,567	7,725,828	6,619,608	3,340,158
Lease liabilities	5	99,898	155,714	284,778	541,466
Contract liabilities	12	5,625,508	704,528	1,005,373	572,910
Refund liabilities	18	902,682	1,806,822	1,713,128	574,446
Current tax liabilities		1,136,812	196,946	293,270	1,520,594
		41,546,876	30,895,957	44,967,123	23,800,231
Total liabilities		52,513,109	42,153,147	56,076,857	27,346,135
TOTAL EQUITY AND LIABILITIES		111,294,911	98,711,248	102,887,586	65,029,306

12. ACCOUNTANTS' REPORT (Cont'd)**ECOSYS (MALAYSIA) BERHAD****Registration No. 202301024280 (1518203-H)**

(Incorporated in Malaysia)

COMBINED STATEMENTS OF COMPREHENSIVE INCOME

		Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 			
	NOTE			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Revenue	19	22,553,585	31,557,201	108,943,593	88,814,252	73,784,075	104,979,568
Cost of sales		<u>(17,068,165)</u>	<u>(23,290,399)</u>	<u>(82,908,591)</u>	<u>(71,996,387)</u>	<u>(57,390,758)</u>	<u>(82,041,796)</u>
Gross profit		5,485,420	8,266,802	26,035,002	16,817,865	16,393,317	22,937,772
Other income	20	405,563	113,397	602,056	3,169,388	8,776,712	8,511,592
Administrative and other operating expenses		<u>(2,634,142)</u>	<u>(3,716,899)</u>	<u>(12,748,183)</u>	<u>(9,011,676)</u>	<u>(11,045,921)</u>	<u>(8,813,525)</u>
Operating profit		3,256,841	4,663,300	13,888,875	10,975,577	14,124,108	22,635,839
Finance costs	21	(230,665)	(228,739)	(963,128)	(889,236)	(511,129)	(525,169)
Finance income	22	31,637	36,046	122,975	117,409	97,125	2,250
Share of results of associates	7	<u>(39,252)</u>	<u>302,046</u>	<u>(982,954)</u>	<u>(623,278)</u>	<u>-</u>	<u>381,263</u>
Profit before tax	23	3,018,561	4,772,653	12,065,768	9,580,472	13,710,104	22,494,183
Taxation	24	<u>(777,638)</u>	<u>(413,863)</u>	<u>(869,908)</u>	<u>(337,692)</u>	<u>(697,202)</u>	<u>(2,008,739)</u>
Profit for the financial period/year carried forward		2,240,923	4,358,790	11,195,860	9,242,780	13,012,902	20,485,444

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF COMPREHENSIVE INCOME (CONT'D)

		Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
	NOTE						
Profit for the financial period/year brought forward		2,240,923	4,358,790	11,195,860	9,242,780	13,012,902	20,485,444
Other comprehensive income, net of tax:							
Item that will be reclassified subsequently to profit or loss:							
Foreign currency translation differences for foreign operations		(35,876)	(122,083)	(1,156,982)	(382,487)	1,026,516	297,590
Share of other comprehensive income/(loss) of investment in associates		18,654	(30,226)	(291,506)	267,166	-	-
Total comprehensive income for the financial period/year		2,223,701	4,206,481	9,747,372	9,127,459	14,039,418	20,783,034
Basic earnings per share attributable to owners of the Group (sen)	25	149.38	290.57	746.34	616.14	867.53	1,365.70

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CHANGES IN EQUITY

				----- Non-distributable -----		Distributable	
	NOTE	Share Capital RM	Invested Equity RM	Foreign Currency Translation Reserve RM	Merger Reserve RM	Retained Profits RM	Total Equity RM
Audited							
Balance as at 1 January 2022		-	1,500,000	1,527,413	-	11,156,502	14,183,915
Total comprehensive income for the financial year		-	-	297,590	-	20,485,444	20,783,034
<i>Transactions with owners:</i>							
Adjustment on the internal restructuring	1.4 (a)	-	-	-	1,483,519	-	1,483,519
Dividends	26	-	-	-	-	(4,310,593)	(4,310,593)
Balance as at 31 December 2022 / 1 January 2023		-	1,500,000	1,825,003	1,483,519	27,331,353	32,139,875
At date of incorporation		1	-	-	-	-	1
Total comprehensive income for the financial year		-	-	1,026,516	-	13,012,902	14,039,418
<i>Transaction with owners:</i>							
Dividends	26	-	-	-	-	(8,496,123)	(8,496,123)
Balance as at 31 December 2023 / 1 January 2024		1	1,500,000	2,851,519	1,483,519	31,848,132	37,683,171
Total comprehensive income for the financial year		-	-	(115,321)	-	9,242,780	9,127,459
<i>Transaction with owners:</i>							
Issuance of shares	14.1	99	-	-	-	-	99
Balance as at 31 December 2024 / 1 January 2025		100	1,500,000	2,736,198	1,483,519	41,090,912	46,810,729

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CHANGES IN EQUITY (CONT'D)

			----- Non-distributable -----		Distributable	
	Share Capital RM	Invested Equity RM	Foreign Currency Translation Reserve RM	Merger Reserve RM	Retained Profits RM	Total Equity RM
Balance as at 1 January 2025	100	1,500,000	2,736,198	1,483,519	41,090,912	46,810,729
Total comprehensive income for the financial year	-	-	(1,448,488)	-	11,195,860	9,747,372
Balance as at 31 December 2025 / 1 January 2026	100	1,500,000	1,287,710	1,483,519	52,286,772	56,558,101
Total comprehensive income for the financial period	-	-	(17,222)	-	2,240,923	2,223,701
Balance as at 31 March 2026	100	1,500,000	1,270,488	1,483,519	54,527,695	58,781,802
Unaudited						
Balance as at 1 January 2025	100	1,500,000	2,736,198	1,483,519	41,090,912	46,810,729
Total comprehensive income for the financial period	-	-	(152,309)	-	4,358,790	4,206,481
Balance as at 31 March 2025	100	1,500,000	2,583,889	1,483,519	45,449,702	51,017,210

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	----- Audited -----			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
CASH FLOWS FROM OPERATING ACTIVITIES						
Profit before tax	3,018,561	4,772,653	12,065,768	9,580,472	13,710,104	22,494,183
Adjustments for:						
Accretion of interest on lease liabilities	1,610	6,732	15,360	40,908	49,760	104,317
Amortisation of intangible assets	17,468	291,000	333,386	61,189	625,429	150,100
Deposit forfeited	-	50,059	50,059	-	1,499	-
Depreciation of:	-	-	-	-	-	-
- property, plant and equipment	690,016	434,213	2,028,349	2,041,029	2,068,546	1,788,046
- right-of-use assets	56,044	128,688	327,887	542,374	749,651	788,800
Dividend income	-	-	-	-	-	(1,034,001)
Gain on bargain purchase	-	-	-	-	(1,143,354)	-
Gain on lease remeasurement	-	-	-	-	(41,148)	-
Gain on disposal of:						
- intangible assets	-	-	-	-	(4,589,226)	-
- investment in a subsidiary	-	-	-	(110,017)	-	(2,697,228)
Intangible assets written off	-	-	-	18,917	-	-
Interest expenses	229,055	222,007	947,768	848,328	461,369	420,852
Interest income	(31,637)	(36,046)	(122,975)	(117,409)	(97,125)	(2,250)
Inventories written off	-	-	-	-	2,138,133	-
Loss on disposal of property, plant and equipment	-	-	7,719	-	-	-
Property, plant and equipment written off	-	-	306,194	-	-	30,129
Share of results of associates	39,252	(302,046)	982,954	623,278	-	(381,263)
Unrealised loss/(gain) on foreign exchange, net	475,188	55,872	28,108	(17,461)	1,264,053	(133,840)
Operating profit before working capital changes carried forward	4,495,557	5,623,132	16,970,577	13,511,608	15,197,691	21,527,845

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	----- Audited -----			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Operating profit before working capital changes brought forward	4,495,557	5,623,132	16,970,577	13,511,608	15,197,691	21,527,845
Changes in:						
Inventories	(9,454,442)	1,277,427	3,700,514	(15,276,834)	(2,486,909)	(17,298,349)
Receivables	1,339,317	3,476,460	(2,593,312)	(7,207,632)	381,149	10,718,532
Payables	4,816,182	(9,548,978)	(2,828,948)	6,679,238	(5,655,644)	188,367
Associates	(84,862)	206,436	(6,120,586)	5,511,492	-	-
Contract assets	-	-	-	-	29,852	(29,852)
Contract liabilities	4,920,980	(944,173)	(300,845)	432,463	(509,528)	1,082,438
Refund liabilities	(904,116)	827,325	112,601	1,138,682	(720,444)	1,294,890
Cash generated from operations	5,128,616	917,629	8,940,001	4,789,017	6,236,167	17,483,871
Income tax paid	(483,269)	(346,252)	(1,362,235)	(1,634,880)	(2,049,943)	(790,491)
Income tax refunded	450,230	-	-	-	-	-
Interest paid	(229,055)	(222,007)	(947,768)	(848,328)	(461,369)	(420,852)
Interest received	31,637	36,046	122,975	117,409	97,125	2,250
Net cash from operating activities carried forward	4,898,159	385,416	6,752,973	2,423,218	3,821,980	16,274,778

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

		Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
	NOTE						
Net cash from operating activities brought forward		4,898,159	385,416	6,752,973	2,423,218	3,821,980	16,274,778
CASH FLOWS FROM INVESTING ACTIVITIES							
Dividend received		-	-	-	-	-	1,034,001
Investment in associates		-	(378,319)	(4,478,065)	(1,835,954)	-	-
Net cash inflow arising from acquisition of a subsidiary		-	-	-	-	1,929,080	-
Net cash inflow/(outflow) arising from disposal of a subsidiary		-	-	-	677,522	-	(411,105)
Placement of fixed deposits		(64,853)	(63,148)	(256,175)	(208,340)	-	-
Proceeds from disposal of intangible assets		-	-	-	-	4,589,226	-
Proceeds from disposal of property, plant and equipment		-	-	29,803	-	-	-
Acquisition of intangible assets		(9,104)	(169,062)	(196,785)	-	-	(598,930)
Purchase of property, plant and equipment	A	(162,543)	(485,588)	(3,078,692)	(13,456,400)	(385,694)	(614,226)
Net cash (used in)/from investing activities		(236,500)	(1,096,117)	(7,979,914)	(14,823,172)	6,132,612	(590,260)
Balance carried forward		4,661,659	(710,701)	(1,226,941)	(12,399,954)	9,954,592	15,684,518

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

		Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	Audited 1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
	NOTE						
Balance carried forward		4,661,659	(710,701)	(1,226,941)	(12,399,954)	9,954,592	15,684,518
CASH FLOWS FROM FINANCING ACTIVITIES							
Proceeds from issuance of shares		-	-	-	99	1	-
Dividend paid		-	-	-	(1,000,000)	(9,373,923)	(2,432,793)
Net change in a director's account	B	-	-	6,787	1,176,052	5,216,345	(6,387,713)
Net change in associates' balances		-	-	-	-	-	205,080
Net changes in bankers' acceptance	B	471,169	2,549,367	2,575,784	4,037,303	(1,518,430)	(407,706)
Repayment of hire purchases	B	(149,292)	(138,853)	(576,713)	(629,081)	(566,887)	(351,652)
Drawdown of term loans	B	-	218,763	1,137,723	10,638,101	-	-
Repayment of term loans	B	(98,261)	(719,985)	(2,031,593)	(2,893,946)	(2,337,190)	(1,903,627)
Payment of lease liabilities	B	(59,997)	(143,940)	(351,878)	(594,135)	(788,085)	(880,475)
Net cash from/(used in) financing activities		163,619	1,765,352	760,110	10,734,393	(9,368,169)	(12,158,886)
NET INCREASE/(DECREASE) IN CASH AND BANK BALANCES							
		4,825,278	1,054,651	(466,831)	(1,665,561)	586,423	3,525,632
Effects of foreign exchange rates changes		(357,518)	(263,528)	(428,756)	(384,173)	308,431	67,123
CASH AND BANK BALANCES AT BEGINNING		7,873,519	8,769,106	8,769,106	10,818,840	9,923,986	6,331,231
CASH AND BANK BALANCES AT END		12,341,279	9,560,229	7,873,519	8,769,106	10,818,840	9,923,986

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	----- Audited -----			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Represented by:						
Fixed deposits with a licensed bank	529,368	271,488	464,515	208,340	-	-
Cash in hand and at banks	12,341,279	9,560,229	7,873,519	8,769,106	10,818,840	9,923,986
	12,870,647	9,831,717	8,338,034	8,977,446	10,818,840	9,923,986
Less: Fixed deposits pledged with a licensed bank	(529,368)	(271,488)	(464,515)	(208,340)	-	-
	12,341,279	9,560,229	7,873,519	8,769,106	10,818,840	9,923,986

NOTES TO THE COMBINED STATEMENTS OF CASH FLOWS

A. Purchase of property, plant and equipment

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	----- Audited -----			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
NOTE						
Total purchases	162,543	485,588	3,312,504	13,456,400	925,235	2,682,941
Acquired under hire purchases	B -	-	(233,812)	-	(539,541)	(2,068,715)
Total cash acquisition	162,543	485,588	3,078,692	13,456,400	385,694	614,226

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

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(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

NOTES TO THE COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

B. Liabilities arising from financing activities

Reconciliation between the opening and closing balances in the combined statements of financial position for liabilities arising from financing activities of the Group is as follows:

	Balance at beginning RM	Net cash flows RM	Others ¹ RM	Balance at end RM
Audited				
31.3.2026				
Amount due to a director	15,336	-	-	15,336
Bankers' acceptance	6,613,087	471,169	-	7,084,256
Hire purchases	1,084,929	(149,292)	-	935,637
Term loans	11,268,646	(98,261)	-	11,170,385
Lease liabilities	159,501	(59,997)	394	99,898
	<u>19,141,499</u>	<u>163,619</u>	<u>394</u>	<u>19,305,512</u>
Total liabilities arising from financing activities				
31.12.2025				
Amount due to a director	8,549	6,787	-	15,336
Bankers' acceptance	4,037,303	2,575,784	-	6,613,087
Hire purchases	1,427,830	(342,901)	-	1,084,929
Term loans	12,162,516	(893,870)	-	11,268,646
Lease liabilities	372,619	(351,878)	138,760	159,501
	<u>18,008,817</u>	<u>993,922</u>	<u>138,760</u>	<u>19,141,499</u>
Total liabilities arising from financing activities				

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

NOTES TO THE COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

B. Liabilities arising from financing activities (cont'd)

Reconciliation between the opening and closing balances in the combined statements of financial position for liabilities arising from financing activities of the Group is as follows: (cont'd)

	Balance at beginning RM	Net cash flows RM	Others ¹ RM	Balance at end RM
31.12.2024				
Amount due (from)/to a director	(1,167,503)	1,176,052	-	8,549
Bankers' acceptance	-	4,037,303	-	4,037,303
Hire purchases	2,056,911	(629,081)	-	1,427,830
Term loans	4,418,361	7,744,155	-	12,162,516
Lease liabilities	938,050	(594,135)	28,704	372,619
Total liabilities arising from financing activities	6,245,819	11,734,294	28,704	18,008,817
31.12.2023				
Bankers' acceptance	1,518,430	(1,518,430)	-	-
Hire purchases	2,084,257	(27,346)	-	2,056,911
Term loans	6,755,551	(2,337,190)	-	4,418,361
Lease liabilities	1,469,388	(788,085)	256,747	938,050
Total liabilities arising from financing activities	11,827,626	(4,671,051)	256,747	7,413,322

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

NOTES TO THE COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

B. Liabilities arising from financing activities (cont'd)

Reconciliation between the opening and closing balances in the combined statements of financial position for liabilities arising from financing activities of the Group is as follows: (cont'd)

	Balance at beginning RM	Net cash flows RM	Others ¹ RM	Balance at end RM
31.12.2022				
Bankers' acceptance	1,926,136	(407,706)	-	1,518,430
Hire purchases	367,194	1,717,063	-	2,084,257
Term loans	8,659,178	(1,903,627)	-	6,755,551
Lease liabilities	1,724,634	(880,475)	625,229	1,469,388
Total liabilities arising from financing activities	12,677,142	(1,474,745)	625,229	11,827,626
Unaudited				
31.3.2025				
Amount due to a director	8,549	-	-	8,549
Bankers' acceptance	4,037,303	2,549,367	-	6,586,670
Hire purchases	1,427,830	(138,853)	-	1,288,977
Term loans	12,162,516	(501,222)	-	11,661,294
Lease liabilities	372,619	(143,940)	144,607	373,286
Total liabilities arising from financing activities	18,008,817	1,765,352	144,607	19,918,776

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD

Registration No. 202301024280 (1518203-H)

(Incorporated in Malaysia)

COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

NOTES TO THE COMBINED STATEMENTS OF CASH FLOWS (CONT'D)

B. Liabilities arising from financing activities (cont'd)

Reconciliation between the opening and closing balances in the combined statements of financial position for liabilities arising from financing activities of the Group is as follows: (cont'd)

¹ Others consist of non-cash movements as follows:

	Audited	Unaudited	 ----- Audited ----- 			
	1.1.2026	1.1.2025	1.1.2025	1.1.2024	1.1.2023	1.1.2022
	to	to	to	to	to	to
	31.3.2026	31.3.2025	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM	RM
Accretion of interest on lease liabilities	1,610	6,732	15,360	40,908	49,760	104,317
Addition of lease liabilities	-	140,329	140,329	-	1,122,948	471,685
Effect of lease remeasurement	-	-	-	-	(910,742)	-
Exchange differences	(1,216)	(2,454)	(16,929)	(12,204)	(5,219)	49,227
	<u>394</u>	<u>144,607</u>	<u>138,760</u>	<u>28,704</u>	<u>256,747</u>	<u>625,229</u>

12. ACCOUNTANTS' REPORT (Cont'd)

ECOSYS (MALAYSIA) BERHAD
Registration No. 202301024280 (1518203-H)
(Incorporated in Malaysia)

NOTES TO THE COMBINED FINANCIAL STATEMENTS

1. GENERAL INFORMATION

1.1 Introduction

This report has been prepared solely to comply with the Prospectus Guidelines - Equity issued by the Securities Commission Malaysia and for inclusion in the Prospectus of EcoSys (Malaysia) Berhad ("EcoSys" or "the Company") in connection with the listing of and quotation for the entire enlarged issued share capital of EcoSys on the ACE Market of Bursa Malaysia Securities Berhad ("Bursa Securities") (hereinafter defined as "the Listing"), via an initial public offering ("IPO") and should not be relied upon for any other purposes.

1.2 Background

EcoSys was incorporated on 26 June 2023 under the Companies Act 2016 in Malaysia as a private limited company under the name of HT Advance Tech R&D Sdn. Bhd. On 30 May 2024, the Company changed its name to EcoSys (Malaysia) Sdn. Bhd. and subsequently converted into a public limited company on 1 December 2025 and assumed its present name. The principal activity of the Company is investment holding whilst the principal activities of its combining entities are disclosed in Note 1.3 to the combined financial statements. The Company was incorporated to act as the special purpose vehicle for the purpose of acquiring SIW Manufacturing Sdn. Bhd. ("SIWM") and its wholly-owned subsidiaries pursuant to the internal restructuring exercises as detailed in Note 1.4 (e) to the combined financial statements pursuant to the Listing.

The registered office of the Company is located at Unit 6.1, 6th Floor, Wisma Leader, No.8, Jalan Larut, 10050 George Town, Pulau Pinang.

The principal place of business of the Company is located at No. 25, Lorong Beringin 2, Taman Industri Beringin, 14100 Simpang Ampat, Pulau Pinang.

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

1. GENERAL INFORMATION (CONT'D)

1.3 Principal activities

The Company's principal activity is that of investment holding. The details of the combining entities as at the end of the reporting period are as follows:

Name of entities	Country of incorporation/ Principal place of business	Effective equity interest					Principal activities
		31.3.2026 %	31.12.2025 %	31.12.2024 %	31.12.2023 %	31.12.2022 %	
SIWM	Malaysia	100	100	100	100	100	Ultra-high purity fabrication of precision engineering components and sub-assembly modules; and R&D, customisation, assembly, installation, testing, commissioning and maintenance of abatement systems.
<u>Subsidiaries of SIWM</u>							
SIW Engineering Pte. Ltd. ("SIWE") #	Singapore	100	100	100	100	100	Assembly of semiconductor devices and precision engineering components and sub-assembly modules.
EcoSys Pte. Ltd. ("EPL") #	Singapore	100	100	100	100	100	Trading of abatement systems.
<u>Indirect - held through SIWE</u>							
Kaisu Environmental Technology (Shanghai) Co., Ltd. ("Kaisu") #	People's Republic of China	-	-	-	100	-	Dormant.
<u>Indirect - held through EPL</u>							
BHT Services Pte. Ltd. ("BHT") #	Singapore	100	100	100	100	100	Leasing of patents, trademarks and brand names.

Grant Thornton Malaysia PLT are not the statutory auditors.

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

1. GENERAL INFORMATION (CONT'D)

1.4 Internal restructuring

Prior to the IPO, the following internal restructuring exercises were undertaken:

(a) Reorganisation of group structure

Prior to reorganisation of group structure, SIWM and SIW Engineering Co., Ltd. ("SIW Taiwan") were wholly-owned subsidiaries of SIWE, and BHT was a wholly-owned subsidiary of EPL. Both SIWE and EPL were companies owned by a director of the Group.

On 10 August 2022, SIWE disposed of its entire equity interest in SIWM, comprising 1,500,000 ordinary shares, to the directors of the Group for a total consideration of RM2,925,000. Subsequently, on 16 August 2022, SIWM acquired the entire equity interest in SIWE, comprising 760,000 ordinary shares, from the directors of the Group for a total cash consideration of RM2,983,519.

On 8 September 2022, SIWM acquired the entire equity interest in EPL, comprising 139,425 ordinary shares, and its wholly-owned subsidiary, BHT, from the directors of the Group for a total consideration of RM455,554.

The merger accounting principle has been applied to the acquisition of SIWE and EPL, as the consolidated entities were under common control by the same parties both before and after the acquisition. The effects of acquisition of SIWE on the combined statements of financial position are as follows:

	RM
Disposal consideration of SIWM recorded by SIWE	2,925,000
Less: Cost of investment in SIWM recorded by SIWE	<u>(1,441,481)</u>
Merger reserve	<u>1,483,519</u>

No merger reserve arose from the acquisition of EPL due to consideration paid was equal to the issued share capital of EPL on the date of acquisition.

On 9 December 2022, SIWE disposed of its entire equity interest in SIW Taiwan, comprising 600,000 ordinary shares, to the directors of the Group for a total cash consideration of RM1.

The effects of the disposal of SIW Taiwan on the financial position of the Group as at the end of the reporting period are disclosed as follows:

	RM
Inventories	430,511
Trade and other receivables	467,949
Cash and bank balances	411,106
Trade and other payables	<u>(3,848,093)</u>
Net assets disposed of	<u>(2,538,527)</u>
Foreign currency translation reserve	(158,700)
Less: Proceeds from disposal of investment in SIW Taiwan	<u>(1)</u>
Gain on disposal of a subsidiary in financial year 2022	<u>(2,697,228)</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****1. GENERAL INFORMATION (CONT'D)****1.4 Internal restructuring (cont'd)**

Prior to the IPO, the following internal restructuring exercises were undertaken: (cont'd)

(a) Reorganisation of group structure (cont'd)

The effects of the disposal of SIW Taiwan on the financial position of the Group as at the end of the reporting period are disclosed as follows: (cont'd)

	RM
<u>Net cash flow arising from disposal of investment in SIW Taiwan</u>	
Proceeds from disposal of investment in SIW Taiwan	1
Less: Cash and bank balances of SIW Taiwan disposed of	<u>(411,106)</u>
Net cash outflow	<u>(411,105)</u>

As a result of the above transactions, SIWE and EPL became wholly-owned subsidiaries of SIWM, which is in turn owned by the directors of the Group, while SIW Taiwan owned by the directors of the Group since then.

(b) Acquisition of Kaisu

On 30 October 2022, SIWE, a wholly-owned subsidiary of SIWM, entered into Share Transfer Agreements with third parties to acquire 75% equity interest in Kaisu for a total cash consideration of RM33,085. The registration of the transfer of equity interest in Kaisu from third parties to SIWE was completed on 6 February 2023. Consequently, the equity interest in Kaisu has increased from 25% to 100% and Kaisu became a wholly-owned subsidiary of SIWE.

The financial information relevant to the acquisition of Kaisu are as follows:

	RM
<u>Fair value of identifiable assets acquired and liabilities assumed</u>	
Trade and other receivables	129,601
Cash and bank balances	1,962,165
Trade and other payables	(931)
Current tax liabilities	<u>(522,250)</u>
Fair value of net identified assets acquired	1,568,585
Less: Carrying amount of investment in an associate	<u>(392,146)</u>
Group share's net assets	1,176,439
Less: Total purchase consideration transferred	<u>(33,085)</u>
Gain on bargain purchase in financial year 2023	<u>1,143,354</u>
<u>Net cash flow arising from acquisition of Kaisu</u>	
Purchase consideration settled in cash	33,085
Less: Cash and bank balances of the subsidiary acquired	<u>(1,962,165)</u>
Net cash inflow	<u>(1,929,080)</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****1. GENERAL INFORMATION (CONT'D)****1.4 Internal restructuring (cont'd)**

Prior to the IPO, the following internal restructuring exercises were undertaken: (cont'd)

(c) Disposal of investment in Kaisu

On 22 May 2024, SIWE, a wholly-owned subsidiary of SIWM, entered into a Share Transfer Agreement with Anhui EcoSys Automation Solutions Co. Ltd. ("Anhui Automation") to dispose the entire equity interest in Kaisu for a cash consideration of RM973,408. Anhui Automation is a company in which the directors of the Group have substantial financial interests and it became an associate of the Group subsequent to the changes of ownership as disclosed in Note 1.4 (d) to the combined financial statements.

The effects of the disposal of Kaisu on the financial position of the Group as at the end of the reporting period are disclosed as follows:

	RM
Other receivables	587,800
Current tax assets	2,482
Cash and bank balances	295,886
Other payables	(22,777)
Net assets disposed of	863,391
Less: Proceeds from disposal of investment in Kaisu	(973,408)
Gain on disposal of investment in a subsidiary in financial year 2024	(110,017)
<u>Net cash flow arising from disposal of investment in Kaisu</u>	
Proceeds from disposal of investment in Kaisu	973,408
Less: Cash and bank balances of Kaisu disposed of	(295,886)
Net cash inflow	677,522

(d) Acquisition of associates

- (i) On 6 September 2024, SIWM, a combining entity of the Group, entered into a Share Transfer Agreement with a director of the Group to acquire 120,000 ordinary shares in SIW Taiwan, representing 20% equity interest in SIW Taiwan for a total cash consideration of RM25,700. The acquisition was completed on 22 October 2024.
- (ii) On 30 October 2024, SIWM, a combining entity of the Group, entered into a Share Transfer Agreement with Eco Research Sdn. Bhd., a company in which a director of the Group has substantial financial interests, to acquire 30% equity interest in Anhui Automation and its wholly-owned subsidiaries for a purchase consideration of RM5,910,000. The acquisition was completed on 30 October 2024.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****1. GENERAL INFORMATION (CONT'D)****1.4 Internal restructuring (cont'd)**

Prior to the IPO, the following internal restructuring exercises were undertaken: (cont'd)

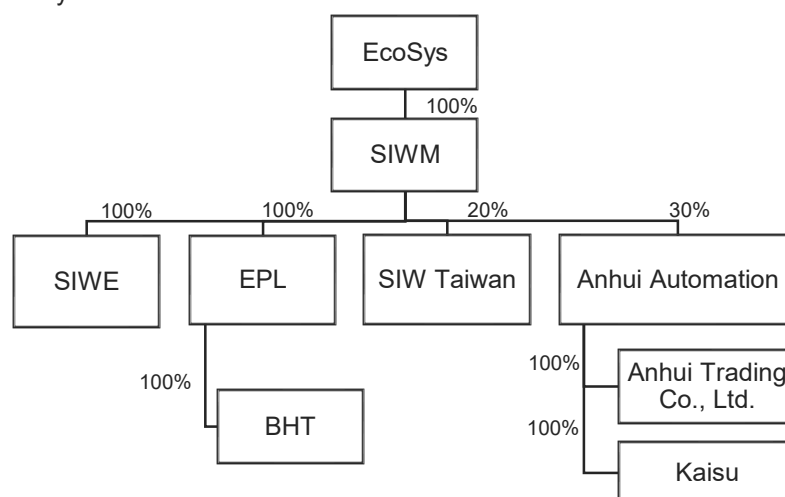
(e) Acquisition of SIWM

On 27 November 2025, EcoSys entered into a conditional share sale agreement with Chan Chee Wei and Solarvest Holdings Berhad to acquire the entire equity interest in SIWM, comprising 1,500,000 ordinary shares, for a purchase consideration of RM46,822,369. The purchase consideration was satisfied by the issuance of 425,657,900 new ordinary shares in the Company at an issue price of RM0.11 per ordinary share as follows:

	No. of ordinary shares issued Unit	Total consideration RM
Chan Chee Wei	297,960,530	32,775,658
Solarvest Holdings Berhad	127,697,370	14,046,711
	425,657,900	46,822,369

The acquisition was completed on 15 July 2026. Thereafter, SIWM became a wholly-owned subsidiary of EcoSys. The total purchase consideration of RM46,822,369 was arrived on a willing-buyer willing-seller basis after taking into consideration the audited net assets ("NA") of SIWM as at 31 December 2024 of RM46,822,418.

Following the completion of the abovementioned internal restructuring exercises, the group structure of EcoSys is as follows:



12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****1. GENERAL INFORMATION (CONT'D)****1.5 Movement of share capital of EcoSys**

The share capital of EcoSys as at the latest practicable date – 25 August 2026 ("LPD") is RM46,822,469 comprising 425,658,000 ordinary shares. The movement of EcoSys's share capital since its incorporation are set out below:

<u>Date of Allotment</u>	<u>No. of Ordinary Shares Allotted Unit</u>	<u>Consideration/Type of Issue</u>	<u>Cumulative share capital RM</u>
26 June 2023	1	RM1 / Subscriber's shares	1
15 May 2024	99	RM99 / Allotment of shares	100
15 July 2026	425,657,900	RM46,822,369 / Consideration for the acquisition of SIWM	46,822,469

As at the LPD, EcoSys does not have any outstanding warrant, option, convertible securities and uncalled capital. In addition, there are no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment of shares.

Upon completion of the IPO, the enlarged share capital of EcoSys will increase from RM46,822,469 comprising 425,658,000 ordinary shares to RM86,160,389 comprising 571,354,000 ordinary shares.

1.6 IPO Listing Scheme**(a) Public Issue**

A total of 145,696,000 new EcoSys ordinary shares ("Issue Shares") representing 25.50% of the enlarged share capital of EcoSys are offered at an issue price of RM0.27 per share and shall be allocated in the following manner:

- (i) 28,568,000 Issue Shares, representing 5.00% of the enlarged share capital are made available for application by the Malaysian Public;
- (ii) 11,428,000 Issue Shares, representing 2.00% of the enlarged share capital for eligible Directors, employees and persons who have contributed to the Group's success;
- (iii) 71,420,000 Issue Shares, representing 12.50% of the enlarged share capital for private placement to Bumiputera investors approved by Ministry of Investment, Trade and Industry Malaysia ("MITI"); and
- (iv) 34,280,000 Issue Shares, representing 6.00% of the enlarged share capital for private placement to selected investors.

(b) Listing

Subsequent to the above, the Company's entire enlarged share capital of RM86,160,389 comprising of 571,354,000 ordinary shares shall be listed on the ACE Market of Bursa Securities.

12. ACCOUNTANTS' REPORT (*Cont'd*)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

2. BASIS OF PREPARATION OF THE COMBINED FINANCIAL STATEMENTS

The combining entities are EcoSys and SIWM (collectively known as the "Group"). The combined financial statements of the Group have been prepared as if the Group has been operating as a single economic entity throughout the financial period ended 31 March 2026 and financial years ended 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022, since the combined entities were under common control throughout the financial period/years under review by virtue of common controlling shareholders.

2.1 Statement of Compliance

For the purpose of preparing this Accountants' Report, the combined financial statements of the Group for the financial period ended 31 March 2026 and financial years ended 31 December 2025, 31 December 2024, 31 December 2023 and 31 December 2022 have been prepared in accordance with Malaysian Financial Reporting Standards ("MFRSs"), IFRS Accounting Standards and in compliance with the Guidance Note on "Combined Financial Statements" issued by the Malaysian Institute of Accountant as well as Chapter 10, Part II Division I: Equity of the Prospectus Guidelines issued by the Securities Commission Malaysia.

2.2 Basis of Measurement

The combined financial statements of the Group are prepared under the historical cost convention, except for other investments that are measured at fair values.

2.3 Functional and Presentation Currency

Ringgit Malaysia ("RM") is the presentation currency of the Group.

RM is also the functional currency of the Company. The functional currency is the currency of the primary economic environment in which the Company operates. The Group's foreign operations have different functional currencies.

2.4 Adoption of Amendments/Improvements to MFRSs

The accounting policies adopted by the Group are consistent with those of the previous financial years except for the adoption of the following amendments/Improvements to MFRSs that are mandatory for the current financial period:

Effective for annual periods beginning on or after 1 January 2026

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures - Classification and Measurement of Financial Instruments

Annual Improvements to MFRS Accounting Standards - Volume 11

Amendments to MFRS 9 Financial Instruments and MFRS 7 Financial Instruments: Disclosures - Contracts Referencing Nature-dependent Electricity

Initial application of the above amendments to MFRSs did not have any material impact to the financial statements of the Group upon adoption.

12. ACCOUNTANTS' REPORT (*Cont'd*)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

2. BASIS OF PREPARATION OF THE COMBINED FINANCIAL STATEMENTS (CONT'D)

2.5 Standards/Amendments to MFRSs Issued But Not Yet Effective

The following are accounting standards/amendments to MFRSs that have been issued by the Malaysian Accounting Standards Board but are not yet effective for the Group:

Effective for annual periods beginning on or after 1 January 2027

MFRS 18 Presentation and Disclosure in Financial Statements

MFRS 19 Subsidiaries without Public Accountability: Disclosures

Amendments to MFRS 19 Subsidiaries without Public Accountability: Disclosures

Amendments to MFRS 121 The Effects of Changes in Foreign Exchange Rates - Translation to a Hyperinflationary Presentation Currency

*Amendments to MFRS 128 Investments in Associates and Joint Ventures - Amendments to the Fair Value Option for Investments in Associates and Joint Ventures**

* Effective when the Group applies *MFRS18 Presentation and Disclosure in Financial Statements*.

Effective for annual periods beginning on or after 1 January 2029

MFRS 20 Regulatory Assets and Regulatory Liabilities

Effective date yet to be confirmed

Amendments to MFRS 10 Consolidated Financial Statements and MFRS 128 Investments in Associates and Joint Ventures: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

The initial application of the above standards/amendments to MFRSs is not expected to have any material impact to the financial statements of the Group upon adoption, except for *MFRS 18 Presentation and Disclosure in Financial Statements*.

MFRS 18 introduces new requirements on presentation within the statements of profit or loss, including specified totals and subtotals. It also requires disclosure of management-defined performance measures and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements and the notes. In addition, there are consequential amendments to *MFRS 107 Statement of Cash Flows* and *MFRS 134 Interim Financial Reporting*.

The amendments will have an impact on the Group's presentation of combined statements of comprehensive income, combined statements of cash flows and additional disclosures in the notes to the combined financial statements but not on the measurement or recognition of any items in the Group's combined financial statements.

The Group is currently assessing the impact of *MFRS 18* and plans to adopt the new standard on the required effective date.

3. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS

The preparation of combined financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****3. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)****3.1 Judgements made in applying accounting policies**

In the process of applying the Group's accounting policies, management has made the following judgement, apart from those involving estimations, which has the most significant effect on the amounts recognised in the combined financial statements:

Determining the lease term of contracts with renewal and termination options - Group as lessee

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease if it is reasonably certain not to be exercised.

The Group has several lease contracts that include extension and termination options. The Group applies judgement in evaluating whether it is reasonably certain to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation to the leased asset).

The Group has not included the extension options period as part of the lease term for leases of premises as it is not reasonably certain that the extension options will be exercised. The periods covered by termination options are included as part of the lease term only when they are reasonably certain not to be exercised.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below:

(i) Provision for expected credit losses ("ECL") of receivables

The Group uses a provision matrix to calculate ECL for receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions are expected to deteriorate over the next year which can lead to an increased number of defaults in the manufacturing sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast of economic conditions and ECL is a significant estimate. The amount of ECL is sensitive to changes in circumstances and forecast of economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

The information about the ECL on the Group's trade receivables is disclosed in Note 30.3.1 to the combined financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****3. SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS (CONT'D)****3.2 Key sources of estimation uncertainty (cont'd)**

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below: (cont'd)

(ii) Leases - Estimating the incremental borrowing rate ("IBR")

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use assets in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for subsidiaries that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease (for example, when leases are not in the subsidiary's functional currency). The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the subsidiary's stand-alone credit rating).

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

4. PROPERTY, PLANT AND EQUIPMENT

	Freehold land RM	Building RM	Plant and machinery RM	Cleanroom RM	Computer and software RM	Equipment, signboard, webpage development, furniture and fittings RM	Electrical installation and renovation RM	Motor vehicles RM	Total RM
31.3.2026									
At cost									
Balance at beginning	3,359,611	6,463,749	7,279,893	242,946	1,113,566	1,111,051	6,752,047	1,014,729	27,337,592
Additions	-	-	127,508	-	-	32,257	2,778	-	162,543
Exchange differences	-	-	-	-	(1,877)	(2,077)	(6,508)	(1,173)	(11,635)
Balance at end	3,359,611	6,463,749	7,407,401	242,946	1,111,689	1,141,231	6,748,317	1,013,556	27,488,500
Accumulated depreciation									
Balance at beginning	-	234,815	5,384,550	12,147	998,292	671,856	2,017,554	506,439	9,825,653
Current charge	-	32,432	302,059	12,147	17,198	26,291	249,553	50,336	690,016
Exchange differences	-	-	-	-	(1,877)	(2,077)	(6,508)	205	(10,257)
Balance at end	-	267,247	5,686,609	24,294	1,013,613	696,070	2,260,599	556,980	10,505,412
Carrying amount	3,359,611	6,196,502	1,720,792	218,652	98,076	445,161	4,487,718	456,576	16,983,088

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	Freehold land RM	Building RM	Plant and machinery RM	Cleanroom RM	Computer and software RM	Equipment, signboard, webpage development, furniture and fittings RM	Electrical installation and renovation RM	Motor vehicles RM	Capital work-in- progress RM	Total RM
31.12.2025										
At cost										
Balance at beginning	3,359,611	6,398,189	11,118,016	829,815	1,090,574	1,275,406	2,855,480	845,600	3,318,306	31,090,997
Additions	-	-	448,207	16,920	73,715	160,343	353,280	333,553	1,926,486	3,312,504
Disposal	-	-	-	-	-	-	-	(141,419)	-	(141,419)
Written offs	-	-	(4,125,014)	(829,816)	-	(550,830)	(913,528)	-	-	(6,419,188)
Reclassification	-	65,560	31,888	226,027	1,130	283,517	4,636,670	-	(5,244,792)	-
Exchange differences	-	-	(193,204)	-	(51,853)	(57,385)	(179,855)	(23,005)	-	(505,302)
Balance at end	3,359,611	6,463,749	7,279,893	242,946	1,113,566	1,111,051	6,752,047	1,014,729	-	27,337,592
Accumulated depreciation										
Balance at beginning	-	106,636	8,573,119	721,135	960,635	1,128,242	2,588,730	424,096	-	14,502,593
Current charge	-	128,179	1,129,518	44,998	89,510	80,943	362,695	192,506	-	2,028,349
Disposal	-	-	-	-	-	-	-	(103,897)	-	(103,897)
Written offs	-	-	(4,125,014)	(753,986)	-	(479,944)	(754,050)	-	-	(6,112,994)
Exchange differences	-	-	(193,073)	-	(51,853)	(57,385)	(179,821)	(6,266)	-	(488,398)
Balance at end	-	234,815	5,384,550	12,147	998,292	671,856	2,017,554	506,439	-	9,825,653
Carrying amount	3,359,611	6,228,934	1,895,343	230,799	115,274	439,195	4,734,493	508,290	-	17,511,939

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	Freehold land RM	Building RM	Plant and machinery RM	Cleanroom RM	Computer and software RM	Equipment, signboard, webpage development, furniture and fittings RM	Electrical installation and renovation RM	Motor vehicles RM	Capital work-in- progress RM	Total RM
31.12.2024										
At cost										
Balance at beginning	-	-	11,274,616	829,815	1,066,309	1,268,233	2,905,162	849,395	-	18,193,530
Additions	3,359,611	6,398,189	312,416	-	38,588	29,290	-	-	3,318,306	13,456,400
Exchange differences	-	-	(469,016)	-	(14,323)	(22,117)	(49,682)	(3,795)	-	(558,933)
Balance at end	3,359,611	6,398,189	11,118,016	829,815	1,090,574	1,275,406	2,855,480	845,600	3,318,306	31,090,997
Accumulated depreciation										
Balance at beginning	-	-	7,758,916	555,171	891,890	1,064,051	2,491,923	256,621	-	13,018,572
Current charge	-	106,636	1,282,908	165,964	83,062	86,308	146,462	169,689	-	2,041,029
Exchange differences	-	-	(468,705)	-	(14,317)	(22,117)	(49,655)	(2,214)	-	(557,008)
Balance at end	-	106,636	8,573,119	721,135	960,635	1,128,242	2,588,730	424,096	-	14,502,593
Carrying amount	3,359,611	6,291,553	2,544,897	108,680	129,939	147,164	266,750	421,504	3,318,306	16,588,404

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	Plant and machinery RM	Cleanroom RM	Computer and software RM	Equipment, signboard, webpage development, furniture and fittings RM	Electrical installation and renovation RM	Motor vehicles RM	Total RM
31.12.2023							
At cost							
Balance at beginning	10,310,125	741,815	967,622	1,157,959	2,720,938	748,307	16,646,766
Additions	466,585	88,000	45,521	50,855	-	274,274	925,235
Exchange differences	497,906	-	53,166	59,419	184,224	(173,186)	621,529
Balance at end	11,274,616	829,815	1,066,309	1,268,233	2,905,162	849,395	18,193,530
Accumulated depreciation							
Balance at beginning	5,965,797	396,541	735,435	886,291	2,120,244	198,874	10,303,182
Current charge	1,352,453	158,630	104,037	118,341	196,617	138,468	2,068,546
Exchange differences	440,666	-	52,418	59,419	175,062	(80,721)	646,844
Balance at end	7,758,916	555,171	891,890	1,064,051	2,491,923	256,621	13,018,572
Carrying amount	3,515,700	274,644	174,419	204,182	413,239	592,774	5,174,958

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

	Plant and machinery RM	Cleanroom RM	Computer and software RM	Equipment, signboard, webpage development, furniture and fittings RM	Electrical installation and renovation RM	Motor vehicles RM	Total RM
31.12.2022							
At cost							
Balance at beginning	8,385,347	653,015	830,743	1,084,739	2,384,627	991,288	14,329,759
Additions	1,903,640	88,800	136,879	73,220	336,302	144,100	2,682,941
Written offs	(52,680)	-	-	-	-	(386,158)	(438,838)
Exchange differences	73,818	-	-	-	9	(923)	72,904
Balance at end	10,310,125	741,815	967,622	1,157,959	2,720,938	748,307	16,646,766
Accumulated depreciation							
Balance at beginning	4,913,395	254,098	627,489	776,049	1,871,373	463,537	8,905,941
Current charge	1,055,974	142,443	107,950	110,255	248,966	122,458	1,788,046
Written offs	(22,551)	-	-	-	-	(386,158)	(408,709)
Exchange differences	18,979	-	(4)	(13)	(95)	(963)	17,904
Balance at end	5,965,797	396,541	735,435	886,291	2,120,244	198,874	10,303,182
Carrying amount	4,344,328	345,274	232,187	271,668	600,694	549,433	6,343,584

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

- (i) On 10 October 2023, SIWM, a combining entity of the Group, had entered into a Sale and Purchase Agreement with a third party to acquire a freehold land and building for a purchase consideration of RM9,250,000. The acquisition transaction had been completed during financial year 2024.
- (ii) The carrying amount of property, plant and equipment which is pledged to a licensed bank as securities for banking facilities granted to the Group as disclosed in Note 16 to the combined financial statements are as follows:

	----- Audited -----				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Freehold land	3,359,611	3,359,611	3,359,611	-	-
Building	6,196,502	6,228,934	6,291,553	-	-
Capital work-in-progress	-	-	65,560	-	-
	<u>9,556,113</u>	<u>9,588,545</u>	<u>9,716,724</u>	<u>-</u>	<u>-</u>

- (iii) The carrying amount of property, plant and equipment of the Group which is pledged as securities for the hire purchases as disclosed in Note 16 to the combined financial statements are as follows:

	----- Audited -----				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Plant and machinery	353,262	457,455	874,224	1,290,993	1,707,761
Computer and software	-	-	16,586	35,375	54,165
Motor vehicles	<u>417,939</u>	<u>454,153</u>	<u>305,369</u>	<u>573,078</u>	<u>428,382</u>
	<u>771,201</u>	<u>911,608</u>	<u>1,196,179</u>	<u>1,899,446</u>	<u>2,190,308</u>

Material accounting policy information

Property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Property, plant and equipment are depreciated on the straight-line method to write off the cost of each asset to its residual value over its estimated useful life, at the following annual rates:

Building	2%
Plant and machinery	20%
Cleanroom	20%
Computer and software	25%
Equipment, signboard, webpage development, furniture and fittings	20%
Electrical installation and renovation	20%
Motor vehicles	20%

Freehold land is not depreciated as it has an infinite life.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****4. PROPERTY, PLANT AND EQUIPMENT (CONT'D)**

Capital work-in-progress represents assets under construction, and which are not ready for commercial use at the end of the reporting period. Capital work-in-progress is stated at cost and is transferred to the relevant category of assets and depreciated accordingly when the assets are completed and ready for commercial use. Capital work-in-progress is not depreciated until the assets are ready for their intended use.

5. RIGHT-OF-USE ASSETS AND LEASE LIABILITIES**Group as a lessee**

The Group has lease contracts for premises used in its operations that have lease terms of two to three years. The premises consist of factory warehouse, hostels and offices.

The Group also has certain leases of hostels and offices with lease terms of 12 months or less and leases of equipment and forklift with low value. The Group applies the 'short-term lease' and 'lease of low-value assets' recognition exemptions for these leases.

Right-of-use assets

Set out below are the carrying amount of right-of-use assets and the movements during the financial period/year:

	----- Audited -----				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
Premises					
Balance at beginning	152,810	356,551	906,809	1,360,704	1,695,972
Additions	-	140,329	-	1,122,948	471,685
Depreciation	(56,044)	(327,887)	(542,374)	(749,651)	(788,800)
Effect of lease remeasurement	-	-	-	(869,594)	-
Exchange differences	(1,146)	(16,183)	(7,884)	42,402	(18,153)
Balance at end	<u>95,620</u>	<u>152,810</u>	<u>356,551</u>	<u>906,809</u>	<u>1,360,704</u>

Lease liabilities

Set out below are the carrying amount of lease liabilities and the movements during the financial period/year:

	----- Audited -----				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
Balance at beginning	159,501	372,619	938,050	1,469,388	1,724,634
Additions	-	140,329	-	1,122,948	471,685
Accretion of interest	1,610	15,360	40,908	49,760	104,317
Payment	(59,997)	(351,878)	(594,135)	(788,085)	(880,475)
Effect of lease remeasurement	-	-	-	(910,742)	-
Exchange differences	(1,216)	(16,929)	(12,204)	(5,219)	49,227
Balance at end	<u>99,898</u>	<u>159,501</u>	<u>372,619</u>	<u>938,050</u>	<u>1,469,388</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****5. RIGHT-OF-USE ASSETS AND LEASE LIABILITIES (CONT'D)**

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Represented by:					
Non-current liabilities	-	3,787	87,841	396,584	795,063
Current liabilities	99,898	155,714	284,778	541,466	674,325
	<u>99,898</u>	<u>159,501</u>	<u>372,619</u>	<u>938,050</u>	<u>1,469,388</u>

The maturity analysis of lease liabilities is disclosed in Note 30.4 to the combined financial statements.

The following are the amounts recognised in profit or loss:

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Accretion of interest on lease liabilities	1,610	15,360	40,908	49,760	104,317
Depreciation of right-of-use assets	56,044	327,887	542,374	749,651	788,800
Expenses relating to leases of low-value assets	7,831	130,727	24,360	844	3,129
Expenses relating to short-term leases	-	353,219	407,283	351,822	198,011
Gain on lease remeasurement	-	-	-	(41,148)	-
Total amount recognised in profit or loss	<u>65,485</u>	<u>827,193</u>	<u>1,014,925</u>	<u>1,110,929</u>	<u>1,094,257</u>
Total cash outflows for leases	<u>67,828</u>	<u>835,824</u>	<u>1,025,778</u>	<u>1,140,751</u>	<u>1,081,615</u>

Material accounting policy information**Right-of-use assets**

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets.

Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets as follows:

Premises	2 to 3 years
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12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****6. INTANGIBLE ASSETS**

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Patent/Trademark					
At cost					
Balance at beginning	716,950	583,717	15,597,280	17,051,572	16,496,332
Additions	9,104	196,785	-	-	598,930
Disposals	-	-	-	(2,493,843)	-
Written offs	-	-	(14,739,214)	-	-
Exchange differences	(2,446)	(63,552)	(274,349)	1,039,551	(43,690)
Balance at end	<u>723,608</u>	<u>716,950</u>	<u>583,717</u>	<u>15,597,280</u>	<u>17,051,572</u>
Accumulated amortisation					
Balance at beginning	457,972	155,023	15,076,995	16,123,140	16,010,389
Current charge	17,468	333,386	61,189	625,429	150,100
Disposals	-	-	-	(2,493,843)	-
Written offs	-	-	(14,720,297)	-	-
Exchange differences	(1,305)	(30,437)	(262,864)	822,269	(37,349)
Balance at end	<u>474,135</u>	<u>457,972</u>	<u>155,023</u>	<u>15,076,995</u>	<u>16,123,140</u>
Carrying amount	<u>249,473</u>	<u>258,978</u>	<u>428,694</u>	<u>520,285</u>	<u>928,432</u>

Material accounting policy information

Intangible assets, which are acquired separately that have finite useful lives, are stated at cost less accumulated depreciation and any accumulated impairment losses.

The patent/trademark is carried at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated using the straight-line method to write off the cost of patent/trademark over its useful life of 5 to 10 years.

7. INVESTMENT IN ASSOCIATES

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Unquoted shares, at cost	6,314,019	6,314,019	5,935,700	-	10,883
Share of post-acquisition reserves	<u>(1,651,170)</u>	<u>(1,630,572)</u>	<u>(11,983)</u>	<u>-</u>	<u>381,263</u>
	<u>4,662,849</u>	<u>4,683,447</u>	<u>5,923,717</u>	<u>-</u>	<u>392,146</u>

12. ACCOUNTANTS' REPORT (Cont'd)

NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)

7. INVESTMENT IN ASSOCIATES (CONT'D)

The details of the associates are as follows:

Name of entities	Country of incorporation/ Principal place of business	Effective equity interest					Principal activities
		31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022	
		%	%	%	%	%	
Anhui Automation	People's Republic of China	30	30	30	-	-	Manufacturing of abatement systems and related modules and components for maintenance services.
SIW Taiwan	Taiwan	20	20	20	-	-	Trading of semiconductor equipment, parts, components, and maintenance services.
<u>Indirect - held through Anhui Automation</u>							
Anhui EcoSys Trading Co., Ltd. ("Anhui Trading")	People's Republic of China	30	30	30	-	-	Trading of parts, equipment and materials.
Kaisu	People's Republic of China	30	30	30	-	-	Dormant.
<u>Indirect - held through SIWE</u>							
Kaisu	People's Republic of China	-	-	-	-	25	Dormant.

All of the above associates are not audited by Grant Thornton Malaysia PLT.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****7. INVESTMENT IN ASSOCIATES (CONT'D)****31.12.2025**

On 2 January 2025, SIWM, a combining entity of the Group, has subscribed an additional 280,000 ordinary shares in SIW Taiwan for a purchase consideration of RM378,319. No changes in equity interest subsequent to the subscription of additional ordinary shares.

31.12.2024

- (i) On 22 May 2024, SIWE, a wholly-owned subsidiary of SIWM, entered into a Share Transfer Agreement with Anhui Automation to dispose the entire equity interest in Kaisu for a cash consideration of RM973,408. Consequently, Kaisu became a wholly-owned subsidiary of Anhui Automation.
- (ii) On 6 September 2024, SIWM, a combining entity of the Group, entered into a Share Transfer Agreement with a director of the Group to acquire 120,000 ordinary shares in SIW Taiwan, representing 20% equity interest in SIW Taiwan for a total cash consideration of RM25,700. The acquisition was completed on 22 October 2024.
- (iii) On 30 October 2024, SIWM, a combining entity of the Group, entered into a Share Transfer Agreement with Eco Research Sdn. Bhd., a company in which a director of the Group has substantial financial interests, to acquire 30% equity interest in Anhui Automation and its wholly-owned subsidiaries, Anhui Trading and Kaisu, for a purchase consideration of RM5,910,000. The acquisition was completed on 30 October 2024.

31.12.2023

On 30 October 2022, SIWE, a wholly-owned subsidiary of SIWM, entered into Share Transfer Agreements with third parties to acquire 75% equity interest in Kaisu for a total cash consideration of RM33,085. The registration of the transfer of equity interest in Kaisu from third parties to SIWE was completed on 6 February 2023. Consequently, the equity interest in Kaisu has increased from 25% to 100% and Kaisu became a wholly-owned subsidiary of SIWE.

Summarised financial information of associates

The summarised financial information of the Group's material associates, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in the associates.

	SIW Taiwan RM	Anhui Automation RM	Total RM
Financial position as at 31 March 2026			
Non-current assets	107,557	4,937,359	5,044,916
Current assets	2,456,338	28,978,824	31,435,162
Non-current liabilities	-	(2,929,000)	(2,929,000)
Current liabilities	<u>(1,012,418)</u>	<u>(16,478,668)</u>	<u>(17,491,086)</u>
Net assets	<u>1,551,477</u>	<u>14,508,515</u>	<u>16,059,992</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****7. INVESTMENT IN ASSOCIATES (CONT'D)**Summarised financial information of associates (cont'd)

The summarised financial information of the Group's material associates, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in the associates. (cont'd)

	SIW Taiwan RM	Anhui Automation RM	Total RM
Summary of financial performance for the financial period ended 31 March 2026			
Revenue	1,672,565	4,161,477	5,834,042
Profit/(Loss) for the financial period	161,160	(238,279)	(77,119)
Other comprehensive (loss)/income	(72,703)	110,650	37,947
Total comprehensive income/(loss)	<u>88,457</u>	<u>(127,629)</u>	<u>(39,172)</u>
Reconciliation of net assets to carrying amount as at 31 March 2026			
Group's share of net assets, representing carrying amount in the combined statements of financial position	<u>310,295</u>	<u>4,352,554</u>	<u>4,662,849</u>
Group's share of results for the financial period ended 31 March 2026			
Group's share of profit/(loss)	32,232	(71,484)	(39,252)
Group's share of other comprehensive (loss)/ income	<u>(14,541)</u>	<u>33,195</u>	<u>18,654</u>
Group's share of total comprehensive income/(loss)	<u>17,691</u>	<u>(38,289)</u>	<u>(20,598)</u>
Financial position as at 31 December 2025			
Non-current assets	113,027	5,092,825	5,205,852
Current assets	2,829,418	21,902,543	24,731,961
Non-current liabilities	-	(988,040)	(988,040)
Current liabilities	<u>(1,479,425)</u>	<u>(11,371,184)</u>	<u>(12,850,609)</u>
Net assets	<u>1,463,020</u>	<u>14,636,144</u>	<u>16,099,164</u>
Summary of financial performance for the financial year ended 31 December 2025			
Revenue	4,260,428	23,396,435	27,656,863
Loss for the financial year	(304,164)	(4,179,121)	(4,483,285)
Other comprehensive loss	<u>(61,842)</u>	<u>(930,457)</u>	<u>(992,299)</u>
Total comprehensive loss	<u>(366,006)</u>	<u>(5,109,578)</u>	<u>(5,475,584)</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****7. INVESTMENT IN ASSOCIATES (CONT'D)**Summarised financial information of associates (cont'd)

The summarised financial information of the Group's material associates, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in the associates. (cont'd)

	SIW Taiwan RM	Anhui Automation RM	Total RM
Reconciliation of net assets to carrying amount as at 31 December 2025			
Group's share of net assets, representing carrying amount in the combined statements of financial position	<u>292,604</u>	<u>4,390,843</u>	<u>4,683,447</u>
Group's share of results for the financial year ended 31 December 2025			
Group's share of loss	(73,347)	(1,253,736)	(1,327,083)
Less: Elimination of unrealised profits arising from transactions with associates	-	344,129	344,129
Group's share of loss, net	(73,347)	(909,607)	(982,954)
Group's share of other comprehensive loss	(12,368)	(279,138)	(291,506)
Group's share of total comprehensive loss	<u>(85,715)</u>	<u>(1,188,745)</u>	<u>(1,274,460)</u>
Financial position as at 31 December 2024			
Non-current assets	-	5,518,037	5,518,037
Current assets	1,263,680	32,817,303	34,080,983
Current liabilities	<u>(1,326,249)</u>	<u>(18,589,618)</u>	<u>(19,915,867)</u>
Net (liabilities)/assets	<u>(62,569)</u>	<u>19,745,722</u>	<u>19,683,153</u>
Summary of financial performance for the financial year ended 31 December 2024			
Revenue	1,020,364	5,486,506	6,506,870
Loss for the financial year	(191,070)	(501,707)	(692,777)
Other comprehensive income	-	890,549	890,549
Total comprehensive (loss)/income	<u>(191,070)</u>	<u>388,842</u>	<u>197,772</u>
Reconciliation of net assets to carrying amount as at 31 December 2024			
Group's share of net assets, representing carrying amount in the combined statements of financial position	<u>-</u>	<u>5,923,717</u>	<u>5,923,717</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****7. INVESTMENT IN ASSOCIATES (CONT'D)**Summarised financial information of associates (cont'd)

The summarised financial information of the Group's material associates, adjusted for any differences in accounting policies and reconciles the information to the carrying amount of the Group's interest in the associates. (cont'd)

	SIW Taiwan RM	Anhui Automation RM	Total RM
Group's share of results for the financial year ended 31 December 2024			
Group's share of loss	(25,700)	(150,512)	(176,212)
Less: Impairment of goodwill	-	(102,937)	(102,937)
Less: Elimination of unrealised profits arising from transactions with associates	-	(344,129)	(344,129)
Group's share of loss, net	(25,700)	(597,578)	(623,278)
Group's share of other comprehensive income	-	267,166	267,166
Group's share of total comprehensive loss	<u>(25,700)</u>	<u>(330,412)</u>	<u>(356,112)</u>

**Kaisu
RM**

Financial position as at 31 December 2022

Current assets	2,091,766
Current liabilities	<u>(523,181)</u>
Net assets	<u>1,568,585</u>

**Summary of financial performance for the financial year ended 31
December 2022**

Net profit, representing total comprehensive income	<u>1,525,052</u>
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Reconciliation of net assets to carrying amount as at 31 December 2022

Group's share of net assets, representing carrying amount in the combined statements of financial position	<u>392,146</u>
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Group's share of results for the financial year ended 31 December 2022

Group's share of profit	<u>381,263</u>
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Unrecognised share of loss of an associate

The unrecognised share of loss of an associate amounted to **RM Nil** (31.12.2025: Nil; 31.12.2024: RM12,514; 31.12.2023: RM Nil; 31.12.2022: RM Nil) in the current financial period/year. As a result, the accumulated unrecognised share of loss of an associate amounted to **RM Nil** (31.12.2025: Nil; 31.12.2024: RM12,514; 31.12.2023: RM Nil; 31.12.2022: RM Nil). The Group has ceased recognising its share of profit since there is no further entitlement in respect of those profits using the equity method of accounting.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****7. INVESTMENT IN ASSOCIATES (CONT'D)**Contingent liabilities and capital commitments

The associates have no contingent liabilities or capital commitments as at the end of the reporting period.

Material accounting policy information

The investment in associates is accounted for using the equity method.

8. OTHER INVESTMENTS

	----- Audited -----				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
Non-current assets					
At fair value					
through profit or					
loss ("FVTPL"):					
In Singapore					
- Insurance contracts	1,223,353	1,220,046	1,306,944	1,298,337	1,218,884

- (i) This is the keyman life insurance purchased by the Group to cover up for any losses suffered, debts incurred and costs borne for finding and hiring a suitable replacement when the key management personnel is unable to perform his day-to-day functions.
- (ii) The keyman life insurance is pledged to a licensed bank for banking facilities granted to the Group as disclosed in Note 16 to the combined financial statements.
- (iii) The fair value of investment linked keyman life insurance policy is based on the total cash surrender value of the contract stated in the annual statement of this policy. This was determined based on the Level 3 in the fair value hierarchy.

Level 3 fair value

The fair value of the insurance contracts is derived based on the total cash surrender value in accordance with the insurance contracts which are not an observable input. Management estimates the fair value based on the insurance policy of the insurance contracts provided by the insurance company.

The unobservable input is the cash surrender value quoted by the insurance company according to the insurance contracts. When the cash surrender value is higher, the fair value of the insurance contracts will be higher.

Policy on transfer between levels

The fair value of an asset to be transferred between levels is determined as at the date of the event or change in circumstances that caused the transfer. There were no transfers between Level 1, Level 2 and Level 3 during the financial period/years under review.

Material accounting policy information

The insurance contract is initially recognised at the amount of the premium paid and subsequently carried at fair value at the end of each reporting period, with changes in fair value recognised in profit or loss.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****9. DEFERRED TAX ASSETS/(LIABILITIES)**

	Audited				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Balance at beginning	498,231	40,552	85,279	(339,587)	(252,000)
Recognised in profit or loss	636,117	61,378	59	195,478	(87,632)
Exchange differences	47	1,283	354	(619)	45
	1,134,395	103,213	85,692	(144,728)	(339,587)
Over/(Under) provision in prior year	465	395,018	(45,140)	230,007	-
Balance at end	<u>1,134,860</u>	<u>498,231</u>	<u>40,552</u>	<u>85,279</u>	<u>(339,587)</u>

The recognised deferred tax assets/(liabilities), after appropriate offsetting, are as follows:

	Audited				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Deferred tax assets	1,147,382	510,800	54,404	99,485	-
Deferred tax liabilities	<u>(12,522)</u>	<u>(12,569)</u>	<u>(13,852)</u>	<u>(14,206)</u>	<u>(339,587)</u>
	<u>1,134,860</u>	<u>498,231</u>	<u>40,552</u>	<u>85,279</u>	<u>(339,587)</u>

The deferred tax assets/(liabilities) at the end of the reporting period are made up of the temporary differences arising from:

	Audited				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Property, plant and equipment	(311,962)	(108,347)	26,756	94,613	(339,587)
Unabsorbed capital allowances	-	483,339	-	-	-
Others	<u>1,446,822</u>	<u>123,239</u>	<u>13,796</u>	<u>(9,334)</u>	<u>-</u>
	<u>1,134,860</u>	<u>498,231</u>	<u>40,552</u>	<u>85,279</u>	<u>(339,587)</u>

The unabsorbed capital allowances can be carried forward indefinitely.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****10. INVENTORIES**

	Audited				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
At cost:					
Raw materials	37,629,667	26,486,572	28,090,519	20,117,486	23,258,694
Work-in-progress	7,567,600	7,440,843	6,848,646	4,358,375	1,741,621
Goods-in-transit	-	-	353,960	38,506	819,850
Finished goods	2,709,889	4,525,299	6,515,974	2,362,027	707,453
	<u>47,907,156</u>	<u>38,452,714</u>	<u>41,809,099</u>	<u>26,876,394</u>	<u>26,527,618</u>

The cost of inventories of the Group recognised in profit or loss during the financial period/year is as follows:

	Audited		Unaudited		Audited	
	1.1.2026	1.1.2025	1.1.2025	1.1.2024	1.1.2023	1.1.2022
	to	to	to	to	to	to
	31.3.2026	31.3.2025	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM	RM
Inventories recognised as cost of sales	17,068,165	23,290,399	82,908,591	71,996,387	55,252,625	82,041,796
Inventories written off	-	-	-	-	2,138,133	-

Material accounting policy information

Inventories are stated at the lower of cost and net realisable value. The cost of inventories is determined on the first-in, first-out basis.

11. TRADE AND OTHER RECEIVABLES

	Audited				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
Trade receivables					
Third parties	21,055,946	23,202,331	19,221,526	8,851,606	10,233,025
Amount due from associates	763,911	489,253	172,945	-	-
Amount due from related parties	-	-	1,946,622	3,729,515	2,504,268
	<u>-</u>	<u>-</u>	<u>1,946,622</u>	<u>3,729,515</u>	<u>2,504,268</u>
Balance carried forward	21,819,857	23,691,584	21,341,093	12,581,121	12,737,293

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****11. TRADE AND OTHER RECEIVABLES (CONT'D)**

	Audited				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Balance brought forward	21,819,857	23,691,584	21,341,093	12,581,121	12,737,293
Other receivables					
Sundry receivables	260,927	233,414	12,138	215,417	29,850
Amount due from an associate	-	-	1,894,148	-	-
Amount due from related parties	-	-	-	2,670,883	4,492,248
Amount due from a director	-	-	-	1,237,204	6,383,848
Refundable deposits	188,997	318,633	346,216	254,182	342,776
Non-refundable deposits	-	-	-	1,169,280	187,611
Prepayments	3,334,047	2,447,161	2,662,148	365,697	305,622
Goods and service tax ("GST") recoverable	551,515	433,837	734,274	500,567	686,011
	<u>4,335,486</u>	<u>3,433,045</u>	<u>5,648,924</u>	<u>6,413,230</u>	<u>12,427,966</u>
Total trade and other receivables	<u>26,155,343</u>	<u>27,124,629</u>	<u>26,990,017</u>	<u>18,994,351</u>	<u>25,165,259</u>

The normal credit terms granted to trade receivables range from **30 to 60 days** (31.12.2025: 30 to 60 days; 31.12.2024: 30 to 90 days; 31.12.2023: 30 to 60 days; 31.12.2022: 30 to 60 days) credit terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition. Other credit terms are assessed and approved on a case-by-case basis.

The amount due from an associate under other receivables is unsecured, non-interest bearing and with credit term of **Nil** (31.12.2025: Nil; 31.12.2024: 30 days; 31.12.2023: Nil; 31.12.2022: Nil).

The amount due from related parties under other receivables represents amount due from companies in which the directors of the Group have substantial financial interests. It is unsecured, non-interest bearing and with credit term of **Nil** (31.12.2025: Nil; 31.12.2024: Nil; 31.12.2023: 30 days; 31.12.2022: 30 days).

The amount due from a director was unsecured, non-interest bearing and classified based on the expected timing of realisation.

Included in non-refundable deposits is an amount of **RM Nil** (31.12.2025: RM Nil; 31.12.2024: RM Nil; 31.12.2023: RM925,000; 31.12.2022: RM Nil) which paid for the acquisition of a freehold land and building pursuant to Sale and Purchase Agreement with a third party as disclosed in Note 4(i) to the combined financial statements. The acquisition transaction has been completed during financial year 2024.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****11. TRADE AND OTHER RECEIVABLES (CONT'D)**

The currency profile of trade and other receivables is as follows:

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
United States Dollar ("USD")	21,697,032	23,730,329	20,781,487	12,016,889	17,292,623
Ringgit Malaysia ("RM")	2,535,397	1,986,555	2,557,587	1,633,203	1,228,763
Singapore Dollar ("SGD")	1,064,814	825,632	1,542,727	2,576,184	2,591,628
Chinese Renminbi ("RMB")	858,100	582,113	2,108,216	2,768,075	4,052,245
	<u>26,155,343</u>	<u>27,124,629</u>	<u>26,990,017</u>	<u>18,994,351</u>	<u>25,165,259</u>

12. CONTRACT ASSETS/(LIABILITIES)**Contract assets - Accrued revenue**

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Balance at beginning	-	-	-	29,852	-
Revenue recognised during the financial period/year	-	-	-	-	29,852
Sales invoices issued during the financial period/year	-	-	-	(29,852)	-
Balance at end	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>29,852</u>

Contract assets are in respect of goods delivered but not yet invoiced.

Contract liabilities - Deposits received from customers

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Balance at beginning	(704,528)	(1,005,373)	(572,910)	(1,082,438)	-
Revenue recognised during the financial period/year	296,980	1,005,373	572,910	1,082,438	-
Deposits received during the financial period/year	<u>(5,217,960)</u>	<u>(704,528)</u>	<u>(1,005,373)</u>	<u>(572,910)</u>	<u>(1,082,438)</u>
Balance at end	<u>(5,625,508)</u>	<u>(704,528)</u>	<u>(1,005,373)</u>	<u>(572,910)</u>	<u>(1,082,438)</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****12. CONTRACT ASSETS/(LIABILITIES) (CONT'D)**

Contract liabilities comprised of deposits received from customers where the Group has billed or collected the payment before the goods are delivered or services are provided to the customers. The contract liabilities will be reversed and recognised as revenue upon satisfying the performance obligation within the contract. These performance obligations are expected to be fulfilled within the next twelve (12) months.

13. CASH AND BANK BALANCES

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Fixed deposits with a licensed bank	529,368	464,515	208,340	-	-
Cash in hand and at banks	12,341,279	7,873,519	8,769,106	10,818,840	9,923,986
	<u>12,870,647</u>	<u>8,338,034</u>	<u>8,977,446</u>	<u>10,818,840</u>	<u>9,923,986</u>

The effective interest rates per annum and maturity of fixed deposits with a licensed bank are ranging from **2.45% to 2.80%** (31.12.2025: 2.45% to 2.80%; 31.12.2024: 2.70% to 3.00%; 31.12.2023: Nil; 31.12.2022: Nil) per annum and **12 months** (31.12.2025: 12 months; 31.12.2024: 12 months; 31.12.2023: Nil; 31.12.2022: Nil) respectively. The entire fixed deposits with a licensed bank is pledged as securities for banking facilities granted to the Group as disclosed in Note 16 to the combined financial statements.

The currency profile of cash and bank balances is as follows:

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
USD	10,835,022	5,957,494	7,128,601	7,992,509	8,186,677
RM	1,745,685	1,803,828	1,006,553	1,548,175	274,361
SGD	289,838	576,605	796,736	652,982	986,941
RMB	-	-	45,556	625,174	-
Euro ("EUR")	-	-	-	-	476,007
Other	102	107	-	-	-
	<u>12,870,647</u>	<u>8,338,034</u>	<u>8,977,446</u>	<u>10,818,840</u>	<u>9,923,986</u>

14. SHARE CAPITAL AND INVESTED EQUITY**14.1 Share capital**

	31.3.2026 Unit	31.12.2025 Unit	Number of ordinary shares 31.12.2024 Unit	31.12.2023 Unit	31.12.2022 Unit
Issued and fully paid:					
Balance at beginning	100	100	1	1	-
Issuance of ordinary shares	-	-	99	-	-
Balance at end	<u>100</u>	<u>100</u>	<u>100</u>	<u>1</u>	<u>-</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****14. SHARE CAPITAL AND INVESTED EQUITY (CONT'D)****14.1 Share capital (cont'd)**

	Amount				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Issued and fully paid:					
Balance at beginning	100	100	1	1	-
Issuance of ordinary shares	-	-	99	-	-
Balance at end	100	100	100	1	-

During the financial year 2024, the Company has increased its issued and fully paid-up ordinary share capital from RM1 to RM100 by way of issuance of 99 new ordinary shares for a total cash consideration of RM99 for working capital purpose.

The new ordinary shares issued during the financial year 2024 rank *pari passu* in all respects with the existing ordinary shares of the Company.

14.2 Invested equity

	Number of ordinary shares				
	31.3.2026 Unit	31.12.2025 Unit	31.12.2024 Unit	31.12.2023 Unit	31.12.2022 Unit
Issued and fully paid:					
Balance at beginning/end	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000

	Amount				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Issued and fully paid:					
Balance at beginning/end	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000

15. RESERVES

		Audited				
	NOTE	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Distributable:						
Retained profits		54,527,695	52,286,772	41,090,912	31,848,132	27,331,353
Non-distributable:						
Foreign currency translation reserve	15.1	1,270,488	1,287,710	2,736,198	2,851,519	1,825,003
Merger reserve	15.2	1,483,519	1,483,519	1,483,519	1,483,519	1,483,519
		<u>57,281,702</u>	<u>55,058,001</u>	<u>45,310,629</u>	<u>36,183,170</u>	<u>30,639,875</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****15. RESERVES (CONT'D)****15.1 Foreign currency translation reserve**

The foreign currency translation reserve is in respect of foreign exchange differences on translation of the financial statements of foreign operations whose functional currency is different from that of the Group's presentation currency.

15.2 Merger reserve

The merger reserve arose from the difference between the carrying value of the investment and the nominal value of the shares of subsidiaries upon consolidation under the merger accounting principles.

16. BORROWINGS

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Non-current liabilities					
Secured:					
Hire purchases	333,684	476,339	883,983	1,428,598	1,582,181
Term loans	10,620,027	10,764,495	10,124,058	1,706,516	4,260,363
	<u>10,953,711</u>	<u>11,240,834</u>	<u>11,008,041</u>	<u>3,135,114</u>	<u>5,842,544</u>
Current liabilities					
Secured:					
Bankers' acceptance	7,084,256	6,613,087	4,037,303	-	1,518,430
Hire purchases	601,953	608,590	543,847	628,313	502,076
Term loans	550,358	504,151	2,038,458	2,711,845	2,495,188
	<u>8,236,567</u>	<u>7,725,828</u>	<u>6,619,608</u>	<u>3,340,158</u>	<u>4,515,694</u>
Total borrowings	<u>19,190,278</u>	<u>18,966,662</u>	<u>17,627,649</u>	<u>6,475,272</u>	<u>10,358,238</u>

The borrowings are secured by way of:

- (i) legal charges over the Group's freehold land and building as disclosed in Note 4(ii) to the combined financial statements;
- (ii) life insurance policy of a director of a combining entity as disclosed in Note 8 to the combined financial statements;
- (iii) fixed deposits with a licensed bank as disclosed in Note 13 to the combined financial statements;
- (iv) guarantee of Syarikat Jaminan Pembiayaan Perniagaan Berhad;
- (v) joint and several guarantee of certain directors of a combining entity; and
- (vi) leased assets as disclosed in Note 4(iii) to the combined financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****16. BORROWINGS (CONT'D)**

A summary of the effective interest rates and the maturities of the borrowings are as follows:

	Effective interest rates per annum (%)	Total RM	Within one year RM	More than one year and less than two years RM	More than two years and less than five years RM	More than five years RM
31.3.2026						
Bankers' acceptance	3.35 to 7.96	7,084,256	7,084,256	-	-	-
Hire purchases	3.03 to 5.71	935,637	601,953	196,354	137,330	-
Term loans	3.85 to 4.90	11,170,385	550,358	598,126	1,951,874	8,070,027
31.12.2025						
Bankers' acceptance	3.21 to 8.07	6,613,087	6,613,087	-	-	-
Hire purchases	3.03 to 5.71	1,084,929	608,590	315,244	161,095	-
Term loans	3.85 to 4.90	11,268,646	504,151	591,962	1,931,737	8,240,796
31.12.2024						
Bankers' acceptance	1.88 to 3.70	4,037,303	4,037,303	-	-	-
Hire purchases	2.07 to 5.71	1,427,830	543,847	577,203	306,780	-
Term loans	2.50 to 4.25	12,162,516	2,038,458	387,305	1,262,739	8,474,014
31.12.2023						
Hire purchases	2.07 to 5.71	2,056,911	628,313	544,615	883,983	-
Term loans	2.50	4,418,361	2,711,845	1,706,516	-	-
31.12.2022						
Bankers' acceptance	4.19 to 4.28	1,518,430	1,518,430	-	-	-
Hire purchases	2.07 to 5.58	2,084,257	502,076	526,812	1,055,369	-
Term loans	2.50	6,755,551	2,495,188	2,543,526	1,716,837	-

The currency profile of borrowings is as follows:

	Audited				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
RM	16,850,877	16,440,249	13,658,543	2,016,739	2,015,299
USD	2,148,195	2,325,467	2,268,787	-	1,518,430
SGD	191,206	200,946	1,700,319	4,458,533	6,824,509
	<u>19,190,278</u>	<u>18,966,662</u>	<u>17,627,649</u>	<u>6,475,272</u>	<u>10,358,238</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****17. TRADE AND OTHER PAYABLES**

	Audited				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Trade payables					
Third parties	18,447,487	13,367,812	17,394,792	5,894,653	7,649,635
Amount due to associates	217,668	19,647	7,658,021	-	-
Amount due to related parties	-	-	22,347	6,769,328	10,546,144
	<u>18,665,155</u>	<u>13,387,459</u>	<u>25,075,160</u>	<u>12,663,981</u>	<u>18,195,779</u>
Other payables					
Sundry payables	4,036,331	4,201,791	4,251,795	2,030,603	2,746,111
Amount due to a director	15,336	15,336	8,549	69,701	-
Amount due to a related party	-	-	4,099,746	-	-
Dividend payables	-	-	-	1,000,000	1,877,800
Accruals	2,823,995	2,636,549	1,591,897	1,486,372	800,606
GST payable	4,592	64,984	23,819	-	-
	<u>6,880,254</u>	<u>6,918,660</u>	<u>9,975,806</u>	<u>4,586,676</u>	<u>5,424,517</u>
Total trade and other payables	<u>25,545,409</u>	<u>20,306,119</u>	<u>35,050,966</u>	<u>17,250,657</u>	<u>23,620,296</u>

Trade payables are non-interest bearing and are normally settled within **30 to 60 days** (31.12.2025: 30 to 60 days; 31.12.2024: 30 to 60 days; 31.12.2023: 30 to 60 days; 31.12.2022: 30 to 120 days) credit terms.

The amount due to a director is unsecured, non-interest bearing and repayable on demand.

The amount due to a related party under other payables represents amount due to a company in which a director of the Group had substantial financial interests. It was unsecured, non-interest bearing and repayable on demand.

The currency profile of trade and other payables is as follows:

	Audited				
	31.3.2026 RM	31.12.2025 RM	31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
USD	13,701,960	10,176,299	24,014,210	12,300,807	16,893,414
RM	5,211,511	3,338,628	7,507,381	2,435,124	1,927,988
SGD	3,380,491	3,172,268	3,411,121	2,371,568	4,790,566
RMB	3,244,383	3,617,301	116,977	143,158	3,492
EUR	7,064	1,623	1,277	-	-
Japanese Yen ("JPY")	-	-	-	-	4,836
	<u>25,545,409</u>	<u>20,306,119</u>	<u>35,050,966</u>	<u>17,250,657</u>	<u>23,620,296</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****18. REFUND LIABILITIES**

	Audited				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
Arising from sales rebates	902,682	1,806,822	1,713,128	574,446	1,294,890
Movement of refund liabilities:					
Balance at beginning	1,806,822	1,713,128	574,446	1,294,890	-
Current year expected rebates	371,278	1,726,983	1,138,682	570,528	1,294,890
Set-off against receivables	(1,275,394)	(1,614,382)	-	(1,290,972)	-
Exchange differences	(24)	(18,907)	-	-	-
Balance at end	902,682	1,806,822	1,713,128	574,446	1,294,890

The sales rebates are expected to be settled within the next financial year.

19. REVENUE**19.1 Disaggregated revenue information**

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	Audited			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Types of revenue						
Fabrication of precision engineering components and sub-assembly modules	12,889,160	18,420,502	62,975,544	61,557,155	50,202,145	78,022,247
Abatement system and its related services	8,472,376	12,743,348	43,128,642	23,509,592	19,456,141	21,023,581
Modules and components	1,192,049	393,351	2,839,407	3,747,505	4,125,789	5,933,740
Total revenue from contracts with customers	22,553,585	31,557,201	108,943,593	88,814,252	73,784,075	104,979,568

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****19. REVENUE (CONT'D)****19.1 Disaggregated revenue information (cont'd)**

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Geographical markets						
India	6,696,302	11,338,649	38,215,752	6,321,227	-	-
Singapore	7,005,255	9,980,862	36,088,007	47,175,968	36,082,262	59,229,490
Malaysia	6,512,735	9,567,311	29,645,726	24,384,867	20,054,343	32,936,393
United States of America	1,265,429	564,910	3,916,484	5,430,582	4,417,547	2,328,073
Taiwan	125,816	71,628	723,805	4,758,504	3,672,607	3,492,691
People's Republic of China	11,367	10,415	143,539	494,863	6,948,871	5,430,141
Others	<u>936,681</u>	<u>23,426</u>	<u>210,280</u>	<u>248,241</u>	<u>2,608,445</u>	<u>1,562,780</u>
Total revenue from contracts with customers	<u>22,553,585</u>	<u>31,557,201</u>	<u>108,943,593</u>	<u>88,814,252</u>	<u>73,784,075</u>	<u>104,979,568</u>

19.2 Timing of revenue recognition

The revenue from contracts with customers is recognised at a point in time.

19.3 Contract balances

The Group's contract balances comprising trade receivables, contract assets/liabilities and refund liabilities as disclosed in Note 11, Note 12 and Note 18 to the combined financial statements respectively.

19.4 Performance obligations

The performance obligations to recognise revenue are as follows:

(i) Revenue from fabrication of precision engineering components and sub-assembly modules

Revenue from fabrication of precision engineering components and sub-assembly modules is recognised at a point in time when the control of goods is transferred to the customer, generally on delivery of goods to locations specified by the customer and acceptance of goods by the customer.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****19. REVENUE (CONT'D)****19.4 Performance obligations (cont'd)**

The performance obligations to recognise revenue are as follows: (cont'd)

(ii) **Revenue from abatement system and its related services as well as modules and components**

Revenue from abatement system and its related modules and components is recognised at a point in time when the control of goods is transferred to the customer, generally on delivery of goods to locations specified by the customer and acceptance of goods by the customer.

The Group also provides maintenance services for abatement systems to the customer. Maintenance services are recognised at a point in time when services are rendered to the customer and coincides with the acceptance by the customer.

20. OTHER INCOME

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	Audited			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Dividend income	-	-	-	-	-	1,034,001
Gain on bargain purchase (Note 1.4)	-	-	-	-	1,143,354	-
Gain on lease remeasurement	-	-	-	-	41,148	-
Gain on disposal of:						
- intangible assets	-	-	-	-	4,589,226	-
- investment in a subsidiary (Note 1.4)	-	-	-	110,017	-	2,697,228
One-off referral fees	-	-	-	716,640	-	-
Patent income	-	-	-	-	2,097,309	4,154,707
Realised gain on foreign exchange	273,127	10,792	176,753	1,741,795	433,140	-
Sundry income	53,163	12,506	31,873	444,820	58,977	78,706
Technical fees income	72,650	76,637	298,300	25,596	-	-
Unrealised gain on foreign exchange	6,623	13,462	95,130	130,520	413,558	546,950
	405,563	113,397	602,056	3,169,388	8,776,712	8,511,592

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****21. FINANCE COSTS**

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	Audited			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Accretion of interest on lease liabilities	1,610	6,732	15,360	40,908	49,760	104,317
Interest expenses on:						
- bankers' acceptance	61,800	27,829	139,777	92,362	170,778	118,935
- hire purchases	15,527	21,643	80,523	110,642	141,535	104,027
- term loans	151,728	172,535	727,468	645,324	149,056	197,890
	230,665	228,739	963,128	889,236	511,129	525,169

22. FINANCE INCOME

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	Audited			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Interest income	31,637	36,046	122,975	117,409	97,125	2,250

23. PROFIT BEFORE TAX

This is arrived at:

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	Audited			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
After charging:						
Amortisation of intangible assets	17,468	291,000	333,386	61,189	625,429	150,100
Commission expenses	570,917	1,459,210	3,495,160	128,537	370,653	20,269
Deposits forfeited	-	50,059	50,059	-	1,499	-
Depreciation of:						
- property, plant and equipment	690,016	434,213	2,028,349	2,041,029	2,068,546	1,788,046
- right-of-use assets	56,044	128,688	327,887	542,374	749,651	788,800

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****23. PROFIT BEFORE TAX (CONT'D)**

This is arrived at: (cont'd)

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	Audited			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Expenses relating to:						
- leases of low-value assets	7,831	32,173	130,727	24,360	844	3,129
- short-term leases	-	67,375	353,219	407,283	351,822	198,011
Intangible assets written off	-	-	-	18,917	-	-
Inventories written off	-	-	-	-	2,138,133	-
Loss on disposal of property, plant and equipment	-	-	7,719	-	-	-
Property, plant and equipment written off	-	-	306,194	-	-	30,129
Realised loss on foreign exchange	14,687	14,357	815,741	107,877	567,031	1,240,748
* Staff costs	2,355,828	3,233,291	12,036,271	11,054,107	12,297,627	13,105,881
Unrealised loss on foreign exchange	481,811	69,334	123,238	113,059	1,677,611	413,110
* Staff costs						
- Salaries, overtime, allowances and bonus	2,055,998	2,806,855	10,382,530	9,605,383	10,119,244	10,619,146
- Defined contribution plans ("EPF")	191,151	175,998	944,059	805,293	721,626	1,013,655
- Social security contributions ("SOCSSO") and employment insurance scheme ("EIS")	22,264	25,734	102,378	85,955	82,383	88,195
- Other benefits	86,415	224,704	607,304	557,476	1,374,374	1,384,885
	2,355,828	3,233,291	12,036,271	11,054,107	12,297,627	13,105,881

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****23. PROFIT BEFORE TAX (CONT'D)**

Included in the staff costs are directors' emoluments as follows:

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Directors' emoluments						
- Salaries, allowances and bonus	319,230	336,543	1,319,105	1,023,700	940,761	375,461
- EPF	38,795	41,557	164,030	137,243	127,039	56,948
- SOCSO and EIS	696	812	2,901	2,434	2,317	1,868
- Other benefits	2,140	2,115	8,583	6,857	5,754	1,660
	<u>360,861</u>	<u>381,027</u>	<u>1,494,619</u>	<u>1,170,234</u>	<u>1,075,871</u>	<u>435,937</u>

24. TAXATION

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Malaysian income tax:						
Based on results for the financial period/year						
- Current tax	(1,435,364)	(345,283)	(1,205,347)	(924,288)	(1,147,887)	(2,039,407)
- Deferred tax relating to the origination and reversal of temporary differences	<u>636,117</u> (799,247)	<u>(342,641)</u> (687,924)	<u>61,378</u> (1,143,969)	<u>59</u> (924,229)	<u>195,478</u> (952,409)	<u>(87,632)</u> (2,127,039)
Over/(Under) provision in prior year						
- Current tax	<u>21,144</u>	<u>(120,957)</u>	<u>(120,957)</u>	<u>631,677</u>	<u>25,200</u>	<u>118,300</u>
- Deferred tax	<u>465</u> <u>21,609</u>	<u>395,018</u> <u>274,061</u>	<u>395,018</u> <u>274,061</u>	<u>(45,140)</u> <u>586,537</u>	<u>230,007</u> <u>255,207</u>	<u>-</u> <u>118,300</u>
	<u>(777,638)</u>	<u>(413,863)</u>	<u>(869,908)</u>	<u>(337,692)</u>	<u>(697,202)</u>	<u>(2,008,739)</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****24. TAXATION (CONT'D)**

The reconciliation of taxation of the Group is as follows:

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Profit before tax	3,018,561	4,772,653	12,065,768	9,580,472	13,710,104	22,494,183
Share of results of associates	<u>39,252</u>	<u>(302,046)</u>	<u>982,954</u>	<u>623,278</u>	<u>-</u>	<u>(381,263)</u>
	<u>3,057,813</u>	<u>4,470,607</u>	<u>13,048,722</u>	<u>10,203,750</u>	<u>13,710,104</u>	<u>22,112,920</u>
Income tax at Malaysian statutory tax rate of 24%	(733,875)	(1,072,946)	(3,131,693)	(2,448,900)	(3,290,425)	(5,307,101)
Effect of tax rate in foreign jurisdiction	17,877	(29,623)	(22,043)	(42,231)	826,897	861,415
Income not subject to tax	-	-	-	45,157	903,784	61,433
Expenses not deductible for tax purposes	(83,249)	(399,084)	(371,765)	(464,214)	(846,022)	(587,831)
Utilisation of previously unrecognised deferred tax assets	-	-	-	-	370,283	560,737
Pioneer income not subject to tax	<u>-</u>	<u>813,729</u>	<u>2,381,532</u>	<u>1,985,959</u>	<u>1,083,074</u>	<u>2,284,308</u>
	<u>(799,247)</u>	<u>(687,924)</u>	<u>(1,143,969)</u>	<u>(924,229)</u>	<u>(952,409)</u>	<u>(2,127,039)</u>
Over provision in prior year	<u>21,609</u>	<u>274,061</u>	<u>274,061</u>	<u>586,537</u>	<u>255,207</u>	<u>118,300</u>
	<u>(777,638)</u>	<u>(413,863)</u>	<u>(869,908)</u>	<u>(337,692)</u>	<u>(697,202)</u>	<u>(2,008,739)</u>

A combining entity of the Group, SIWM, has been granted pioneer status incentive by the Malaysian Industrial Development Authority ("MIDA"). Under this incentive, SIWM enjoys 70% exemption from income tax on its statutory income arising from promoted activities for the production of "Waste Gas Abatement Machine and Integrated Gas System and Related Modules and Components for Semiconductor Industry" for a period of 5 years commencing from 1 December 2020 to 30 November 2025.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****25. EARNINGS PER SHARE****Basic earnings per ordinary share**

Basic earnings per ordinary share is calculated by dividing the Group's profit attributable to the owners of the Group for the financial period/year by the weighted average number of ordinary shares in issue during the financial period/year as follows:

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	----- Audited -----			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Profit attributable to owners of the Group (RM)	<u>2,240,923</u>	<u>4,358,790</u>	<u>11,195,860</u>	<u>9,242,780</u>	<u>13,012,902</u>	<u>20,485,444</u>
Weighted average number of ordinary shares in issue *	<u>1,500,100</u>	<u>1,500,100</u>	<u>1,500,100</u>	<u>1,500,100</u>	<u>1,500,001</u>	<u>1,500,000</u>
Basic earnings per ordinary share (sen)	<u>149.38</u>	<u>290.57</u>	<u>746.34</u>	<u>616.14</u>	<u>867.53</u>	<u>1,365.70</u>

* Denotes the ordinary shares in issue of EcoSys and SIWM.

Diluted earnings per ordinary share

Diluted earnings per ordinary share is not applicable as the Group does not have any potential dilutive equity instruments that would give a diluted effect to the basic earnings per ordinary share.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****26. DIVIDENDS**

	Audited	Unaudited	Audited			
	1.1.2026	1.1.2025	1.1.2025	1.1.2024	1.1.2023	1.1.2022
	to	to	to	to	to	to
	31.3.2026	31.3.2025	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM	RM
In respect of financial year ended 31 December 2022:						
- First interim single tier dividend	-	-	-	-	-	4,310,593
In respect of financial year ended 31 December 2023:						
- First interim single tier dividend	-	-	-	-	847,373	-
- Second interim single tier dividend	-	-	-	-	5,478,000	-
- Third interim single tier dividend	-	-	-	-	1,170,750	-
- Final single tier dividend	-	-	-	-	1,000,000	-
	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>8,496,123</u>	<u>4,310,593</u>

27. SEGMENTAL INFORMATION**Operating segments**

The Group is organised into two operating segments as described below:

Operating segments	Description of activities
• UHP	- Fabrication of precision engineering components and sub-assembly modules that form part of ultra-high purity fluid processing solutions used within the pan-semiconductor industry ("UHP").
• Abatement	- Research and Development ("R&D"), customisation, assembly, installation, testing, commissioning and maintenance of abatement systems. Abatement systems are specialised industrial processing equipment designed to capture, treat and neutralise harmful gases emitted during manufacturing processes that emit harmful gases ("Abatement").

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****27. SEGMENTAL INFORMATION (CONT'D)****Operating segments (cont'd)**

Performance is reviewed by the Chief Operating Decision Maker ("CODM"), i.e. the Group's managing director, up to gross profit level as management believes that such information is the more appropriate and relevant in evaluating and comparing the results of two operating segments relative to other entities that operate within these industries segments. For other income and cost incurred after gross profit level, there is no segmental information provided since this information are viewed on a collective basis by the CODM.

Segment assets and liabilities information is neither included in the internal management reports nor provided regularly to the CODM as it mainly comprises assets and liabilities of SIWM and its subsidiaries and management does not distinguish assets and liabilities into the two operating segments. Hence, no disclosure is made on segment assets and liabilities.

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Revenue						
UHP	12,889,160	18,420,502	62,975,544	61,557,155	50,202,145	78,022,247
Abatement	<u>9,664,425</u>	<u>13,136,699</u>	<u>45,968,049</u>	<u>27,257,097</u>	<u>23,581,930</u>	<u>26,957,321</u>
Total revenue	<u>22,553,585</u>	<u>31,557,201</u>	<u>108,943,593</u>	<u>88,814,252</u>	<u>73,784,075</u>	<u>104,979,568</u>
Cost of sales						
UHP	10,457,102	14,880,804	50,671,155	51,697,944	41,870,862	65,471,502
Abatement	<u>6,611,063</u>	<u>8,409,595</u>	<u>32,237,436</u>	<u>20,298,443</u>	<u>15,519,896</u>	<u>16,570,294</u>
Total cost	<u>17,068,165</u>	<u>23,290,399</u>	<u>82,908,591</u>	<u>71,996,387</u>	<u>57,390,758</u>	<u>82,041,796</u>
Gross profit						
UHP	2,432,058	3,539,698	12,304,389	9,859,211	8,331,283	12,550,745
Abatement	<u>3,053,362</u>	<u>4,727,104</u>	<u>13,730,613</u>	<u>6,958,654</u>	<u>8,062,034</u>	<u>10,387,027</u>
Total gross profit	<u>5,485,420</u>	<u>8,266,802</u>	<u>26,035,002</u>	<u>16,817,865</u>	<u>16,393,317</u>	<u>22,937,772</u>

Geographical segments and location of assets

Revenue of the Group based on geographical location of its customers are disclosed in Note 19.1 to the combined financial statements. Segment assets are based on the geographical location of assets.

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Non-current assets						
Malaysia	22,586,007	23,152,917	22,499,565	22,604,174	5,596,559	7,278,576
Singapore	<u>1,775,758</u>	<u>1,867,100</u>	<u>1,838,455</u>	<u>2,054,540</u>	<u>2,403,315</u>	<u>2,965,174</u>
	<u>24,361,765</u>	<u>25,020,017</u>	<u>24,338,020</u>	<u>24,658,714</u>	<u>7,999,874</u>	<u>10,243,750</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****27. SEGMENTAL INFORMATION (CONT'D)****Major customers**

The following are major customers which individually contributed to more than 10% of the Group's total revenue:

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	 ----- Audited ----- 			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Customer A	6,047,879	7,465,408	29,874,599	32,272,472	25,659,439	39,627,550
Customer B	6,094,682	9,098,822	27,669,072	22,423,561	14,687,806	23,954,149
Customer F	-	8,253,278	22,171,752	-	-	-
Customer J	<u>4,522,202</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
	<u>16,664,763</u>	<u>24,817,508</u>	<u>79,715,423</u>	<u>54,696,033</u>	<u>40,347,245</u>	<u>63,581,699</u>

28. RELATED PARTY TRANSACTIONS**(i) Identity of related parties**

The Group has related party relationship with its associates, key management personnel and the following parties:

Related parties	Relationship
EcoSys Abatement LLC	A company in which a director of the Group has substantial financial interests. It ceased to be a related party of the Group effective from 25 January 2025.
Eco Research Sdn. Bhd.	A company in which a director of the Group has substantial financial interests.
Anhui Automation Anhui Trading	Companies in which the directors of the Group have substantial financial interests. They became associates of the Group effective from 30 October 2024.
SIW Taiwan	
	A company in which the directors of the Group have substantial financial interests. It became an associate of the Group effective from 22 October 2024.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****28. RELATED PARTY TRANSACTIONS (CONT'D)****(ii) Related party transactions**

In addition to the related party information and transactions disclosed elsewhere in the combined financial statements, the following related party transactions have been entered into at terms agreed between the parties during the financial period/year.

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	----- Audited -----			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Sales to:						
- Anhui Automation	11,367	10,415	143,539	221,833	345,887	831,796
- SIW Taiwan	125,816	71,628	722,645	28,585	201,604	109,951
Purchase from:						
- Anhui Automation	2,299,513	4,167,705	7,349,534	21,019,846	13,776,118	11,126,659
- Anhui Trading	69,002	1,881,304	1,932,660	3,015,250	104,605	-
Patent income received from Anhui Automation	-	-	-	-	2,097,309	4,154,707
Purchase of machinery from Anhui Automation	-	-	-	-	157,836	135,120
Sales of intangible assets to Anhui Automation	-	-	-	-	4,589,226	-
One-off referral fees received from Anhui Automation	-	-	-	716,640	-	-
Technical fees received from Anhui Automation	72,650	76,637	298,300	25,596	-	-
Dividend received from Kaisu	-	-	-	-	-	1,034,001

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****28. RELATED PARTY TRANSACTIONS (CONT'D)****(ii) Related party transactions (cont'd)**

In addition to the related party information and transactions disclosed elsewhere in the combined financial statements, the following related party transactions have been entered into at terms agreed between the parties during the financial period/year. (cont'd)

	Audited 1.1.2026 to 31.3.2026 RM	Unaudited 1.1.2025 to 31.3.2025 RM	Audited			
			1.1.2025 to 31.12.2025 RM	1.1.2024 to 31.12.2024 RM	1.1.2023 to 31.12.2023 RM	1.1.2022 to 31.12.2022 RM
Sales to EcoSys Abatement LLC	-	-	-	4,774,753	4,086,290	1,813,736
Purchase from EcoSys Abatement LLC	-	-	-	47,666	42,828	344,204
Shared service fee paid to EcoSys Abatement LLC	-	-	-	254,444	219,777	-
Acquisition of associates from Eco Research Sdn. Bhd.	-	-	-	5,910,000	-	-
Acquisition of an associate from a director	-	-	-	25,700	-	-
Disposal of Kaisu to Anhui Automation	-	-	-	973,408	-	-

(iii) Compensation of key management personnel

Key management personnel are those persons including directors having authority and responsibility for planning, directing and controlling the activities of the Group either directly or indirectly.

The Group has no other members of key management personnel apart from the Board of Directors which compensation has been shown in Note 23 to the combined financial statements.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****29. CAPITAL COMMITMENTS**

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Contracted but not provided for:					
- Factory buildings	-	-	11,500	8,325,000	-
- Renovation	-	-	1,100,162	-	-
	<u>-</u>	<u>-</u>	<u>1,111,662</u>	<u>8,325,000</u>	<u>-</u>

30. FINANCIAL INSTRUMENTS**30.1 Categories of financial instruments**

The table below provides an analysis of financial instruments categorised as amortised cost ("AC") and FVTPL.

	Carrying amount RM	AC RM	FVTPL RM
31.3.2026			
Financial assets			
Other investments	1,223,353	-	1,223,353
Trade and other receivables, excluding prepayment and GST recoverable	22,269,781	22,269,781	-
Cash and bank balances	<u>12,870,647</u>	<u>12,870,647</u>	<u>-</u>
	<u>36,363,781</u>	<u>35,140,428</u>	<u>1,223,353</u>
Financial liabilities			
Borrowings	19,190,278	19,190,278	-
Trade and other payables, excluding GST payable	<u>25,540,817</u>	<u>25,540,817</u>	<u>-</u>
	<u>44,731,095</u>	<u>44,731,095</u>	<u>-</u>
31.12.2025			
Financial assets			
Other investments	1,220,046	-	1,220,046
Trade and other receivables, excluding prepayment and GST recoverable	24,243,631	24,243,631	-
Cash and bank balances	<u>8,338,034</u>	<u>8,338,034</u>	<u>-</u>
	<u>33,801,711</u>	<u>32,581,665</u>	<u>1,220,046</u>
Financial liabilities			
Borrowings	18,966,662	18,966,662	-
Trade and other payables, excluding GST payable	<u>20,241,135</u>	<u>20,241,135</u>	<u>-</u>
	<u>39,207,797</u>	<u>39,207,797</u>	<u>-</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.1 Categories of financial instruments (cont'd)**

The table below provides an analysis of financial instruments categorised as amortised cost ("AC") and FVTPL. (cont'd)

	Carrying amount RM	AC RM	FVTPL RM
31.12.2024			
Financial assets			
Other investments	1,306,944	-	1,306,944
Trade and other receivables, excluding prepayment and GST recoverable	23,593,595	23,593,595	-
Cash and bank balances	8,977,446	8,977,446	-
	<u>33,877,985</u>	<u>32,571,041</u>	<u>1,306,944</u>
Financial liabilities			
Borrowings	17,627,649	17,627,649	-
Trade and other payables, excluding GST payable	35,027,147	35,027,147	-
	<u>52,654,796</u>	<u>52,654,796</u>	<u>-</u>
31.12.2023			
Financial assets			
Other investments	1,298,337	-	1,298,337
Trade and other receivables, excluding non- refundable deposits, prepayment and GST recoverable	16,958,807	16,958,807	-
Cash and bank balances	10,818,840	10,818,840	-
	<u>29,075,984</u>	<u>27,777,647</u>	<u>1,298,337</u>
Financial liabilities			
Borrowings	6,475,272	6,475,272	-
Trade and other payables, excluding dividend payables	16,250,657	16,250,657	-
	<u>22,725,929</u>	<u>22,725,929</u>	<u>-</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.1 Categories of financial instruments (cont'd)**

The table below provides an analysis of financial instruments categorised as amortised cost ("AC") and FVTPL. (cont'd)

	Carrying amount RM	AC RM	FVTPL RM
31.12.2022			
Financial assets			
Other investments	1,218,884	-	1,218,884
Trade and other receivables, excluding non-refundable deposits, prepayment and GST recoverable	23,986,015	23,986,015	-
Cash and bank balances	9,923,986	9,923,986	-
	<u>35,128,885</u>	<u>33,910,001</u>	<u>1,218,884</u>
Financial liabilities			
Borrowings	10,358,238	10,358,238	-
Trade and other payables, excluding dividend payables	21,742,496	21,742,496	-
	<u>32,100,734</u>	<u>32,100,734</u>	<u>-</u>

30.2 Financial risk management

The Group is exposed to a variety of financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk, liquidity risk, interest rate risk and foreign currency risk. The Group operates within clearly defined guidelines that are approved by the Board of Directors and the Group's policy is not to engage in speculative activities.

30.3 Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group's exposure to credit risk arises principally from its trade and other receivables.

30.3.1 Trade receivables

The Group gives its customers credit terms that range between **30 to 60 days** (31.12.2025: 30 to 60 days; 31.12.2024: 30 to 90 days; 31.12.2023: 30 to 60 days; 31.12.2022: 30 to 60 days). In deciding whether credit shall be extended, the Group will take into consideration factors such as relationship with the customer, its payment history and credit worthiness. The Group subjects new customers to credit verification procedures. In addition, receivables balances are monitored on an on-going basis with the result that the Group's exposure to bad debts is not significant.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.3 Credit risk (cont'd)****30.3.1 Trade receivables (cont'd)**

The ageing analysis of trade receivables of the Group as at the end of the reporting period is as follows:

	Audited				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
Not past due	20,185,645	17,489,711	14,559,299	9,649,199	7,365,246
1 to 30 days past due	710,078	3,017,799	3,401,215	1,493,737	2,860,360
31 to 60 days past due	365,699	3,021,070	2,702,174	35,154	579,745
More than 60 days past due	558,435	163,004	678,405	1,403,031	1,931,942
	<u>1,634,212</u>	<u>6,201,873</u>	<u>6,781,794</u>	<u>2,931,922</u>	<u>5,372,047</u>
	<u>21,819,857</u>	<u>23,691,584</u>	<u>21,341,093</u>	<u>12,581,121</u>	<u>12,737,293</u>

Trade receivables that are neither past due nor impaired are creditworthy customers with good payment record with the Group. None of the Group's trade receivables that are neither past due nor impaired have been renegotiated over the financial years.

The Group has trade receivables amounting to **RM1,634,212** (31.12.2025: RM6,201,873; 31.12.2024: RM6,781,794; 31.12.2023: RM2,931,922; 31.12.2022: RM5,372,047) that are past due at the end of the reporting period but management is of the view that these past due amounts will be collected in due course and no impairment is necessary.

The Group has significant concentration of credit risk in the form of outstanding balance due from customers (each of them representing 10% or more of the total trade receivables as at the end of the reporting period) as disclosed below:

	Audited				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
Number of customers	4	3	2	4	3
Percentage of total trade receivables	<u>76%</u>	<u>74%</u>	<u>51%</u>	<u>68%</u>	<u>33%</u>

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.3 Credit risk (cont'd)****30.3.1 Trade receivables (cont'd)****Maximum exposure to credit risk**

The maximum exposure to credit risk arising from trade receivables is represented by the carrying amount as disclosed in Note 11 to the combined financial statements.

The Group regards the entire trade receivables to be low risk.

In managing the credit risk of the trade receivables, the Group manages its debtors and takes appropriate actions (including but not limited to legal actions) to recover long overdue balances. The Group measures the allowance for ECL of trade receivables at an amount equal to lifetime ECL using a simplified approach. The ECL on trade receivables is estimated based on past default experience and an analysis of the trade receivables' current financial position, adjusted for factors that are specific to the trade receivables such as liquidation and bankruptcy. Forward looking information such as gross domestic products rate has been incorporated in determining the ECL.

Trade receivables are usually collectible and the Group does not have much historical bad debts written off or impairment of trade receivables. There are circumstances where the settlement of trade receivables will take longer than the credit terms given to the customers. The delay in settlement is mainly due to administrative matter. No ECL is provided during the financial period/years based on the above assessment as the impact to the Group's financial statements is not material.

30.4 Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as and when they fall due. The Group actively manages its debt maturity profile, operating cash flows and availability of funding so as to ensure that all repayment and funding needs are met.

The table below summarises the maturity profile of the Group's financial liabilities as at the end of the reporting period based on the undiscounted contractual payments:

	Carrying amount RM	Contractual cash flows RM	Within one year RM	More than one year and less than five years RM	More than five years RM
31.3.2026					
Non-derivative financial liabilities					
Trade and other payables, excluding GST payable	25,540,817	25,540,817	25,540,817	-	-
Borrowings	19,190,278	23,344,832	8,705,128	4,384,748	10,254,956
Lease liabilities	99,898	102,522	102,522	-	-
Total undiscounted financial liabilities	44,830,993	48,988,171	34,348,467	4,384,748	10,254,956

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.4 Liquidity risk (cont'd)**

The table below summarises the maturity profile of the Group's financial liabilities as at the end of the reporting period based on the undiscounted contractual payments: (cont'd)

	Carrying amount RM	Contractual cash flows RM	Within one year RM	More than one year and less than five years RM	More than five years RM
31.12.2025					
Non-derivative financial liabilities					
Trade and other payables, excluding GST payable	20,241,135	20,241,135	20,241,135	-	-
Borrowings	18,966,662	23,244,480	8,209,088	4,533,421	10,501,971
Lease liabilities	159,501	164,969	161,169	3,800	-
Total undiscounted financial liabilities	39,367,298	43,650,584	28,611,392	4,537,221	10,501,971
31.12.2024					
Non-derivative financial liabilities					
Trade and other payables, excluding GST payable	35,027,147	35,027,147	35,027,147	-	-
Borrowings	17,627,649	22,441,069	7,136,212	4,126,322	11,178,535
Lease liabilities	372,619	393,528	296,580	96,948	-
Total undiscounted financial liabilities	53,027,415	57,861,744	42,459,939	4,223,270	11,178,535
31.12.2023					
Non-derivative financial liabilities					
Trade and other payables, excluding dividend payables	16,250,657	16,250,657	16,250,657	-	-
Borrowings	6,475,272	6,947,619	3,534,772	3,412,847	-
Lease liabilities	938,050	983,283	582,316	400,967	-
Total undiscounted financial liabilities	23,663,979	24,181,559	20,367,745	3,813,814	-

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.4 Liquidity risk (cont'd)**

The table below summarises the maturity profile of the Group's financial liabilities as at the end of the reporting period based on the undiscounted contractual payments: (cont'd)

	Carrying amount RM	Contractual cash flows RM	Within one year RM	More than one year and less than five years RM	More than five years RM
31.12.2022					
Non-derivative financial liabilities					
Trade and other payables, excluding dividend payables	21,742,496	21,742,496	21,742,496	-	-
Borrowings	10,358,238	10,832,218	4,751,534	6,080,684	-
Lease liabilities	1,469,388	1,581,546	733,086	848,460	-
Total undiscounted financial liabilities	33,570,122	34,156,260	27,227,116	6,929,144	-

30.5 Interest rate risk

The Group's fixed rate instruments are exposed to a risk of change in their fair values due to changes in interest rates. The Group's floating rate instruments are exposed to a risk of change in cash flows due to changes in interest rates.

The interest rate profile of the Group's interest bearing financial instruments based on their carrying amount as at the end of the reporting period are as follows:

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Fixed rate instruments					
Financial assets	529,368	464,515	208,340	-	-
Financial liabilities	8,019,893	7,698,016	7,158,197	6,475,272	10,358,238
Floating rate instrument					
Financial liabilities	11,170,385	11,268,646	10,469,452	-	-

Sensitivity analysis for fixed rate instruments

The Group does not account for any fixed rate financial assets and financial liabilities at fair value through profit or loss, and the Group does not designate derivatives as hedging instruments under a fair value hedge accounting model. Therefore, a change in interest rates at the end of the reporting period would not affect profit or loss.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.5 Interest rate risk (cont'd)****Sensitivity analysis for variable rate instrument**

An increase of 25 basis point at the end of the reporting period would have decreased the Group's profit before tax and equity by the amount shown below, and a decrease would have an equal but opposite effect. These changes are considered to be reasonably possible based on observation of current market conditions. This analysis assumes that all other variables remain constant.

	Audited				
	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	RM	RM	RM	RM	RM
Decrease in profit before tax	27,926	28,172	26,174	-	-
Decrease in equity	21,224	21,411	19,892	-	-

30.6 Foreign currency risk

The objectives of the Group's foreign exchange policies are to allow the Group to manage exposures that arise from trading activities effectively within a framework of controls that does not expose the Group to unnecessary foreign exchange risks.

The Group is exposed to foreign currency risk mainly on sales and purchases that are denominated in currencies other than the functional currency of the Group entities. The Group also holds cash and bank balances denominated in foreign currencies for working capital purposes. The currencies giving rise to this risk are primarily USD, SGD and RMB.

Sensitivity analysis for foreign currency risk

The following table demonstrates the sensitivity of the Group's profit before tax and equity to a reasonably possible change in the various exchange rates against the respective functional currencies of the Group entities, with all other variables held constant:

	31.3.2026	31.12.2025	31.12.2024	31.12.2023	31.12.2022
	Profit before tax	Profit before tax	Profit before tax	Profit before tax	Profit before tax
	RM	RM	RM	RM	RM
USD/RM					
- strengthened 5%	294,642	316,029	(486,871)	(272,591)	(691,819)
- weakened 5%	(294,642)	(316,029)	486,871	272,591	691,819
SGD/RM					
- strengthened 5%	(57,240)	(34,877)	(22,715)	(3,386)	(3,445)
- weakened 5%	57,240	34,877	22,715	3,386	3,445
RMB/RM					
- strengthened 5%	(134,670)	(167,100)	(4,569)	(402)	9,121
- weakened 5%	134,670	167,100	4,569	402	(9,121)
SGD/USD					
- strengthened 5%	(53,612)	(63,672)	(115,885)	(176,661)	(398,381)
- weakened 5%	53,612	63,672	115,885	176,661	398,381
RMB/USD					
- strengthened 5%	15,357	15,340	106,409	162,906	193,317
- weakened 5%	(15,357)	(15,340)	(106,409)	(162,906)	(193,317)

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****30. FINANCIAL INSTRUMENTS (CONT'D)****30.6 Foreign currency risk (cont'd)****Sensitivity analysis for foreign currency risk (cont'd)**

The following table demonstrates the sensitivity of the Group's profit before tax and equity to a reasonably possible change in the various exchange rates against the respective functional currencies of the Group entities, with all other variables held constant: (cont'd)

	Increase/(Decrease)				
	31.3.2026 Equity RM	31.12.2025 Equity RM	31.12.2024 Equity RM	31.12.2023 Equity RM	31.12.2022 Equity RM
USD/RM					
- strengthened 5%	(329,218)	(339,436)	(1,225,221)	(1,592,880)	(6,608,670)
- weakened 5%	329,218	339,436	1,225,221	1,592,880	6,608,670
SGD/RM					
- strengthened 5%	(43,502)	(26,507)	(17,263)	(2,573)	(2,618)
- weakened 5%	43,502	26,507	17,263	2,573	2,618
RMB/RM					
- strengthened 5%	(102,349)	(126,996)	(3,472)	(306)	6,932
- weakened 5%	102,349	126,996	3,472	306	(6,932)
SGD/USD					
- strengthened 5%	(40,745)	(48,391)	(88,073)	(134,262)	(302,770)
- weakened 5%	40,745	48,391	88,073	134,262	302,770
RMB/USD					
- strengthened 5%	11,671	11,658	80,871	123,809	146,921
- weakened 5%	<u>(11,671)</u>	<u>(11,658)</u>	<u>(80,871)</u>	<u>(123,809)</u>	<u>(146,921)</u>

31. FAIR VALUE MEASUREMENT OF FINANCIAL INSTRUMENTS

The carrying amounts of the Group's financial assets (other than other investments) and financial liabilities as at the end of the reporting period approximate their fair values due to their short-term nature or that they are floating rate instruments that are re-priced to market interest rates on or near the end of the reporting period.

The carrying amount of the non-current portion of hire purchases and lease liabilities is reasonable approximation of fair values due to the insignificant impact of discounting.

32. CAPITAL MANAGEMENT

The primary objective of the Group's capital management policy is to maintain a strong capital base to support its businesses and to maximise shareholders' value.

The Group manages its capital structure and makes adjustments to it in the light of changes in economic conditions or expansion of the Group. The Group may adjust the capital structure by issuing new shares, returning capital to shareholders or adjusting the amount of dividends to be paid to shareholders or sell assets to reduce debts. No changes were made in the objective, policy and process during the financial period/years under review as compared to the previous financial years.

12. ACCOUNTANTS' REPORT (Cont'd)**NOTES TO THE COMBINED FINANCIAL STATEMENTS (CONT'D)****32. CAPITAL MANAGEMENT (CONT'D)**

The Group considers its total equity and total loans and borrowings to be the key components of its capital structure. The Group monitors capital using a debt-to-equity ratio, which is calculated as total borrowings divided by total equity as follows:

	31.3.2026 RM	31.12.2025 RM	Audited 31.12.2024 RM	31.12.2023 RM	31.12.2022 RM
Total borrowings	19,190,278	18,966,662	17,627,649	6,475,272	10,358,238
Less: Cash and bank balances	<u>(12,870,647)</u>	<u>(8,338,034)</u>	<u>(8,977,446)</u>	<u>(10,818,840)</u>	<u>(9,923,986)</u>
Net debt/(cash)	<u>6,319,631</u>	<u>10,628,628</u>	<u>8,650,203</u>	<u>(4,343,568)</u>	<u>434,252</u>
Total equity	<u>58,781,802</u>	<u>56,558,101</u>	<u>46,810,729</u>	<u>37,683,171</u>	<u>32,139,875</u>
Gearing ratio	<u>0.11</u>	<u>0.19</u>	<u>0.18</u>	<u>N/A ⁽ⁱ⁾</u>	<u>0.01</u>

⁽ⁱ⁾ N/A – Not applicable as net cash position

33. EVENTS AFTER THE REPORTING PERIOD

The details of the acquisition of SIWM by the Company pursuant to the Listing are disclosed in Note 1.4 (e) to the combined financial statements.

On 8 June 2026, the Company has obtained approval from Bursa Securities in relation to the listing on ACE Market of Bursa Securities. As of the date of this report, the Company is in the process of completing the necessary procedures for its listing on ACE Market of Bursa Securities, which is anticipated to be in October 2026.

**13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED
STATEMENTS OF FINANCIAL POSITION**

ECOSYS (MALAYSIA) BERHAD
Registration No. 202301024280 (1518203-H)
(Incorporated in Malaysia)

**PRO FORMA CONSOLIDATED
STATEMENTS OF FINANCIAL POSITION
AS AT 31 MARCH 2026**

GRANT THORNTON MALAYSIA PLT
CHARTERED ACCOUNTANTS
Member Firm of Grant Thornton International Ltd.

13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)



**REPORTING ACCOUNTANTS' REPORT ON THE
COMPILATION OF PRO FORMA CONSOLIDATED
STATEMENTS OF FINANCIAL POSITION**

(Prepared for inclusion in the Prospectus)

Grant Thornton Malaysia PLT

Level 5, Menara BHL
51 Jalan Sultan Ahmad Shah
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Date: 4 September 2026

**The Board of Directors
EcoSys (Malaysia) Berhad**
No. 25 Lorong Beringin 2
Taman Industri Beringin
14100 Simpang Ampat
Pulau Pinang

Dear Sirs/Madam,

ECOSYS (MALAYSIA) BERHAD

**REPORT ON THE COMPILATION OF PRO FORMA CONSOLIDATED STATEMENTS OF
FINANCIAL POSITION AS AT 31 MARCH 2026**

We have completed our assurance engagement to report on the compilation of the Pro Forma Consolidated Statements of Financial Position of EcoSys (Malaysia) Berhad ("EcoSys" or "the Company") and its combining entities, SIW Manufacturing Sdn. Bhd. ("SIWM") and its subsidiaries (collectively known as "the Group") as at 31 March 2026, together with the notes and assumptions thereto (which we have stamped for the purpose of identification), which have been compiled and prepared by the Board of Directors of the Company ("Directors") for inclusion in the prospectus of the Company ("Prospectus") in connection with the initial public offering ("IPO") and the listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("Bursa Securities") ("the Listing").

The applicable criteria on the basis of which the Directors have compiled the Pro Forma Consolidated Statements of Financial Position are specified in the Prospectus Guidelines issued by the Securities Commission Malaysia ("Prospectus Guidelines") and described in Note 1 to the Pro Forma Consolidated Statements of Financial Position ("Applicable Criteria").

The Pro Forma Consolidated Statements of Financial Position as at 31 March 2026 have been compiled by the Directors, for illustrative purposes only, to show the effects of the Listing on the Consolidated Statements of Financial Position presented had the Listing been effected and completed on that date. As part of this process, financial information about the Group's financial position has been extracted by the Directors from the audited financial statements of the Company and audited consolidated financial statements of SIWM for the financial period ended 31 March 2026, on which the audit reports have been issued without modification.

Directors' Responsibility for the Pro Forma Consolidated Statements of Financial Position

The Directors of the Company are responsible for compiling the Pro Forma Consolidated Statements of Financial Position on the basis of the Applicable Criteria.

13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (*Cont'd*)



Reporting Accountants' Independence and Quality Management

We are independent of the Group in accordance with the *By-Laws* (on Professional Ethics, Conduct and Practice) of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants* (including International Independence Standards) ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Our firm applies *International Standard on Quality Management ("ISQM") 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*, and accordingly, the firm is required to design, implement and operate a system of quality management including policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Reporting Accountants' Responsibility

Our responsibility is to express an opinion, as required by the Prospectus Guidelines, about whether the Pro Forma Consolidated Statements of Financial Position have been properly compiled, in all material respect, by the Directors on the basis of the Applicable Criteria.

We conducted our engagement in accordance with *International Standard on Assurance Engagements ("ISAE") 3420 "Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus"*, issued by the International Auditing and Assurance Standards Board and adopted by the Malaysian Institute of Accountants. This standard requires that we comply with ethical requirements and plan and perform procedures to obtain reasonable assurance about whether the Directors have compiled, in all material respects, the Pro Forma Consolidated Statements of Financial Position on the basis of the Applicable Criteria.

For the purpose of this engagement, we are not responsible for updating or reissuing any reports or opinions on any financial information used in compiling the Pro Forma Consolidated Statements of Financial Position, nor have we, in the course of this engagement, performed an audit or review of the financial information used in compiling the Pro Forma Consolidated Statements of Financial Position.

The purpose of the Pro Forma Consolidated Statements of Financial Position included in the Prospectus is solely to illustrate the impact of significant events or transactions on unadjusted financial information of the Group as if the events have occurred or the transactions have been undertaken at an earlier date selected for purposes of the illustration. Accordingly, we do not provide any assurance that the actual outcome of the event or transaction at that date would have been as presented.

A reasonable assurance engagement to report on whether the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, on the basis of the Applicable Criteria involves performing procedures to assess whether the Applicable Criteria used by the Directors in the compilation of the Pro Forma Consolidated Statements of Financial Position provide a reasonable basis for presenting the significant effects directly attributable to the events or transactions, and to obtain sufficient appropriate evidence about whether:-

- The related pro forma adjustments give appropriate effect to those criteria; and
- The Pro Forma Consolidated Statements of Financial Position reflects the proper application of those adjustments to the unadjusted financial information.

The procedures selected depend on our judgement, having regard to our understanding of the nature of the Group, the events or transactions in respect of which the Pro Forma Consolidated Statements of Financial Position has been compiled, and other relevant engagement circumstances.

The engagement also involves evaluating the overall presentation of the Pro Forma Consolidated Statements of Financial Position.

13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)



Reporting Accountants' Responsibility (Cont'd)

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the Pro Forma Consolidated Statements of Financial Position have been compiled, in all material respects, on the basis set out in the notes thereon to the Pro Forma Consolidated Statements of Financial Position and in accordance with the requirements of the Prospectus Guidelines.

Other Matter

This report has been prepared solely for inclusion in the Prospectus in connection with the IPO and the Listing. It is not intended to be used for any other purposes. Neither the firm nor any member or employee of the firm undertakes responsibility arising in any way whatsoever to any party in respect of this report contrary to the aforesaid purpose.

A stylized signature of the firm Grant Thornton Malaysia PLT.

Grant Thornton Malaysia PLT
AF: 0737
201906003682 (LLP0022494-LCA)
Chartered Accountants

A stylized signature of the Chartered Accountant Teh Khang Xuen.

Teh Khang Xuen
No. 03805/12/2027 J
Chartered Accountant

Penang

13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)
**ECOSYS (MALAYSIA) BERHAD
PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT 31 MARCH 2026**

The Pro Forma Consolidated Statements of Financial Position of EcoSys (Malaysia) Berhad ("EcoSys" or "Company") and its combining entities, SIW Manufacturing Sdn. Bhd. ("SIWM") and its subsidiaries (collectively known as "the Group") as at 31 March 2026 as set out below are provided for illustrative purposes only to show the effects of the events and transactions as disclosed in Note 2 to the Pro Forma Consolidated Statements of Financial Position, had the events and transactions took place on 31 March 2026, and should be read in conjunction with the accompanying notes.

		<u>Audited</u>	<u>Pro Forma I</u>	<u>Pro Forma II</u>	<u>Pro Forma III</u>
					<u>After Pro</u>
					<u>Forma II</u>
					<u>and</u>
					<u>Utilisation</u>
					<u>of Proceeds</u>
					<u>from Public</u>
					<u>Issue</u>
					<u>RM</u>
	<u>Note</u>	<u>As at</u>	<u>After</u>	<u>After Pro</u>	
		<u>31 March</u>	<u>Acquisition</u>	<u>Forma I and</u>	
		<u>2026</u>	<u>of SIWM</u>	<u>IPO</u>	
		<u>RM</u>	<u>RM</u>	<u>RM</u>	
ASSETS					
Non-current assets					
Property, plant and equipment		-	16,983,088	16,983,088	16,983,088
Right-of-use assets		-	95,620	95,620	95,620
Intangible assets		-	249,473	249,473	249,473
Investment in associates		-	4,662,849	4,662,849	4,662,849
Other investments		-	1,223,353	1,223,353	1,223,353
Deferred tax assets		-	1,147,382	1,147,382	1,147,382
		-	24,361,765	24,361,765	24,361,765
Current assets					
Inventories		-	47,907,156	47,907,156	47,907,156
Trade and other receivables	3.1	14,688	26,155,343	26,155,343	24,028,340
Cash and bank balances	3.2	100	12,870,647	52,208,567	40,835,570
		14,788	86,933,146	126,271,066	112,771,066
TOTAL ASSETS		14,788	111,294,911	150,632,831	137,132,831
EQUITY AND LIABILITIES					
Equity					
Share capital	3.3	100	46,822,469	86,160,389	84,021,312
Foreign currency translation reserve		-	1,270,488	1,270,488	1,270,488
Merger reserve	3.4	-	(43,838,850)	(43,838,850)	(43,838,850)
(Accumulated losses)/Retained profits	3.5	(71,729)	54,527,695	54,527,695	51,166,772
TOTAL EQUITY		(71,629)	58,781,802	98,119,722	92,619,722



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

The Pro Forma Consolidated Statements of Financial Position of EcoSys (Malaysia) Berhad ("EcoSys" or "Company") and its combining entities, SIW Manufacturing Sdn. Bhd. ("SIWM") and its subsidiaries (collectively known as "the Group") as at 31 March 2026 as set out below are provided for illustrative purposes only to show the effects of the events and transactions as disclosed in Note 2 to the Pro Forma Consolidated Statements of Financial Position, had the events and transactions took place on 31 March 2026, and should be read in conjunction with the accompanying notes. (cont'd)

		<u>Audited</u>	<u>Pro Forma I</u>	<u>Pro Forma II</u>	<u>Pro Forma III</u>
					<u>After Pro Forma II and Utilisation of Proceeds from Public Issue</u>
	<u>Note</u>	<u>As at 31 March 2026</u>	<u>After Acquisition of SIWM</u>	<u>After Pro Forma I and IPO</u>	
		<u>RM</u>	<u>RM</u>	<u>RM</u>	<u>RM</u>
Non-current liabilities					
Borrowings	3.6	-	10,953,711	10,953,711	2,953,711
Deferred tax liabilities		-	12,522	12,522	12,522
		<u>-</u>	<u>10,966,233</u>	<u>10,966,233</u>	<u>2,966,233</u>
Current liabilities					
Trade and other payables		86,417	25,545,409	25,545,409	25,545,409
Borrowings	3.6	-	8,236,567	8,236,567	8,236,567
Lease liabilities		-	99,898	99,898	99,898
Contract liabilities		-	5,625,508	5,625,508	5,625,508
Refund liabilities		-	902,682	902,682	902,682
Current tax liabilities		-	1,136,812	1,136,812	1,136,812
		<u>86,417</u>	<u>41,546,876</u>	<u>41,546,876</u>	<u>41,546,876</u>
TOTAL LIABILITIES		<u>86,417</u>	<u>52,513,109</u>	<u>52,513,109</u>	<u>44,513,109</u>
TOTAL EQUITY AND LIABILITIES		<u>14,788</u>	<u>111,294,911</u>	<u>150,632,831</u>	<u>137,132,831</u>
Issued ordinary shares (unit)		100	425,658,000	571,354,000	571,354,000
Net (liabilities)/assets per share (RM)		(716.29)	0.14	0.17	0.16
Borrowings (RM)		-	19,190,278	19,190,278	11,190,278
Gearing ratio (Times) #		-	0.33	0.20	0.12

Computed based on the total borrowings of the Group over total equity.



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (*Cont'd*)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

1. BASIS OF PREPARATION

The applicable criteria in the preparation of the Pro Forma Consolidated Statements of Financial Position is in accordance with Chapter 9, Part II Division I: Equity of the Prospectus Guidelines issued by the Securities Commission Malaysia and the Guidance Note for Issuers of Pro Forma Financial Information issued by the Malaysian Institute of Accountants.

The Pro Forma Consolidated Statements of Financial Position of the Group as at 31 March 2026 together with the notes thereon, for which the Directors is solely responsible, have been prepared for illustrative purpose only for the purpose of inclusion in the Prospectus of the Company in connection with the initial public offering ("IPO") and the listing of and quotation for the entire enlarged issued share capital of the Company on the ACE Market of Bursa Malaysia Securities Berhad ("Bursa Securities") ("the Listing").

The Pro Forma Consolidated Statements of Financial Position has been prepared based on the audited financial statements of the Company and audited consolidated financial statements of SIWM for the financial period ended 31 March 2026, which were prepared in accordance with Malaysian Financial Reporting Standards, IFRS Accounting Standards and in a manner consistent with the format of financial statements and the accounting policies of the Group, and adjusted for the impacts of the events and transactions as set out in Note 2 to the Pro Forma Consolidated Statements of Financial Position had the events occurred or the transactions been undertaken on 31 March 2026. The Pro Forma Consolidated Statements of Financial Position is not necessarily indicative of the financial position that would have been attained had the Listing actually occurred at the respective dates and such information does not purport to predict the future financial position of the Group.

2. LISTING SCHEME

In conjunction with, and as an integral part of the Listing, the Company intends to undertake the following:

(i) Pro Forma I: Acquisition of SIWM

On 27 November 2025, EcoSys entered into a conditional share sale agreement with Chan Chee Wei and Solarvest Holdings Berhad to acquire the entire equity interest in SIWM comprising 1,500,000 ordinary shares for a purchase consideration of RM46,822,369. The purchase consideration was satisfied by the issuance of 425,657,900 new ordinary shares in the Company at an issue price of RM0.11 per ordinary share as follows:

	No. of ordinary shares issued Unit	Total consideration RM
Chan Chee Wei	297,960,530	32,775,658
Solarvest Holdings Berhad	127,697,370	14,046,711
	<u>425,657,900</u>	<u>46,822,369</u>

The total purchase consideration of RM46,822,369 was arrived on a "willing-buyer willing-seller" basis after taking into consideration the audited net assets ("NA") of SIWM as at 31 December 2024 of RM46,822,418. The acquisition was completed on 15 July 2026.



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

2. LISTING SCHEME (CONT'D)

(i) Pro Forma I: Acquisition of SIWM (Cont'd)

Merger method of accounting

For the purpose of accounting for the acquisition of SIWM, the Company has adopted the merger accounting principles as the consolidated entities are under common control by the same parties before and after the acquisition of SIWM. Under the merger method of accounting, the difference between the cost of investment recorded by the Company (i.e., the consideration for the acquisition of SIWM) and the share capital of SIWM is accounted for as merger reserve, computed as follows:

	RM
Consideration for the Acquisition of SIWM	46,822,369
Less: Issued share capital of SIWM as at 31 March 2026	<u>(1,500,000)</u>
Merger reserve	<u>45,322,369</u>

(ii) Pro Forma II: IPO

(a) Public Issue

The Public Issue involves a public issue of 145,696,000 new ordinary shares ("Issue Shares") in EcoSys, representing 25.50% of the enlarged share capital of EcoSys, at an indicative issue price of RM0.27 per ordinary share and will be allocated in the following manner:

- 28,568,000 Issue Shares, representing 5.00% of the enlarged share capital are made available for application by the Malaysian Public;
- 11,428,000 Issue Shares, representing 2.00% of the enlarged share capital for eligible Directors and employees and persons who have contributed to the success of the Group;
- 71,420,000 Issue Shares, representing 12.50% of the enlarged share capital for private placement to identified Bumiputera investors approved by the Ministry of Investment, Trade and Industry of Malaysia ("MITI"); and
- 34,280,000 Issue Shares, representing 6.00% of the enlarged share capital for private placement to selected investors.

(b) Listing

Subsequent to the above, the Company's entire enlarged share capital of RM86,160,389 comprising 571,354,000 ordinary shares shall be listed on the ACE Market of Bursa Securities.



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

2. LISTING SCHEME (CONT'D)

(iii) Pro Forma III: Utilisation of Proceeds from Public Issue

The total gross proceeds from the Public Issue of RM39,337,920 are expected to be utilised as follows:

Details of Utilisation of Proceeds	Estimated timeframe for utilisation from the Listing date	RM	% of total proceeds from the Public Issue
Expansion of abatement segment through the purchase of key components and modules of abatement systems ^(a)	Within 36 months	17,000,000	43.22
Repayment of bank borrowings ^(b)	Within 12 months	8,000,000	20.34
Enhancement of operational capabilities through the purchase of machines and expansion of team ^(c)	Within 36 months	4,932,000	12.54
Expansion of geographical coverage in India ^(d)	Within 24 months	1,544,000	3.92
Working capital ^(e)	Within 12 months	2,361,920	6.00
Estimated listing expenses ^(f)	Within 1 months	5,500,000	13.98
Total		39,337,920	100.00

Notes:

- (a) As at the latest practicable date ("LPD"), the Group has yet to enter into any contractual binding arrangements or to issue any purchase orders in relation to the purchase of key components and modules of abatement systems in anticipation of expansion of abatement segment. Accordingly, the utilisation of proceeds earmarked for the above purchase of key components and modules of abatement systems are not reflected in the Pro Forma Consolidated Statements of Financial Position.
- (b) The repayment of bank borrowings consists of term loans which were drawn down to finance the acquisition of Simpang Ampat Factory and renovation of Simpang Ampat Factory. The repayment will not attract any early settlement fee as stipulated in the offer letters while the actual interest savings amount may vary depending on the prevailing applicable interest rate and the outstanding balance at that point of time and such interest savings are not reflected in the Pro Forma Consolidated Statements of Financial Position.



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

2. LISTING SCHEME (CONT'D)

(iii) Pro Forma III: Utilisation of Proceeds from Public Issue (Cont'd)

- (c) The Group intends to purchase machines and install an automated chemical cleaning and surface treatment line that used in ultra-high purity ("UHP") segment as well as hire new staffs for the research and development ("R&D"), and regional sales and product management teams to enhance the operational capabilities of the Group as set out below:

Details	RM
Purchase of machines and installation of automated chemical cleaning and surface treatment line for UHP segment	2,100,000
Hiring of new staff for R&D, and regional sales and product management teams	2,832,000
Total	4,932,000

As at the LPD, the Company has yet to enter into any contractual binding arrangements or to issue any purchase orders in relation to the purchase of machines and installation of automated chemical cleaning and surface treatment line for UHP segment and also yet to identify the potential new staffs for R&D, and regional sales and product management teams. Accordingly, the utilisation of proceeds earmarked for the above purchase of machines and installation of automated chemical cleaning and surface treatment line for UHP segment as well as hiring of new staffs for R&D are not reflected in the Pro Forma Consolidated Statements of Financial Position.

- (d) The Group intends to set up an India sales and service centre and hiring of new staffs for sales and product management, and administration teams to expand the geographical coverage in anticipation of the expansion of abatement segment in India as set out below:

Details	RM
Setting up of India sales and service centre ^(#)	560,000
Hiring of new staff for sales and product management, and administration teams	984,000
Total	1,544,000

- (#) Setting up of India sales and service centre comprises of renovation expenses including renovation and fitout, electrical and lighting works, furniture and fixtures as well as display area set-up, rental and utilities.

As at the LPD, the Company has yet to enter into any contractual binding arrangements for the setting up of India sales and service centre and also yet to identify the potential new sales and product management, and administration teams. Accordingly, the utilisation of proceeds earmarked for the above setting up of India sales and service centre as well as hiring of new staff are not reflected in the Pro Forma Consolidated Statements of Financial Position.



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

2. LISTING SCHEME (CONT'D)

(iii) Pro Forma III: Utilisation of Proceeds from Public Issue (Cont'd)

(e) The working capital comprises the following:

Details	RM
Sales and marketing expenses	1,000,000
Commissions payable to the sales representatives	1,361,920
Total working capital	2,361,920

Include the sales and marketing expenses for participation in international and regional trade fairs, exhibitions, and industry conferences.

Include the commissions payable to foreign sales representatives who operate on commission basis in overseas countries in promoting the abatement systems of the Group.

(f) The estimated listing expenses comprise the following:

Details	RM
Professional fees	3,766,000
Underwriting, placement and brokerage fees	966,000
Fees to authorities	69,000
Printing, advertising fees and contingencies	699,000
Total estimated listing expenses	5,500,000

Out of the total estimated listing expenses, RM2,127,003 has been paid and recorded as prepayment of the Group as at 31 March 2026. Such amount will be charged out from prepayment account accordingly upon completion of the IPO.

Upon completion of the IPO, the estimated listing expenses of approximately RM2,139,077 directly attributable to the Public Issue will be set-off against the share capital and the remaining estimated listing expenses of approximately RM3,360,923 will be charged out to the profit or loss of the Group.

If the actual listing expenses are higher than the estimated, the deficit will be funded out from portion out from the portion allocated for working capital. Conversely, if the actual listing expenses are lower than the estimated, the excess will be utilised for working capital.



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

3. NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

3.1 TRADE AND OTHER RECEIVABLES

The movements of the trade and other receivables are as follows:

	RM
As at 31 March 2026	14,688
Pursuant to Acquisition of SIWM	<u>26,140,655</u>
As per Pro Forma I and II	26,155,343
Pursuant to Utilisation of Proceeds from Public Issue - Charged out of prepaid listing expenses	<u>(2,127,003)</u>
As per Pro Forma III	<u>24,028,340</u>

3.2 CASH AND BANK BALANCES

The movements of the cash and bank balances are as follows:

	RM
As at 31 March 2026	100
Pursuant to Acquisition of SIWM	<u>12,870,547</u>
As per Pro Forma I	12,870,647
Pursuant to IPO	<u>39,337,920</u>
As per Pro Forma II	52,208,567
Pursuant to Utilisation of Proceeds from Public Issue - Payment of remaining estimated listing expenses - Repayment of bank borrowings	<u>(3,372,997)</u> <u>(8,000,000)</u>
As per Pro Forma III	<u>40,835,570</u>



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (Cont'd)
**ECOSYS (MALAYSIA) BERHAD
PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
AS AT 31 MARCH 2026 (CONT'D)**
3. NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)
3.3 SHARE CAPITAL

The movements of the share capital are as follows:

	No. of ordinary shares Unit	RM
As at 31 March 2026	100	100
Pursuant to Acquisition of SIWM	425,657,900	46,822,369
As per Pro Forma I	425,658,000	46,822,469
Pursuant to Proceeds from IPO	145,696,000	39,337,920
As per Pro Forma II	571,354,000	86,160,389
Pursuant to Utilisation of Proceeds from Public Issue		
- Portion of estimated listing expenses set-off against share capital	-	(2,139,077)
As per Pro Forma III	571,354,000	84,021,312

3.4 MERGER RESERVE

The movements of the merger reserve are as follows:

	RM
As at 31 March 2026	-
Pursuant to Acquisition of SIWM	
- Merger reserve recorded by SIWM as at 31 March 2026	1,483,519
- Arising from Acquisition of SIWM by EcoSys	(45,322,369)
As per Pro Forma I, II and III	(43,838,850)

3.5 (ACCUMULATED LOSSES)/RETAINED PROFITS

The movements of the (accumulated losses)/retained profits are as follows:

	RM
As at 31 March 2026	(71,729)
Pursuant to Acquisition of SIWM	54,599,424
As per Pro Forma I and II	54,527,695
Pursuant to Utilisation of Proceeds from Public Issue	
- Portion of estimated listing expenses set-off against profit or loss	(3,360,923)
As per Pro Forma III	51,166,772



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (*Cont'd*)

ECOSYS (MALAYSIA) BERHAD PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION AS AT 31 MARCH 2026 (CONT'D)

3. NOTES TO PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (CONT'D)

3.6 BORROWINGS

The movements of the borrowings are as follows:

	RM
<u>Non-current liabilities</u>	
As at 31 March 2026	-
Pursuant to Acquisition of SIWM	10,953,711
As per Pro Forma I and II	10,953,711
Pursuant to Utilisation of Proceeds from Public Issue	
- Repayment of bank borrowings	(8,000,000)
As per Pro Forma III	2,953,711
<u>Current liabilities</u>	
As at 31 March 2026	-
Pursuant to Acquisition of SIWM	8,236,567
As per Pro Forma I, II and III	8,236,567



13. REPORTING ACCOUNTANTS' REPORT ON THE PRO FORMA CONSOLIDATED STATEMENTS OF FINANCIAL POSITION (*Cont'd*)

ECOSYS (MALAYSIA) BERHAD
Registration No. 202301024280 (1518203-H)
(Incorporated in Malaysia)

APPROVAL BY BOARD OF DIRECTORS

The Pro Forma Consolidated Statements of Financial Position has been approved for issue in accordance with a resolution of the Board of Directors of EcoSys (Malaysia) Berhad on 4 September 2026.

Signed on behalf of the Board of Directors in accordance with a resolution of the Board of Directors:


.....
Chan Chee Wei

Penang,

Date: 4 September 2026

14. STATUTORY AND OTHER INFORMATION**14.1 OUR SHARE CAPITAL**

As at LPD, our issued share capital is RM46,822,469 comprising 425,658,000 Shares. The movements in our share capital since the date of our incorporation are set out below:

Date of allotment	No. of Shares allotted	Consideration/Types of issue	Cumulative share capital (RM)
26 June 2023	1	RM1/ Subscriber's shares in cash	1
15 May 2024	99	RM99/ Allotment of shares in cash	100
15 July 2026	425,657,900	RM46,822,369/ Otherwise than cash	46,822,469

As at the date of this Prospectus, we only have 1 class of shares, namely, ordinary shares, all of which rank equally with one another and we do not have any outstanding warrants, options, convertible securities and uncalled capital. In addition, there are no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

Upon completion of our IPO, our enlarged share capital will increase to RM86,160,389 comprising 571,354,000 Shares.

Save for the Pink Form Allocations as disclosed in Section 4.3.2 of this Prospectus,

- (a) no Director or employee of our Group has been or is entitled to be given or has exercised any option to subscribe for any share of our Company or our subsidiaries; and
- (b) there is no scheme involving the employees of our Group in the shares of our Company or our subsidiaries.

Save for the issuance of our subscriber's shares upon our incorporation, new Shares issued and to be issued for the Acquisition of SIW Manufacturing and Public Issue, and issuance of shares in our subsidiaries and associated companies as disclosed under Section 14.2 of this Prospectus, no shares of our Company or our subsidiaries or associated companies have been issued or are proposed to be issued as fully or partly paid-up, in cash or otherwise, within the past 2 years immediately preceding the date of this Prospectus. Other than our Public Issue as disclosed in Section 4.3, there is no intention on the part of our Directors to further issue any Shares on the basis of this Prospectus.

14. STATUTORY AND OTHER INFORMATION (Cont'd)**14.2 SHARE CAPITAL OF OUR SUBSIDIARIES AND ASSOCIATED COMPANIES****(a) SIW Manufacturing**

As at LPD, the share capital of SIW Manufacturing is RM1,500,000 comprising 1,500,000 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration/Types of issue	Cumulative share capital (RM)
15 February 2019	100	RM100/ Subscriber's shares in cash	100
23 April 2019	499,900	RM499,900/ Allotment of shares in cash	500,000
21 May 2019	500,000	RM500,000/ Allotment of shares in cash	1,000,000
24 June 2019	500,000	RM500,000/ Allotment of shares in cash	1,500,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in SIW Manufacturing. In addition, there are no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

SIW Manufacturing is our wholly-owned subsidiary. The directors of SIW Manufacturing as at LPD are Chan Chee Wei and Ooi Eng Ghee.

As at LPD, save for the followings, SIW Manufacturing does not have any other subsidiary and/ or associated company.

(b) SIW Engineering

As at LPD, the share capital of SIW Engineering is SGD1,000,000 (equivalent to RM3.06 million) comprising 1,000,000 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration/Types of issue	Cumulative share capital (SGD)
23 March 2005	2	SGD2/ Subscriber's shares in cash	2
18 August 2006	198	SGD198/ Allotment of shares in cash	200
13 December 2007	99,800	SGD99,800/ Allotment of shares in cash	100,000
19 December 2008	50,000	SGD50,000/ Allotment of shares in cash	150,000

14. STATUTORY AND OTHER INFORMATION (Cont'd)

Date of allotment	No. of shares allotted	Consideration/Types of issue	Cumulative share capital (SGD)
19 August 2011	610,000	SGD610,000/ Allotment of shares in cash	760,000
10 January 2023	240,000	SGD240,000/ Allotment of shares in cash	1,000,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in SIW Engineering. In addition, there are no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

SIW Engineering is our indirect wholly-owned subsidiary. The directors of SIW Engineering as at LPD are Chan Chee Wei and Voon Sin Choo.

As at LPD, SIW Engineering does not have any subsidiary and/or associated company.

(c) EcoSys PLT

As at LPD, the share capital of EcoSys PLT is SGD139,425 (equivalent to RM0.39 million) comprising 139,425 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration/Types of issue	Cumulative share capital (SGD)
23 March 2005	2	SGD2/ Subscriber's shares in cash	2
8 December 2005	54,398	SGD54,398/ Allotment of shares in cash or otherwise than cash	54,400
18 August 2006	54,400	SGD54,400/ Allotment of shares in cash or otherwise than cash	108,800
9 October 2012	30,625	SGD30,625/ Allotment of shares in cash	139,425

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in EcoSys PLT. In addition, there are no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

EcoSys PLT is our indirect wholly-owned subsidiary. The directors of EcoSys PLT as at LPD are Chan Chee Wei and Voon Sin Choo.

As at LPD, EcoSys PLT has one wholly-owned subsidiary, namely BHT.

14. STATUTORY AND OTHER INFORMATION (Cont'd)**(d) BHT**

As at LPD, the share capital of BHT is SGD2,612,600 (equivalent to RM7.85 million) comprising 2,612,600 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration/Types of issue	Cumulative share capital (SGD)
28 November 2011	100	SGD100/ Subscribers' shares in cash	100
14 December 2011	2,612,500	SGD2,612,500/ Allotment of shares in cash	2,612,600

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in BHT. In addition, there are no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

BHT is our indirect wholly-owned subsidiary. The director of BHT as at LPD is Chan Chee Wei.

As at the LPD, BHT does not have any subsidiary and/or associated companies.

(e) Anhui Automation

As at LPD, the registered capital of Anhui Automation is RMB10,000,000 (equivalent to RM5.88 million) and has been fully paid off.

Anhui Automation is our indirect 30.0%-owned associated company. As at LPD, the remaining 70.0% equity interests are held by Wuhu Zhi Ce (34.0%), Shanghai Jingnengtong (13.5%), Anhui Xuansheng (12.0%) and Forever Fame (10.5%). The directors of Anhui Automation as at LPD are Chan Chee Wei, Ooi Eng Ghee, Sun Xiao Dong, Wu Yun Xia, Zhou Kun and Zhang Hua.

As at LPD, Anhui Automation has 2 wholly-owned subsidiaries, namely Anhui Trading and Kaisu.

(f) Anhui Trading

As at LPD, the registered capital of Anhui Trading is RMB5,000,000 (equivalent to RM2.94 million) and has been fully paid off.

Anhui Trading is our indirect 30.0%-owned associated company. The director of Anhui Trading as at LPD is Wu Yun Xia.

As at LPD, Anhui Trading does not have any subsidiary and/or associated company.

(g) Kaisu

As at LPD, the registered capital of Kaisu is RMB66,558 (equivalent to RM0.04 million) and has been fully paid off.

Kaisu is our indirect 30.0%-owned associated company. The director of Kaisu as at LPD is Wu Yun Xia.

As at LPD, Kaisu does not have any subsidiary and/or associated company.

14. STATUTORY AND OTHER INFORMATION (Cont'd)**(h) SIW Taiwan**

As at LPD, the share capital of SIW Taiwan is TWD20,000,000 (equivalent to RM2.67 million) comprising 2,000,000 ordinary shares. The movements in its share capital since incorporation are as follows:

Date of allotment	No. of shares allotted	Consideration/Types of issue	Cumulative share capital (TWD)
31 January 2012	600,000	TWD6,000,000/ Subscribers' shares in cash	6,000,000
18 March 2025	1,400,000	TWD14,000,000/ Allotment of shares in cash	20,000,000

As at LPD, there are no outstanding warrants, options, convertible securities or uncalled capital in SIW Taiwan. In addition, there are no discounts, special terms or instalment payment terms applicable to the payment of the consideration for the allotment.

SIW Taiwan is our indirect 20.0%-owned associated company. As at LPD, the remaining 80.0% equity interests are held by GAT Asset (40.0%), Chen-Tai (15.0%), Future Investment (15.0%) and Wu Min Xu (10.0%). The director of SIW Taiwan is Chen-Tai represented by Huang Yi Jia.

As at LPD, SIW Taiwan does not have any subsidiary and/or associated company.

14.3 CONSTITUTION

The following provisions are extracted from our Constitution. Terms defined in our Constitution shall have the same meanings when used here unless they are otherwise defined here or the context otherwise requires. The following provisions extracted from our Constitution are based on the current Listing Requirements and the Act.

(a) Remuneration, voting and borrowing power of Directors

The provisions in our Constitution dealing with remuneration, voting and borrowing power of Directors are as follows:

Clause 19 Remuneration of Directors**Clause 19.1 Fees and benefits for Directors**

The fees of the Directors, and any benefits payable to the Directors including any compensation for loss of employment of a Director shall from time to time be determined by an Ordinary Resolution of the Company annually in general meeting and shall (unless such resolution otherwise provides) be divisible among the Directors as they may agree PROVIDED ALWAYS that:

- (1) salaries payable to executive Director(s) may not include a commission on or percentage of turnover;
- (2) fees payable to non-executive Directors shall be a fixed sum and not by a commission on or percentage of profits or turnover;

14. STATUTORY AND OTHER INFORMATION (Cont'd)

- (3) any fee paid to an alternate Director shall be such as shall be agreed between himself and the Director nominating him and shall be paid out of the remuneration of the latter; and
- (4) fees payable to Directors shall not be increased except pursuant to an Ordinary Resolution passed at a general meeting, where notice of the proposed increase has been given in the notice convening the meeting.

Clause 19.2 Reimbursement of expenses

The Directors shall be paid all their travelling and other expenses properly and necessarily expended by them in and about the business of the Company including their travelling and other expenses incurred in attending meetings of Directors.

If by arrangement with the Directors, any Director shall perform or render any special duties or services outside his ordinary duties as a Director in particular without limiting to the generality of the foregoing if any Director being willing shall be called upon to perform extra services or to make any special efforts in going or residing away from his usual place of business or residence for any of the purposes of the Company or in giving special attention to the business of the Company as a member of a committee of Directors, the Company may remunerate the Director so doing a special remuneration in addition to his Director's fees and such special remuneration may be by way fixed sum or otherwise as may be arranged.

Clause 23 Alternate Directors**Clause 23.1 Appointment or removal of an alternate Director**

A Director may appoint any person (other than a Director of the Company), the appointment of which is approved by a majority of the other members of the Board to act as his alternate Director and at his discretion by way of a notice to the Company, remove such alternate Director from office. An alternate Director does not act an alternate for more than one director of the company and may only be appointed as an alternate to one Director at any point in time. Any fee paid by the Company to an alternate Director shall be deducted from that Director's remuneration.

Any appointment or removal of an alternate Director may be made by cable, telegram, facsimile, telex or in any other manner approved by the Board. Any cable or telegram shall be confirmed as soon as possible by letter but may be acted upon by the Company meanwhile.

Clause 23.2 Cessation of appointment of an alternate Director

If a Director making any such appointment as aforesaid shall cease to be a Director (otherwise than by reason of vacating his office at a meeting of the Company at which he is re-elected), the person appointed by him as an alternate Director shall thereupon cease to be an alternate Director.

Clause 23.3 Rights of an alternate Director

An alternate Director shall (except as regards power to appoint an alternate Director and remuneration) be subject in all respects to the terms and conditions existing with reference to the other Directors and shall be entitled to receive notices of all meetings of the Directors and to attend, speak and vote at any such meeting at which his appointor is not present.

An alternate Director shall not be taken into account in reckoning the minimum or maximum number of Directors allowed for the time being but he shall be counted for the purpose of reckoning whether a quorum is present at any meeting of the Directors attended by him at which he is entitled to vote.

14. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 24 Managing Director

Clause 24.2 Remuneration of Managing Director

The remuneration of a Managing Director or Managing Directors shall be fixed by the Board and may be by way of salary or commission or participation in profits or otherwise or by any or all of these modes but such remuneration shall not include a commission on or percentage of turnover but it may be a term of their appointment that they shall receive pension, gratuity or other benefits upon their retirement.

Clause 22 Proceedings of the Board

Clause 22.5 Chairman to have a casting vote

Subject to this Constitution, any question arising at any meeting of Directors shall be decided by a majority of votes and a determination by a majority of Directors shall for all purposes be deemed a decision of the Board and PROVIDED ALWAYS that in the case of an equality of votes, the chairman of the meeting shall have a second or casting vote. However, in the case of an equality of votes, the chairman of a Board meeting at which two (2) Directors form a quorum and only such a quorum is present at the meeting or at which only two (2) Directors are competent to vote on the question at issue, shall not have a casting vote.

Clause 22.7 Disclosure of interest and restriction on discussion and voting

Every Director shall declare his interest in the Company and his interest in any contract or proposed contract with the Company as may be required by Applicable Laws. Subject to the Act, a Director shall not participate in any discussion or vote in respect of any contract or proposed contract or arrangement in which he has directly or indirectly an interest and if he shall do so his vote shall not be counted. A Director shall, notwithstanding his interest, be counted in the quorum for any meeting where a decision is to be taken upon any contract or proposed contract or arrangement in which he is in any way interested.

Clause 22.8 Power to vote

Subject to Clause 22.7 hereof, a Director may vote in respect of:

- (1) any arrangement for giving the Director himself or any other Director any security or indemnity in respect of money lent by him to or obligations undertaken by him for the benefit of the Company or any of its subsidiaries; or
- (2) any arrangement for the giving by the Company of any security to a third party in respect of a debt or obligation of the Company for which the Director himself or any other Director has assumed responsibility in whole or in part under a guarantee or indemnity or by the deposit of security.

Clause 21 Power and Duties of Directors

Clause 21.2 The Board's borrowing powers

The Board may exercise all the powers of the Company to borrow or raise money for the purpose of the Company's or any of its related companies' businesses on such terms as they think fit and may secure the repayment of the same by mortgage or charge upon the whole of the Company's undertaking, property (both present and future) including its uncalled or unissued capital, or any part thereof and to issue bonds, debentures and other securities whether outright or as security for any debt, liability or obligation of the Company or its subsidiaries but the Directors shall not borrow

14. STATUTORY AND OTHER INFORMATION (Cont'd)

any money or mortgage or charge any of the Company's or any of the Company's subsidiary companies' undertaking, property or any uncalled capital or to issue debentures and other securities whether outright or as security for any debt, liability or obligation of an unrelated third party.

(b) Changes to share capital

The provisions in our Constitution dealing with changes in share capital are as follows:

Clause 4.1 Allotment of shares

Without prejudice to any special rights previously conferred on the holders of any existing shares or class of shares and subject to the provisions of this Constitution, all Applicable Laws, and the provisions of any resolution of the Company, the Board may issue, allot or otherwise dispose of such shares to such persons at such price, on such terms and conditions, with such preferred, deferred or other special rights and subject to such restrictions and at such times as the Board may determine but the Board in making any issue of shares shall comply with the following conditions:-

- (1) in the case of shares of a class, other than ordinary shares, no special rights shall be attached until the same have been expressed in this Constitution and in the resolution creating the same;
- (2) no shares shall be issued which shall have the effect of transferring a controlling interest in the Company to any person, company or syndicate without the prior approval of the Members in general meeting;
- (3) every issue of shares or options to employees and/or Directors of the Company and/or its subsidiaries under an employee share option scheme shall be approved by the Members in general meeting; and
- (4) no Director shall participate in a scheme that involves a new issuance of shares or other convertible securities to employees unless the Members in a general meeting have approved the specific allotment to be made to such Director.

Clause 14.1 Power to alter capital

Section 84 of the Act shall not apply to the Company. The Company may by Ordinary Resolution and subject to all Applicable Laws:-

- (1) consolidate and divide all or any of its share capital into shares, the proportion between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the share from which the subdivided share is derived;
- (2) subdivide its share capital or any part thereof, whatever is in the subdivision, the proportions between the amount paid and the amount, if any, unpaid on each subdivided share shall be the same as it was in the case of the shares from which the subdivided share is derived;
- (3) cancel shares which at the date of the passing of the resolution in that behalf have not been taken or agreed to be taken by any person or which have been forfeited and diminish the amount of its share capital by the amount of the shares so cancelled; and
- (4) subject to the provisions of this Constitution and the Applicable Laws, convert and/or re-classify any class of shares into any other class of shares.

14. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Clause 14.2 Power to reduce capital

The Company may by Special Resolution, reduce its share capital in any manner permitted or authorised under and in compliance with the Applicable Laws.

(c) Transfer of securities

Clause 9.1 Transfer of listed securities of Company is by way of book entry

The transfer of any listed security or class of any listed security of the Company, shall be by way of book entry by Bursa Depository in accordance with the Rules and, notwithstanding Sections 105, 106 and 110 of the Act, but subject to Section 148(2) of the Act and any exemption that may be made from compliance with Section 148(1) of the Act, the Company shall be precluded from registering and effecting any transfer of the listed securities.

Clause 10.5 Transmission of securities between registers

Where:

- (1) the securities of the Company are listed on another stock exchange; and
- (2) the Company is exempted from compliance with Section 14 of the SICDA or Section 29 of the Securities Industry (Central Depositories) (Amendment) Act 1998, as the case may be under the Rules in respect of such securities.

the Company shall upon the request of a securities holder, permit a transmission of securities held by such securities holder from the register of holders maintained by the registrar of the Company in the jurisdiction of the other stock exchange to the register of holders maintained by the registrar of the Company in Malaysia and vice versa provided that there shall be no change in the ownership of such securities.

(d) Rights, preferences, and restrictions attached to each class of securities relating to voting, dividend, liquidation, and any special rights

The provisions in our Constitution dealing with rights, preferences and restrictions attached to each class of securities relating to voting, dividend, liquidation, and any special rights are as follows:

Clause 4.3 Rights of preference shareholders

Subject to all Applicable Laws, any preference shares may with the sanction of an Ordinary Resolution be issued on the terms that they are or at the option of the Company are liable to be redeemed or converted.

Clause 5.1 Modification of class rights

If at any time the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may, subject to all Applicable Laws, be varied or abrogated with the consent in writing of the holders of three fourths (3/4) of the issued shares of that class or with the sanction of a Special Resolution passed at a separate meeting of the holders of the shares of that class. To every such separate meeting the provisions of this Constitution relating to meetings of Members shall mutatis mutandis apply so that the necessary quorum shall be at least two (2) Members of the class holding or representing by proxy one-third (1/3) of the issued shares of the class, and every holder of shares of the class in question shall be entitled on a poll to one (1) vote for every such share held by him. To every such

14. STATUTORY AND OTHER INFORMATION *(Cont'd)*

Special Resolution the provisions of Section 292 of the Act shall apply with such adaptations as are necessary.

Clause 5.2 Alteration of rights by issuance of new shares

The rights conferred upon the holders of the shares of any class issued with preferred or other rights shall not, unless otherwise expressly provided by the terms of issue of the shares of that class be deemed to be varied by the creation or issue of further shares ranking as regards participation in the profits or assets of the Company in some or in all respects *pari passu* therewith.

14.4 GENERAL INFORMATION

- (a) Save for the dividends paid to the shareholders of our subsidiary as disclosed in Section 5.1.5, Directors' remuneration and benefits as disclosed in Section 5.5.1 and purchase consideration paid for the Acquisition of SIW Manufacturing as disclosed in Section 6.1.4, no other amount or benefit has been paid or given within the past 2 years immediately preceding the date of this Prospectus, nor is it intended to be paid or given, to any of our Promoter, Directors or substantial shareholders.
- (b) Save as disclosed in Section 9.1 of this Prospectus, none of our Directors or substantial shareholders have any interest, direct or indirect, in any contract or arrangement subsisting at the date of this Prospectus and which is significant in relation to the business of our Group.
- (c) The manner in which copies of this Prospectus together with the official application forms and envelopes may be obtained and the details of the summarised procedures for application of our Shares are set out in Section 15 of this Prospectus.
- (d) There is no limitation on the right to own securities including limitation on the right of non-residents or foreign shareholders to hold or exercise their voting rights on our Shares.

14.5 CONSENTS

- (a) The written consents of the Principal Adviser, Sponsor, Underwriter, Placement Agent, Financial Adviser, solicitors, IMR, share registrar, company secretary and Issuing House to the inclusion in this Prospectus of their names in the form and context in which such names appear have been given before the issue of this Prospectus and have not subsequently been withdrawn;
- (b) The written consents of the Auditors and Reporting Accountants to the inclusion in this Prospectus of their names, Accountants' Report and report relating to the pro forma combined financial information in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not subsequently been withdrawn; and
- (c) The written consent of the IMR to the inclusion in this Prospectus of its name and the IMR Report, in the form and context in which they are contained in this Prospectus have been given before the issue of this Prospectus and have not been subsequently withdrawn.

14. STATUTORY AND OTHER INFORMATION (Cont'd)

14.6 DOCUMENTS FOR INSPECTION

Copies of the following documents are available for inspection at the registered office of our Company during normal business hours for a period of 6 months from the date of this Prospectus:

- (a) Constitution;
- (b) Audited financial statements of our Group for the Financial Period Under Review;
- (c) Accountants' Report as set out in Section 12 of this Prospectus;
- (d) Reporting Accountants' report relating to our pro forma combined statements of financial position as set out in Section 13 of this Prospectus;
- (e) IMR Report as set out in Section 7 of this Prospectus;
- (f) Material contracts as set out in Section 6.8 of this Prospectus; and
- (g) Letters of consent as set out in Section 14.5 of this Prospectus.

14.7 RESPONSIBILITY STATEMENTS

Our Directors and Promoter have seen and approved this Prospectus. They collectively and individually accept full responsibility for the accuracy of the information. Having made all reasonable enquiries, and to the best of their knowledge and belief, they confirm there is no false or misleading statement or other facts which if omitted, would make any statement in this Prospectus false or misleading.

M&A Securities acknowledges that, based on all available information, and to the best of its knowledge and belief, this Prospectus constitutes a full and true disclosure of all material facts concerning our IPO.

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15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE

THIS SUMMARY OF PROCEDURES FOR APPLICATION AND ACCEPTANCE DOES NOT CONTAIN THE DETAILED PROCEDURES AND FULL TERMS AND CONDITIONS AND YOU CANNOT RELY ON THIS SUMMARY FOR PURPOSES OF ANY APPLICATION FOR OUR IPO SHARES. YOU MUST REFER TO THE DETAILED PROCEDURES AND TERMS AND CONDITIONS AS SET OUT IN THE "DETAILED PROCEDURES FOR APPLICATION AND ACCEPTANCE" ACCOMPANYING THE ELECTRONIC PROSPECTUS ON THE WEBSITE OF BURSA SECURITIES. YOU SHOULD ALSO CONTACT THE ISSUING HOUSE FOR FURTHER ENQUIRIES.

Unless otherwise defined, all words and expressions used here shall carry the same meaning as ascribed to them in our Prospectus.

Unless the context otherwise requires, words used in the singular include the plural, and vice versa.

15.1 OPENING AND CLOSING OF APPLICATION PERIOD

OPENING OF THE APPLICATION PERIOD: 10.00 A.M., 23 SEPTEMBER 2026

CLOSING OF THE APPLICATION PERIOD: 5.00 P.M., 29 SEPTEMBER 2026

In the event of any changes to the date or time for closing, we will make an announcement on Bursa Securities' website and advertise the notice of changes in a widely circulated daily English and Bahasa Malaysia newspaper in Malaysia.

Late Applications will not be accepted.

15.2 METHODS OF APPLICATIONS

15.2.1 Retail Offering

Application must accord with our Prospectus and our Constitution. The submission of an Application Form does not mean that the Application will succeed.

Types of Application and category of investors	Application Method
Applications by our eligible Directors and employees of our Group	Pink Application Form only
Applications by the Malaysian Public:	
(i) Individuals	White Application Form or Electronic Share Application or Internet Share Application
(ii) Non-Individuals	White Application Form only

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

15.2.2 Placement

Types of Application

Applications by selected investors

Applications by Bumiputera investors approved by MITI

Selected investors and Bumiputera Investors approved by MITI may still apply for our IPO Shares offered to the Malaysian Public using the White Application Form, Electronic Share Application or Internet Share Application.

Application Method

The Placement Agent will contact the selected investors directly. They should follow the Placement Agent's instructions.

MITI will contact the Bumiputera investors directly. They should follow MITI's instructions.

15.3 ELIGIBILITY

15.3.1 General

You must have a CDS Account and a correspondence address in Malaysia. If you do not have a CDS Account, you may open a CDS Account by contacting any of the ADAs set out in the list of ADAs set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the Electronic Prospectus on the website of Bursa Securities. The CDS Account must be in your own name. **Invalid, nominee or third party CDS Accounts will not be accepted** for the Applications.

Only **ONE** Application Form for each category from each applicant will be considered and **APPLICATIONS MUST BE FOR AT LEAST 100 IPO SHARES OR MULTIPLES OF 100 IPO SHARES.**

MULTIPLE APPLICATIONS WILL NOT BE ACCEPTED UNLESS EXPRESSLY ALLOWED IN THESE TERMS AND CONDITIONS. AN APPLICANT WHO SUBMITS MULTIPLE APPLICATIONS IN HIS OWN NAME OR BY USING THE NAME OF OTHERS, WITH OR WITHOUT THEIR CONSENT, COMMITS AN OFFENCE UNDER SECTION 179 OF THE CMSA AND IF CONVICTED, MAY BE PUNISHED WITH A MINIMUM FINE OF RM1,000,000 AND A JAIL TERM OF UP TO 10 YEARS UNDER SECTION 182 OF THE CMSA.

AN APPLICANT IS NOT ALLOWED TO SUBMIT MULTIPLE APPLICATIONS IN THE SAME CATEGORY OF APPLICATION.

AN APPLICANT WHO WISHES TO SUBMIT APPLICATIONS USING A JOINT BANK ACCOUNT MUST CONTACT THE FINANCIAL INSTITUTION HANDLING THE APPLICATIONS TO ENSURE THAT THE NAME ON THE JOINT BANK ACCOUNT MATCHES THE NAME ON THEIR CDS ACCOUNT. THIS STEP MINIMIZES THE RISK OF REJECTION OF IPO APPLICATIONS DUE TO NAME DISCREPANCIES. OUR COMPANY, PRINCIPAL ADVISER AND ISSUING HOUSE ARE NOT RESPONSIBLE FOR ANY ISSUES ARISING THEREAFTER.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

15.3.2 Application by Malaysian Public

You can only apply for our IPO Shares if you fulfill all of the following:

- (i) You must be one of the following:
 - (a) a Malaysian citizen who is at least 18 years old as at the date of the application for our IPO Shares; or
 - (b) a corporation/ institution incorporated in Malaysia with a majority of Malaysian citizens on your board of directors/ trustees and if you have a share capital, more than half of the issued share capital, excluding preference share capital, is held by Malaysian citizens; or
 - (c) a superannuation, co-operative, foundation, provident, pension fund established or operating in Malaysia.
- (ii) You must not be a director or employee of the Issuing House or an immediate family member of a director or employee of the Issuing House; and
- (iii) You must submit Applications by using only one of the following methods:
 - (a) White Application Form; or
 - (b) Electronic Share Application; or
 - (c) Internet Share Application.

15.3.3 Application by eligible Directors and employees of our Group

The eligible Directors and employees of our Group will be provided with Pink Application Forms and letters from us detailing their respective allocation as well as detailed procedures on how to subscribe to the allocated Issue Shares. The eligible Directors and employees of our Group must follow the notes and instructions in the said document and where relevant, in this Prospectus. All duly completed Pink Application Forms should be submitted to our Group through the Human Resources or Finance Department.

15.4 APPLICATION BY WAY OF APPLICATION FORM

The Application Form must be completed in accordance with the notes and instructions contained in the respective category of the Application Form. Applications made on the incorrect type of Application Form or which do not conform **STRICTLY** to the terms of our Prospectus or the respective category of Application Form or notes and instructions or which are illegible will not be accepted.

The FULL amount payable is RM0.27 for each IPO Share.

Payment must be made out in favour of **"TIIH SHARE ISSUE ACCOUNT NO. 836"** and crossed **"A/C PAYEE ONLY"** and endorsed on the reverse side with your name and address.

Method below is relevant for White Form Application Form only whereas for Pink Application Form, kindly direct the submission of the form to our Company, through the Human Resources or Finance Department.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

Each completed Application Form, accompanied by the appropriate remittance and legible photocopy of the relevant documents may be submitted using one of the following methods:

- (i) despatch by **ORDINARY POST** in the official envelopes provided, to the following address:

Vistra Investor & Issuing House Services Sdn Bhd
 (formerly known as Tricor Investor & Issuing House Services Sdn Bhd)
 (Registration No. 197101000970(11324-H))
 Unit 32-01, Level 32, Tower A
 Vertical Business Suite
 Avenue 3, Bangsar South
 No. 8, Jalan Kerinchi
 59200 Kuala Lumpur
 Wilayah Persekutuan Kuala Lumpur

or

- (ii) **DELIVER BY HAND AND DEPOSIT** in the drop-in boxes provided at Unit G-3, Ground Floor, Vertical Podium, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur.

so as to arrive not later than 5.00 p.m. on 29 September 2026 or by such other time and date specified in any change to the date or time for closing.

We, together with the Issuing House, will not issue any acknowledgement of the receipt of your Application Forms or Application monies. Please direct all enquiries in respect of the White Application Form to the Issuing House.

15.5 APPLICATION BY WAY OF ELECTRONIC SHARE APPLICATION

Only Malaysian individuals may apply for our IPO Shares offered to the Malaysian Public by way of Electronic Share Application.

Electronic Share Applications may be made through the ATM of the following Participating Financial Institutions and their branches, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, AmBank (M) Berhad, CIMB Bank Berhad, Malayan Banking Berhad, Public Bank Berhad and RHB Bank Berhad. A processing fee will be charged by the respective Participating Financial Institutions (unless waived) for each Electronic Share Application.

The exact procedures, terms and conditions for Electronic Share Application are set out on the ATM screens of the relevant Participating Financial Institutions.

15.6 APPLICATION BY WAY OF INTERNET SHARE APPLICATION

Only Malaysian individuals may use the Internet Share Application to apply for our IPO Shares offered to the Malaysian Public.

Internet Share Applications may be made through an internet financial services website of the Internet Participating Financial Institutions or Participating Securities Firms, namely, Affin Bank Berhad, Alliance Bank Malaysia Berhad, CGS International Securities Malaysia Sdn Bhd (*formerly known as CGS-CIMB Securities Sdn Bhd*), Kenanga Investment Bank Berhad, Malacca Securities Sdn Bhd, Malayan Banking Berhad, Moomoo Securities Malaysia Sdn Bhd, Public Bank Berhad, RHB Bank Berhad, TA Securities Holdings Berhad and UOB Kay Hian (M) Sdn Bhd (*formerly known UOB Kay Hian Securities (M) Sdn Bhd*). A processing fee will be

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

charged by the respective Internet Participating Financial Institutions or Participating Securities Firms (unless waived) for each Internet Share Application.

The exact procedures, terms and conditions for Internet Share Application are set out on the internet financial services website of the respective Internet Participating Financial Institutions or Participating Securities Firms.

15.7 AUTHORITY OF OUR BOARD AND THE ISSUING HOUSE

The Issuing House, on the authority of our Board reserves the right to:

- (i) reject Applications which:
 - (a) do not conform to the instructions of our Prospectus, Application Forms, Electronic Share Application and Internet Share Application (where applicable); or
 - (b) are illegible, incomplete or inaccurate; or
 - (c) are accompanied by an improperly drawn up or improper form of remittance; or
- (ii) reject or accept any Application, in whole or in part, on a non-discriminatory basis without the need to give any reason; and
- (iii) bank in all Application monies (including those from unsuccessful/ partially successful applicants) which would subsequently be refunded, where applicable (without interest), in accordance with Section 15.9 below.

If you are successful in your Application, our Board reserves the right to require you to appear in person at the registered office of the Issuing House at anytime within 14 days of the date of the notice issued to you to ascertain that your Application is genuine and valid. Our Board shall not be responsible for any loss or non-receipt of the said notice nor will it be accountable for any expenses incurred or to be incurred by you for the purpose of complying with this provision.

15.8 OVER/ UNDERSUBSCRIPTION

In the event of over-subscription, the Issuing House will conduct a ballot in the manner approved by our Directors to determine the acceptance of Applications in a fair and equitable manner. In determining the manner of balloting, our Directors will consider the desirability of allotting and allocating our IPO Shares to a reasonable number of applicants for the purpose of broadening the shareholding base of our Company and establishing a liquid and adequate market for our Shares.

The basis of allocation of our IPO Shares and the balloting results in connection therewith will be furnished by the Issuing House to Bursa Securities, all major Bahasa Malaysia and English newspapers as well as posted on the Issuing House's website at <https://srmy.vistra.com> within 1 Market Day after the balloting event.

Pursuant to the Listing Requirements, we are required to have at least 25.00% of our total number of Shares for which listing is sought to be held by a minimum number of 200 public shareholders holding not less than 100 Shares each upon our admission to the Official List and completion of our IPO. We expect to achieve this at the point of Listing. In the event this requirement is not met, we may not be allowed to proceed with our Listing. In the event

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

thereof, monies paid in respect of all the Applications will be returned in full (without interest or any share of revenue or benefits arising therefrom) and if such monies are not returned in full within 14 days after our Company becomes liable to do so, the provision of Section 243(2) of the CMSA shall apply accordingly.

In the event of any undersubscription of the IPO Shares, subject to the clawback and reallocation provisions set out Section 4.3.4 of this Prospectus, any of the abovementioned Issue Shares not applied for will then be subscribed by the Underwriter subject to the terms and conditions of the Underwriting Agreement.

15.9 UNSUCCESSFUL/ PARTIALLY SUCCESSFUL APPLICANTS

If you are unsuccessful/ partially successful in your Application, your Application Monies (without interest) will be refunded to you in the following manner.

15.9.1 For applications by way of Application Forms

- (i) The Application monies or the balance of it, as the case may be, will be returned to you through the self-addressed and stamped Official "A" envelope you provided by ordinary post (for fully unsuccessful applications) or by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/ distribution) or if you have not provided such bank account information to Bursa Depository, the balance of Application monies will be refunded via banker's draft sent by ordinary/ registered post to your last address maintained with Bursa Depository (for partially successful applications) within 10 Market Days from the date of the final ballot at your own risk.
- (ii) If your Application is rejected because you did not provide a CDS Account number, your Application monies will be refunded via banker's draft sent by ordinary/ registered post to your address as stated in the NRIC or any official valid temporary identity document issued by the relevant authorities from time to time or the authority card (if you are a member of the armed forces or police) at your own risk.
- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected or unsuccessful or only partly successful will be refunded (without interest) by the Issuing House as per items (i) and (ii) above (as the case may be).
- (iv) The Issuing House reserves the right to bank into its bank account all Application monies from unsuccessful applicants. These monies will be refunded (without interest) within 10 Market Days from the date of the final ballot by crediting into your bank account (the same bank account you have provided to Bursa Depository for the purposes of cash dividend/ distribution) or by issuance of banker's draft sent by ordinary/ registered post to your last address maintained with Bursa Depository if you have not provided such bank account information to Bursa Depository or as per item (ii) above (as the case may be).

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE *(Cont'd)*

15.9.2 For applications by way of Electronic Share Application and Internet Share Application

- (i) The Issuing House shall inform the Participating Financial Institutions or Internet Participating Financial Institutions of the unsuccessful or partially successful Applications within 2 Market Days after the balloting date. The full amount of the Application monies or the balance of it will be credited without interest into your account with the Participating Financial Institution or Internet Participating Financial Institution (or arranged with the Authorised Financial Institutions) within 2 Market Days after the receipt of confirmation from the Issuing House.
- (ii) You may check your account on the 5th Market Day from the balloting date.
- (iii) A number of Applications will be reserved to replace any successfully balloted Applications that are subsequently rejected. The Application monies relating to these Applications which are subsequently rejected will be refunded (without interest) by the Issuing House by crediting into your account with the Participating Financial Institution or Internet Participating Financial Institutions (or arranged with the Authorised Financial Institutions) not later than 10 Market Days from the date of the final ballot. For Applications that are held in reserve and which are subsequently unsuccessful or partially successful, the relevant Participating Financial Institution will be informed of the unsuccessful or partially successful Applications within 2 Market Days after the final balloting date. The Participating Financial Institution will credit the Application monies or any part thereof (without interest) within 2 Market Days after the receipt of confirmation from the Issuing House.

15.10 SUCCESSFUL APPLICANTS

If you are successful in your application:

- (i) Our IPO Shares allotted to you will be credited into your CDS Account.
- (ii) A notice of allotment will be despatched to you at your last address maintained with the Bursa Depository, at your own risk, before our Listing. This is your only acknowledgement of acceptance of your Application.
- (iii) In accordance with Section 14(1) of the SICDA, Bursa Securities has prescribed our Shares as Prescribed Securities. As such, our IPO Shares issued/ offered through our Prospectus will be deposited directly with Bursa Depository and any dealings in these Shares will be carried out in accordance with the SICDA and Depository Rules.
- (iv) In accordance with Section 29 of the SICDA, all dealings in our Shares will be by book entries through CDS Accounts. No physical share certificates will be issued to you and you shall not be entitled to withdraw any deposited securities held jointly with Bursa Depository or its nominee as long as our Shares are listed on Bursa Securities.

15. SUMMARISED PROCEDURES FOR APPLICATION AND ACCEPTANCE (Cont'd)

15.11 ENQUIRIES

Enquiries in respect of the applications may be directed as follows:

Mode of application	Parties to direct the enquiries
Application Form	Issuing House Enquiry Services at telephone no. 03-2783 9299
Electronic Share Application	Participating Financial Institution
Internet Share Application	Internet Participating Financial Institution or Participating Securities Firms and Authorised Financial Institution

The results of the allocation of Issue Shares derived from successful balloting will be made available to the public at the Issuing House's website at <https://srmy.vistra.com>, 1 Market Day after the balloting date.

You may also check the status of your Application at the above website, 5 Market Days after the balloting date or by calling your respective ADA during office hours at the telephone number as stated in the list of ADAs as set out in Section 12 of the Detailed Procedures for Application and Acceptance accompanying the electronic copy of our Prospectus on the website of Bursa Securities.

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APPENDIX I

MAJOR APPROVALS, LICENCES AND PERMITS

No.	Company	Description of certificate / licence / permit	Approving authority	Certificate no./ Registration no./ Licence no./ Permit no./ Reference no.	Validity period	Major conditions imposed	Status of compliance
1.	SIW Manufacturing	Business licence for Simpang Ampat Factory	MBSP	PRI/02/20240621/8109	1 December 2025 to 31 December 2026	Nil	N/A
2.	SIW Manufacturing	Manufacturing licence for waste gas abatement machine and integrated gas system modules and components	MITI	A026182	7 October 2024 until revoked	- Applicable site: No. 25, Lorong Beringin 2, Taman Industri Beringin, 14100 Simpang Ampat, Pulau Pinang. - MITI and MIDA shall be notified of the sale of shares in the company. - The company shall train Malaysians to facilitate the transfer of technology and expertise to all levels of positions. - The company shall have at least RM140,000 of capital investment per employee (CIPE). - The total full-time workforce of the company shall consist of at least 80% Malaysians.	Complied Complied Complied Complied Complied ⁽¹⁾

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APPENDIX I (Cont'd)

No.	Company	Description of certificate / licence / permit	Approving authority	Certificate no./ Registration no./ Licence no./ Permit no./ Reference no.	Validity period	Major conditions imposed	Status of compliance
						produced, released and balance stock of each year signed by the accountant of the company or other authorized officer by the licensee to the customs station before January 31 of the following year.	
						5. Goods stored in the LMW should be arranged and labelled in such to ensure security as directed and for customs inspection.	Complied
						6. Finished goods manufactured in LMW are to be kept separate from raw materials / components or manufacturing waste.	Complied
						7. Disposal of waste including manufacturing waste is subject to the written approval of the State Director of Customs.	Complied
						8. Licensee shall keep and maintain daily records of the quantity of raw materials / components in the store, the quantity used for manufacturing and the stock of finished goods produced.	Noted

APPENDIX I (Cont'd)

No.	Company	Description of certificate / licence / permit	Approving authority	Certificate no./ Registration no./ Licence no./ Permit no./ Reference no.	Validity period	Major conditions imposed	Status of compliance
						9. Application for renewal of a licence shall be made at least one month before the expiry of the licence.	Noted
						10. The Company shall prepare and maintain proper records for a period of 6 months on the details of raw materials / components / parts / finished goods, waste, etc or as determined by the State Customs Director.	Noted
						11. The licensee is required to keep and maintain record on exempted machines and tools for a period of at least 10 years. All machinery and equipment shall not be disposed and removed from the LMW plant without approval from the State Customs Director.	Noted
						12. Only one entity is allowed to operate within the premises of LMW. Any partnership with another entity within the same area is not allowed.	Complied

APPENDIX I (Cont'd)

Note:

- (1) MIDA had on 16 December 2024 announced that this condition will continue to be exempted until the multi-tier levy mechanism is fully implemented, which, as at LPD has yet to be fully implemented.

Save for general registration with ACRA under the CA 1967, SIW Engineering, EcoSys PLT and BHT do not require any major approval, licences and permits for our business operations in Singapore.

Our Group's business or profitability is not materially dependent on any major approvals, licences and permits that is owned by Anhui Group and SIW Taiwan. As our Group holds non-controlling equity interests in Anhui Group and SIW Taiwan, the major approvals, licences and permits owned by these associated companies are hence not within our Group's control and are not relied upon for our Group's operations. Accordingly, such approvals, licences and permits do not constitute major approvals, licences and permits of our Group.

APPENDIX II

INTELLECTUAL PROPERTY RIGHTS

(a) Trademarks

As at LPD, save as disclosed below, our Group has not filed for registration and/or registered any other trademarks (including wordmarks) which are material to our business operation and profitability:

Trademark	Registered owner or Applicant/ Application or Trademark no. or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: SIW Engineering Trademark no.: TM2023016648	Class 11/ Furnaces, other than for laboratory use; Gas burners; Gas scrubbers [parts of gas installations]; Scrubbers [parts of gas installations]; Gas scrubbing apparatus; Regulating accessories for water or gas apparatus and pipes; Heating apparatus for solid, liquid or gaseous fuels	Status: Registered Validity period: 13 June 2023 to 13 June 2033 Country of registration: Malaysia
	Registered owner: SIW Engineering Trademark no.: TM2023016649	Class 37/ Burner maintenance and repair; Furnace installation and repair; Heating equipment installation and repair; Machinery installation, maintenance and repair; Pipeline construction and maintenance; Pump repair; Rebuilding machines that have been worn or partially destroyed	Status: Registered Validity period: 13 June 2023 to 13 June 2033 Country of registration: Malaysia

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: SIW Engineering Trademark no.: 40202312814R	Class 11/ Furnaces, other than for laboratory use; gas burners; gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas scrubbing apparatus; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels	Status: Registered Validity period: 12 June 2023 to 12 June 2033 Country of registration: Singapore
	Registered owner: SIW Engineering Trademark no.: 40202312819Q	Class 37/ Burner maintenance and repair; furnace installation and repair; heating equipment installation and repair; machinery installation, maintenance and repair; pipeline construction and maintenance; pump repair; rebuilding machines that have been worn or partially destroyed	Status: Registered Validity period: 12 June 2023 to 12 June 2033 Country of registration: Singapore
SIW	Registered owner: SIW Engineering Wordmark no.: 6259898	Class 11/ Gas scrubbing apparatus; gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas burners; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels; furnaces, other than for laboratory use; incinerators	Status: Registered Validity period: 14 January 2024 to 14 January 2034 Country of registration: India

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
Ecosys	Applicant: BHT Wordmark no.: 6258954	Class 11/ Gas scrubbing apparatus; gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas burners; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels; furnaces, other than for laboratory use; incinerators	Status: Objected ⁽¹⁾ Validity period: - Country of registration: India
Ecosys	Registered owner: BHT Wordmark no.: 6258953	Class 37/ Burner maintenance and repair; furnace installation and repair; heating equipment installation and repair; machinery installation, maintenance and repair; pipeline construction and maintenance; pump repair; rebuilding machines that have been worn or partially destroyed	Status: Registered Validity period: 13 January 2024 to 13 January 2034 Country of registration: India
	Registered owner: BHT Trademark no.: 2018069720	Class 11/ Gas scrubbing apparatus; gas scrubbers [parts of gas installations] / scrubbers [parts of gas installations]; gas burners; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels; all included in Class 11	Status: Registered Validity period: 24 September 2018 to 24 September 2028 Country of registration: Malaysia

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark no.: 2018069721	Class 37/ Burner maintenance and repair; furnace installation and repair; heating equipment installation and repair; machinery installation, maintenance and repair; pipeline construction and maintenance; pump repair; rebuilding machines that have been worn or partially destroyed; all included in Class 37	Status: Registered Validity period: 24 September 2018 to 24 September 2028 Country of registration: Malaysia
	Registered owner: BHT Trademark no.: 40201819185P	Class 11/ Gas scrubbing apparatus; Gas scrubbers [parts of gas installations]; Scrubbers [parts of gas installations]; Gas burners; Regulating accessories for water or gas apparatus and pipes; Heating apparatus for solid, liquid or gaseous fuels	Status: Registered Validity period: 21 September 2018 to 21 September 2028 Country of registration: Singapore
	Registered owner: BHT Trademark no.: 40201819186Y	Class 37/ Burner maintenance and repair; Furnace installation and repair; Heating equipment installation and repair; Machinery installation, maintenance and repair; Pipeline construction and maintenance; Pump repair; Rebuilding machines that have been worn or partially destroyed	Status: Registered Validity period: 21 September 2018 to 21 September 2028 Country of registration: Singapore

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark no.: 88125652	Class 11/ Gas scrubbers; Gas scrubbing apparatus; Gas scrubbing installations; Heating apparatus for solid, liquid or gaseous fuels; Ignition systems comprised of a gas supply tube with a nozzle and an electrical igniter to create a flame at the nozzle for industrial applications, namely, for igniting waste gases being discharged from industrial stacks and for igniting gas-fired boilers; Regulating accessories for gas pipes and lines; Thermal oxidizers for industrial air pollution control of effluent gases from semiconductor manufacturing operations; Thermal oxidizers for industrial air pollution control; Regenerative thermal oxidizer used to destroy airborne volatile organic compounds, airborne toxins, odors and other air pollutants from industrial operations; Industrial scrubbers for removing particulate matter from the air during industrial processing, namely, gas purifiers, gas scrubbers and wet, dry, thermal, combustion, plasma and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes	Status: Registered Validity period: 14 January 2020 to 14 January 2030 Country of registration: US
	Registered owner: BHT Trademark no.: 88125551	Class 37/ Furnace installation and repair; Heating equipment installation and repair; Installation and maintenance of gas purifiers, gas scrubbers, gas abatement system, and wet, dry, thermal, combustion and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Installation, maintenance and repair of gas purifiers, gas scrubbers, gas abatement system, and wet, dry, thermal, combustion and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Installation, repair and replacement of gas purifiers, gas scrubbers, gas abatement system, and wet, dry, thermal, combustion and/or catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Machinery installation, maintenance and repair; Maintenance and repair of heating installations; Maintenance and repair of burners; Maintenance and repair of gas purifiers, gas scrubbers, gas abatement system, and wet, dry, thermal, combustion and catalytic chambers for the treatment	Status: Registered Validity period: 7 July 2020 to 7 July 2030 Country of registration: US

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application Trademark or Wordmark no.	Class/ Description	Status/ period/ of registration	Validity Country
		of gaseous and liquid effluents from manufacturing processes; Providing information related to the installation, maintenance and repair of gas purifiers, gas scrubbers, gas abatement system, and/or wet, dry, thermal, combustion and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Pump repair; Pump repair and maintenance; Pump repair or maintenance; Refurbishing of gas purifiers, gas scrubbers, gas abatement system, and/or wet, dry, thermal, combustion and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Repair or maintenance of industrial furnaces; Technical support services, namely, technical advice related to the repair of gas purifiers, gas scrubbers, gas abatement system, and wet, dry, thermal, combustion and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Technical support services, namely, technical advice related to the installation of gas purifiers, gas scrubbers, gas abatement system, and wet, dry, thermal, combustion, plasma and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes		
	Registered owner: BHT Trademark no.: 2049918	Class 11/ Exhaust gas (tail gas) treatment equipment; heating elements; exhaust gas treatment devices; heating devices; burners; fuel heaters; combustion-type exhaust gas (tail gas) treatment equipment; industrial air filtration equipment; gas purifiers (components of burners used to treat waste); gas purification equipment; sewage treatment equipment; sewage purification equipment; wet, dry, thermal, combustion, plasma, and/or catalytic exhaust gas (tail gas) treatment equipment	Status: Registered Validity period: 1 April 2020 to 31 March 2030 Country of registration: Taiwan	

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark no.: 2008634	Class 37/ Boiler cleaning and repair; machinery overhaul; machinery installation and repair; repair of worn or partially damaged machinery; machinery installation, maintenance and repair; electrical equipment installation and repair; installation, maintenance, repair, refurbishment and/or disassembly of wet, dry, thermal, combustion, plasma and/or catalytic exhaust (tail gas) treatment equipment	Status: Registered Validity period: 1 September 2019 to 31 August 2029 Country of registration: Taiwan
	Registered owner: BHT Trademark no.: 4015816510000	Class 11/ Gas decomposers, gas scrubbers, gas purification equipment, gas purification devices, filters for gas purification devices, exhaust gas purification devices	Status: Registered Validity period: 3 March 2020 to 3 March 2030 Country of registration: South Korea
	Registered owner: BHT Trademark no.: 4014961990000	Class 11/ Industrial furnaces, industrial furnaces, incinerators for waste treatment, non-laboratory furnaces, incinerators, furnaces for waste treatment	Status: Registered Validity period: 3 July 2019 to 3 July 2029 Country of registration: South Korea

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark No.: 4014890140000	Class 37/ Burner maintenance and repair, furnace installation and repair, heating equipment installation and repair, machinery installation, maintenance, and repair, pipeline construction and maintenance, pump repair, and rebuilding machines that have been worn or partially destroyed	Status: Registered Validity period: 13 June 2019 to 13 June 2029 Country of registration: South Korea
	Registered owner: BHT Trademark No.: 6188121	Class 11/ Gas scrubbing apparatus; Components of the gas generator; Scrubbers [parts of gas installations]; Regulating accessories for water or gas apparatus and pipes	Status: Registered Validity period: 11 October 2019 to 11 October 2029 Country of registration: Japan
	Registered owner: BHT Trademark No.: 6240066	Class 37/ Burner maintenance and repair; Installation and repair of industrial furnaces; Installation and repair of heating systems; Installation, maintenance, and inspection of gas purification equipment, gas cleaning and dust collecting equipment, industrial exhaust gas treatment equipment, and wet, dry, heat-retaining, combustion, and catalyst chambers (dedicated to gas purification equipment, gas cleaning and dust collecting equipment, and industrial exhaust gas treatment equipment) for the treatment of gas and liquid effluent generated in the manufacturing process; Pipeline construction and maintenance; Pump repair; Installation, maintenance and inspection of worn and partially	Status: Registered Validity period: 27 March 2020 to 27 March 2030 Country of registration: Japan

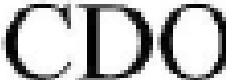
APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application Trademark Wordmark no.	or or	Class/ Description	Status/ period/ of registration	Validity Country
	Registered owner: BHT		broken gas purifiers, gas cleaning and dust collectors, industrial exhaust gas treatment equipment, and wet, dry, insulated, combustion and catalyst chambers for treating gas and liquid leachates generated in the manufacturing process (dedicated components of gas purifiers, gas cleaning and dust collectors, industrial exhaust gas treatment equipment)	Status: Registered	
	Trademark no.: TM2020009460		Class 11/ Furnaces, other than for laboratory use; gas burners; gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas scrubbing apparatus; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels	Validity period: 27 May 2020 to 27 May 2030	
				Country of registration: Malaysia	
	Registered owner: BHT		Class 11/ Furnaces, other than for laboratory use; Gas burners; Gas scrubbers [parts of gas installations]; Scrubbers [parts of gas installations]; Gas scrubbing apparatus; Regulating accessories for water or gas apparatus and pipes; Heating apparatus for solid, liquid or gaseous fuels.	Status: Registered	
	Trademark no.: 40202010898U			Validity period: 26 May 2020 to 26 May 2030	
				Country of registration: Singapore	

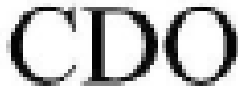
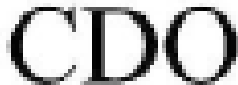
APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
Marathon	Registered owner: BHT Trademark no.: 90069417	Class 11/ Gas scrubbers; Gas scrubbing apparatus; Gas scrubbing installations; Heating apparatus for solid, liquid or gaseous fuels; Ignition systems comprised of a gas supply tube with a nozzle and an electrical igniter to create a flame at the nozzle for industrial applications, namely, for igniting waste gases being discharged from industrial stacks and for igniting gas-fired boilers; Regulating accessories for gas pipes and lines; Thermal oxidizers for industrial air pollution control of effluent gases from semiconductor manufacturing operations; Thermal oxidizers for industrial air pollution control; Regenerative thermal oxidizer used to destroy airborne volatile organic compounds, airborne toxins, odors and other air pollutants from industrial operations; Industrial scrubbers for removing particulate matter from the air during industrial processing, namely, gas purifiers, gas scrubbers, and wet, dry, thermal, combustion, plasma and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes	Status: Registered Validity period: 2 March 2021 to 2 March 2031 Country of registration: US
Marathon	Registered owner: BHT Trademark no.: 2121529	Class 11/ Gas cleaning plant; gas purifier (component of a burner used to treat waste)	Status: Registered Validity period: 16 February 2021 to 15 February 2031 Country of registration: Taiwan

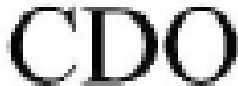
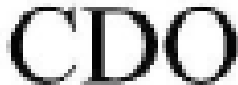
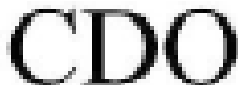
APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark no.: 2189107	Class 11/ Exhaust gas (exhaust) treatment equipment; wet exhaust gas (exhaust) treatment equipment; water-cooled collectors in exhaust gas (exhaust) treatment equipment; filter collectors in exhaust gas (exhaust) treatment equipment; gas reactors in exhaust gas (exhaust) treatment equipment; gas recovery equipment in exhaust gas (exhaust) treatment equipment; water purification equipment; exhaust gas (exhaust) treatment equipment for semiconductor industry waste gas and liquid effluents; combustion-type exhaust gas (exhaust) treatment equipment; dry, thermal, plasma, and catalytic exhaust gas (exhaust) treatment equipment	Status: Registered Validity period: 16 December 2021 to 15 December 2031 Country of registration: Taiwan
	Registered owner: BHT Wordmark no.: 6258955	Class 11/ Gas scrubbing apparatus; gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas burners; furnaces, other than for laboratory use; incinerators	Status: Registered Validity period: 13 January 2024 to 13 January 2034 Country of registration: India
	Registered owner: BHT Trademark no.: TM2020009461	Class 11/ Furnaces, other than for laboratory use; gas burners; gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas scrubbing apparatus; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels	Status: Registered Validity period: 27 May 2020 to 27 May 2030 Country of registration: Malaysia

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark no.: 40202010896Q	Class 11/ Furnaces, other than for laboratory use; Gas burners; Gas scrubbers [parts of gas installations]; Scrubbers [parts of gas installations]; Gas scrubbing apparatus; Regulating accessories for water or gas apparatus and pipes; Heating apparatus for solid, liquid or gaseous fuels.	Status: Registered Validity period: 26 May 2020 to 26 May 2030 Country of registration: Singapore
	Registered owner: BHT Trademark no.: 90069407	Class 11/ Gas scrubbers; Gas scrubbing apparatus; Gas scrubbing installations; Heating apparatus for solid, liquid or gaseous fuels; Ignition systems comprised of a gas supply tube with a nozzle and an electrical igniter to create a flame at the nozzle for industrial applications, namely, for igniting waste gases being discharged from industrial stacks and for igniting gas-fired boilers; Regulating accessories for gas pipes and lines; Thermal oxidizers for industrial air pollution control of effluent gases from semiconductor manufacturing operations; Thermal oxidizers for industrial air pollution control; Regenerative thermal oxidizer used to destroy airborne volatile organic compounds, airborne toxins, odors and other air pollutants from industrial operations; Industrial scrubbers for removing particulate matter from the air during industrial processing, namely, gas purifiers, gas scrubbers, and wet, dry, thermal, combustion, plasma and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes	Status: Registered Validity period: 16 March 2021 to 16 March 2031 Country of registration: US

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark no.: 2121528	Class 11/ Gas cleaning plant; gas purifier (component of a burner used to treat waste)	Status: Registered Validity period: 16 February 2021 to 15 February 2031 Country of registration: Taiwan
	Registered owner: BHT Trademark no.: 4018015190000	Class 11/ Installation and apparatus for treating exhaust gases by chemical processing (namely, chemically reacting harmful gases with suitable reactants, thermal treatment, or separating gases from unwanted/condensable substances), installations and apparatus for igniting, heating, burning, and scrubbing gas, installations and apparatus for cleaning exhaust gases from the semiconductor industry, gas scrubbing apparatus, traps for filtering and condensating exhaust gases by collection or removal of unwanted/condensable substances, gas abatement apparatus for gas scrubbing, gas recovery apparatus for gas scrubbing, wet gas scrubbers (parts of gas installations), integrated gas pumping and abatement apparatus for gas scrubbing	Status: Registered Validity period: 19 November 2021 to 19 November 2031 Country of registration: South Korea
	Registered owner: BHT Trademark no.: 6421658	Class 11/ Exhaust gas treatment equipment (parts of gas purification equipment) by chemical reaction and heat treatment of hazardous gases with appropriate reactive substances or by chemical treatment for separation of gases from unwanted and condensed substances; apparatus for igniting, heating, burning or purifying gases (parts of gas generators); Gas removal equipment (parts of gas purification equipment); Gas scrubbing apparatus; Wet type gas purification system; Traps for filtration and condensation of exhaust gases by collection or	Status: Registered Validity period: 28 July 2021 to 28 July 2031

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application Trademark Wordmark no.	or or	Class/ Description	Status/ period/ of registration	Validity Country of
			removal of unwanted and condensed substances (parts of gas purification apparatus); Gas recovery equipment (parts of gas purification equipment); Gas separation equipment (parts of gas purification equipment)	Country of registration:	Japan
	Registered owner: BHT		Class 11/ Furnaces, other than for laboratory use; Gas burners; Gas scrubbers [parts of gas installations]; Scrubbers [parts of gas installations]; Gas scrubbing apparatus; Regulating accessories for water or gas apparatus and pipes; Heating apparatus for solid, liquid or gaseous fuels	Status: Registered	
	Trademark no.: TM2020009455			Validity period: 27 May 2020 to 27 May 2030	
				Country of registration:	Malaysia
	Registered owner: BHT		Class 11/ Furnaces, other than for laboratory use; gas burners; gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas scrubbing apparatus; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels	Status: Registered	
	Trademark no.: 40202010894X			Validity period: 26 May 2020 to 26 May 2030	
				Country of registration:	Singapore

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ Validity period/ Country of registration
	Registered owner: BHT Trademark no.: 90071269	Class 11/ Gas scrubbers; Gas scrubbing apparatus; Gas scrubbing installations; Heating apparatus for solid, liquid or gaseous fuels; Ignition systems comprised of a gas supply tube with a nozzle and an electrical igniter to create a flame at the nozzle for industrial applications, namely, for igniting waste gases being discharged from industrial stacks and for igniting gas-fired boilers; Industrial scrubbers for removing particulate matter from the air during industrial processing, namely, gas purifiers, gas scrubbers, and wet, dry, thermal, combustion, plasma and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Regenerative thermal oxidizer used to destroy airborne volatile organic compounds, airborne toxins, odors and other air pollutants from industrial operations; Regulating accessories for gas pipes and lines; Thermal oxidizers for industrial air pollution control; Thermal oxidizers for industrial air pollution control of effluent gases from semiconductor manufacturing operations	Status: Registered Validity period: 2 March 2021 to 2 March 2031 Country of registration: US
	Registered owner: BHT Trademark no.: 2205674	Class 11/ Exhaust gas (exhaust) treatment equipment; wet exhaust gas (exhaust) treatment equipment; water-cooled collectors in exhaust gas (exhaust) treatment equipment; filter collectors in exhaust gas (exhaust) treatment equipment; gas reactors in exhaust gas (exhaust) treatment equipment; gas recovery equipment in exhaust gas (exhaust) treatment equipment; exhaust gas (exhaust) treatment equipment for semiconductor industry waste gas and liquid effluents; combustion-type exhaust gas (exhaust) treatment equipment; gas purifiers (components of burners used to treat waste); dry, thermal, plasma, and catalytic exhaust gas (exhaust) treatment equipment	Status: Registered Validity period: 1 March 2022 to 29 February 2032 Country of registration: Taiwan

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application Trademark Wordmark no.	Class/ Description	Status/ period/ of registration	Validity Country
Vector	Registered owner: BHT Trademark no.: 4017901590000	Class 11/ Installation and apparatus for treating exhaust gases by chemical processing (namely, chemically reacting harmful gases with suitable reactants, thermal treatment, or separating gases from unwanted/condensable substances), installations and apparatus for igniting, heating, burning, and scrubbing gas, installations and apparatus for cleaning exhaust gases from the semiconductor industry, gas scrubbing apparatus, traps for filtering and condensating exhaust gases by collection or removal of unwanted/condensable substances, gas abatement apparatus for gas scrubbing, gas recovery apparatus for gas scrubbing, wet gas scrubbers (parts of gas installations), integrated gas pumping and abatement apparatus for gas scrubbing	Status: Registered Validity period: 21 October 2021 to 21 October 2031 Country of registration: South Korea	
Guardian	Registered owner: BHT Trademark no.: TM2020009459	Class 11/ Furnaces, other than for laboratory use; Gas burners; Gas scrubbers [parts of gas installations]; Scrubbers [parts of gas installations]; Gas scrubbing apparatus; Regulating accessories for water or gas apparatus and pipes; Heating apparatus for solid, liquid or gaseous fuels; All the aforesaid goods for the treatment, purification, and disposal of gaseous matter in the semiconductor fabrication field	Status: Registered Validity period: 27 May 2020 to 27 May 2030 Country of registration: Malaysia	
Guardian	Registered owner: BHT Trademark no.: 40202010889X	Class 11/ Furnaces, other than for laboratory use; Gas burners; Gas scrubbers [parts of gas installations]; scrubbers [parts of gas installations]; gas scrubbing apparatus; regulating accessories for water or gas apparatus and pipes; heating apparatus for solid, liquid or gaseous fuels	Status: Registered Validity period: 26 May 2020 to 26 May 2030	

APPENDIX II (Cont'd)

Trademark	Registered owner or Applicant/ Application or Trademark or Wordmark no.	Class/ Description	Status/ period/ of registration Country of registration:
Guardian	Registered owner: BHT Trademark no.: 90071249	Class 11/ Gas scrubbing apparatus; Gas scrubbing installations; Heating apparatus for solid, liquid or gaseous fuels; Ignition systems comprised of a gas supply tube with a nozzle and an electrical igniter to create a flame at the nozzle for industrial applications, namely, for igniting waste gases being discharged from industrial stacks and for igniting gas-fired boilers; Regulating accessories for gas pipes and lines; Thermal oxidizers for industrial air pollution control; Thermal oxidizers for industrial air pollution control of effluent gases from semiconductor manufacturing operations; Gas scrubbers; Industrial scrubbers for removing particulate matter from the air during industrial processing, namely, gas purifiers, gas scrubbers, and wet, dry, thermal, combustion, plasma and catalytic chambers for the treatment of gaseous and liquid effluents from manufacturing processes; Regenerative thermal oxidizer used to destroy airborne volatile organic compounds, airborne toxins, odors and other air pollutants from industrial operations	Status: Registered Validity period: 2 March 2021 to 2 March 2031 Country of registration: US

Note:

- (1) The wordmark application was objected on 25 January 2024 on the grounds that the wordmark submitted is identical with or similar to an earlier wordmark in respect of identical or similar description of goods and because of such identity or similarity there exists a likelihood of confusion on the part of the public. In response, our Group had on 23 February 2024 submitted an appeal. As at LPD, our Group had yet to receive a response from the relevant authority.

APPENDIX II (Cont'd)
(b) Patents

As at LPD, save as disclosed below, our Group has not filed for registration and/or registered any other patents which are material to our business operation and profitability:

Registered owner	Title of invention	Issuing authority/ Country of registration	Filing no. (Filing date)/ Grant no. (Patent issue date)/ Expiry date	Status
BHT	Device and system for decomposing and oxidizing gaseous pollutant	- MyIPO/ Malaysia - MyIPO/ Malaysia - MyIPO/ Malaysia - IPOS/ Singapore - IPOS/ Singapore - USPTO/ US - USPTO/ US - USPTO/ US - USPTO/ US - KIPO/ South Korea - KIPO/ South Korea - CGPDTM/ India - CGPDTM/ India	- PI2020000096 (5 July 2018)/ MY-195067-A (6 January 2023)/ 5 July 2038 - PI2020000097 (5 July 2018)/ MY-194531-A (30 November 2022)/ 5 July 2038 - PI2020000091 (5 July 2018)/ MY-194516-A (30 November 2022)/ 5 July 2038 10202001086W (5 July 2018)/ 10202001086W (8 November 2021)/ 5 July 2038 11202000101T (5 July 2018)/ 11202000101T (8 March 2022)/ 5 July 2038 16/736481 (7 January 2020)/ US 10814271 B2 (27 October 2020)/ 5 July 2038 16/736612 (7 January 2020)/ US 10898853 B2 (26 January 2021)/ 5 July 2038 16/736669 (7 January 2020)/ US 10946334 B2 (16 March 2021)/ 5 July 2038 17/140756 (4 January 2021)/ US 11406934 B2 (9 August 2022)/ 5 July 2038 1020207003872 (5 July 2018)/ 102318517 (22 October 2021)/ 5 July 2038 1020207003869 (5 July 2018)/ 1023083320000 (28 September 2021)/ 5 July 2038 202028006387 (5 July 2018)/ 408990 (12 October 2022)/ 5 July 2038 202028006388 (5 July 2018)/ 409321 (19 October 2022)/ 5 July 2038	- Active - Active - Active - Active - Active - Active - Active - Active - Active - Active - Active - Active - Active

APPENDIX II (Cont'd)

Registered owner	Title of invention	Issuing authority/ Country of registration	Filing no. (Filing date)/ Grant no. (Patent issue date)/ Expiry date	Status
BHT	Device for treating gaseous pollutants	1. MyIPO/ Malaysia 2. MyIPO/ Malaysia 3. MyIPO/ Malaysia 4. IPOS/ Singapore 5. TIPO/ Taiwan 6. KIPO/ South Korea	1. PI2021006923 (18 November 2020)/ MY-213610-A (6 May 2026)/18 November 2040 2. PI2022007381 (8 June 2021)/ - / - 3. PI2022007379 (8 June 2021)/ - / - 4. 11202112200T (18 November 2020)/ 11202112200T (22 September 2023)/ 18 November 2040 5. 109140750 (20 November 2020)/ I741880 (1 October 2021)/ 19 November 2040 6. 1020227000122 (18 November 2020)/ 102823132 (17 June 2025)/ 18 November 2040	1. Active 2. Under examination 3. Under examination 4. Active 5. Active 6. Active
BHT	Apparatus for treating gaseous pollutants	1. MyIPO/ Malaysia 2. IPOS/ Singapore 3. IPOS/ Singapore 4. TIPO/ Taiwan 5. CGPDTM/ India 6. CGPDTM/ India 7. TIPO/ Taiwan	1. PI2022007380 (8 June 2021)/ - / - 2. 10202300523T (8 June 2021)/ - / - 3. 10202300524R (8 June 2021)/ - / - 4. 110120224 (3 June 2021)/ I807334 (1 July 2023)/ 2 June 2041 5. 202328001807 (9 January 2023)/ - / - 6. 202328001808 (9 January 2023)/ 593701 (29 June 2026)/ 8 June 2041 7. 114103181 (23 January 2025)/ I918390 (11 March 2026) / 22 January 2045	1. Under examination 2. Objected⁽¹⁾ 3. Objected⁽¹⁾ 4. Active 5. Objected⁽²⁾ 6. Active 7. Active
BHT	Apparatus for treating gaseous pollutant with plasma	1. MyIPO/ Malaysia 2. IPOS/ Singapore 3. USPTO/ US 4. KIPO/ South Korea 5. CGPDTM/ India 6. CGPDTM/ India	1. PI2022002362 (7 November 2019)/ - / - 2. 11202204723Y (7 November 2019)/ 11202204723Y (4 April 2024)/ 7 November 2039 3. 17/774712 (7 November 2019)/ US 12203651 B2 (21 January 2025)/ 20 February 2041 4. 1020247001600 (7 November 2019)/ 1028726210000 (14 October 2025)/ 7 November 2039 - 5. 202428017412 (11 March 2024)/ - / - 6. 202428017413 (11 March 2024)/ - / -	1. Objected⁽³⁾ 2. Active 3. Active 4. Active 5. Objected⁽⁴⁾ 6. Objected⁽⁵⁾

APPENDIX II (Cont'd)

Registered owner	Title of invention	Issuing authority/ Country of registration	Filing no. (Filing date)/ Grant no. (Patent issue date)/ Expiry date	Status
BHT	Apparatus for treating effluent gas stream	1. MyIPO/ Malaysia 2. USPTO/ US 3. CGPDTM/ India 4. IPOS/ Singapore	1. PI2025001865 (25 March 2025)/ - / - 2. 19/090713 (26 March 2025)/ - / - 3. 202514024507 (19 March 2025)/ - / - 4. 10202500693R (18 March 2025)/ - / -	1. Under examination 2. Under examination 3. Under examination 4. Under examination
BHT	Reactor and apparatus for treating effluent gas stream	1. MyIPO/ Malaysia 2. USPTO/ US 3. CPGDTM/ India 4. JPO/ Japan	1. PI2025003157 (23 May 2025)/ - / - 2. 19/215781 (22 May 2025)/ - / - 3. 202514048498 (20 May 2025)/ - / - 4. 2025086670 (23 May 2025)/ - / -	1. Under examination 2. Under examination 3. Under examination 4. Objected ⁽⁶⁾
EcoSys PLT	Reactor and apparatus for treating effluent gas stream	1. IPOS/ Singapore 2. TIPO/ Taiwan	1. 10202501293V (20 May 2025)/ - / - 2. 114118462 (16 May 2025)/ I907315 (1 December 2025) / 15 May 2045	1. Under examination 2. Active
BHT	Apparatus for treating gaseous pollutant without fuel	IPOS/ Singapore	10202303507P (7 November 2019)/ - / -	Objected ⁽⁷⁾
BHT	Apparatus for treating gas pollutants	IPOS/ Singapore	11202261165W (8 June 2021)/ 11202261165W (21 October 2024)/ 8 June 2041	Active
BHT	Device and system for controlling decomposition oxidation of gaseous pollutants	1. IPOS/ Singapore 2. KIPO/ South Korea	1. 10202001081T (5 July 2018)/ 10202001081T (16 November 2021)/ 5 July 2038 2. 1020207003134 (5 July 2018)/ 102295177 (24 August 2021)/ 5 July 2038	1. Active 2. Active
BHT	Apparatus for treatment gaseous pollutants	USPTO/ US	17/522613 (9 November 2021)/ US 12115496 B2 (15 October 2024)/ 15 June 2042	Active

APPENDIX II (Cont'd)

Registered owner	Title of invention	Issuing authority/ Country of registration	Filing no. (Filing date)/ Grant no. (Patent issue date)/ Expiry date	Status
EcoSys PLT	Reactor for treating gaseous pollutant and head assembly thereof	1. TIPO/ Taiwan 2. TIPO/ Taiwan 3. PCT/ - 4. PCT/ -	1. 112140648 (24 October 2023)/ I876616 (11 March 2025)/ 23 October 2043 2. 112140649 (24 October 2023)/ I893492 (11 August 2025)/ 23 October 2043 3. PCT/SG2023/050720 (27 October 2023)/ - / - 4. PCT/SG2023/050721 (27 October 2023)/ - / -	1. Active 2. Active 3. Under examination 4. Under examination
BHT	Reactor for treating gaseous pollutant and head assembly thereof	1. MyIPO/ Malaysia 2. MyIPO/ Malaysia 3. IPOS/ Singapore 4. IPOS/ Singapore 5. USPTO/ US 6. USPTO/ US 7. CPGDTM/ India 8. CPGDTM/ India 9. JPO/ Japan 10. JPO/ Japan	1. PI2026002394 (27 October 2023)/ - / - 2. PI2026002395 (27 October 2023)/ - / - 3. 11202602430T (27 October 2023)/ - / - 4. 11202602431R (27 October 2023)/ - / - 5. 19/581,119 (23 April 2026)/ - / - 6. 19/581,136 (23 April 2026)/ - / - 7. 202617060451 (12 May 2026)/ - / - 8. 202617060461 (12 May 2026)/ - / - 9. 2026525254 (27 October 2023)/ - / - 10. 2026525247 (27 October 2023)/ - / -	1. Under examination 2. Under examination 3. Under examination 4. Under examination 5. Under examination 6. Under examination 7. Under examination 8. Under examination 9. Under examination 10. Under examination
EcoSys PLT	Device for treating gas pollutants	1. TIPO/ Taiwan 2. PCT/ -	1. 113200289 (3 June 2021) / M657003 (21 June 2024)/ 2 June 2031 2. PCT/SG2021/050330 (8 June 2021)/ - / -	1. Active 2. Under examination

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Registered owner	Title of invention	Issuing authority/ Country of registration	Filing no. (Filing date)/ Grant no. (Patent issue date)/ Expiry date	Status
BHT	Gas pollutant treatment apparatus	JPO/ Japan	2021532355 (18 November 2020)/ 7195439 (15 December 2022)/ 18 November 2040	Active
EcoSys PLT	Gas pollutant treatment apparatus	JPO/ Japan	2022176133 (18 November 2020)/ 7377332 (31 October 2023)/ 18 November 2040	Active
BHT	Device for treating gaseous pollutants with plasma	TIPO/ Taiwan	109123559 (13 July 2020)/ I758779 (16 May 2020)/ 12 July 2040	Active
BHT	Device for treating gaseous pollutants with a plasma	JPO/ Japan	2022505518 (7 November 2019)/ 7357847 (29 September 2023)/ 7 November 2039	Active
EcoSys PLT	Device for treating gaseous pollutants with a plasma	JPO/ Japan	2023087891 (7 November 2019)/ 7676467 (2 May 2025)/ 7 November 2039	Active
BHT	Apparatus and system for controlling decomposition and oxidation of gaseous contaminants	1. JPO/ Japan 2. JPO/ Japan 3. JPO/ Japan	1. 2020522275 (5 July 2018)/ 6968274 (28 October 2021)/ 5 July 2038 2. 2020020446 (5 July 2018)/ 6992100 (10 December 2021)/ 5 July 2038 3. 2020020429 (5 July 2018)/ 7191056 (8 December 2022)/ 5 July 2038	1. Active 2. Active 3. Active
BHT	Gaseous pollutant treatment installation	1. JPO/ Japan 2. JPO/ Japan 3. JPO/ Japan	1. 2024000811 (8 June 2021)/ 3246827 (17 May 2024)/ 8 June 2031 2. 2024000810 (8 June 2021)/ 3246731 (9 May 2024)/ 8 June 2031 3. 202400180 (8 June 2021)/ 3247111 (10 June 2024)/ 8 June 2031	1. Active 2. Active 3. Active
BHT	Apparatus and methods for ambient air abatement of electronic device manufacturing effluent	TIPO/ Taiwan	097136109 (19 September 2008)/ I366482 (21 June 2012)/ 18 September 2028	Active

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Registered owner	Title of invention	Issuing authority/ Country of registration	Filing no. (Filing date)/ Grant no. (Patent issue date)/ Expiry date	Status
BHT	Modular apparatus for treating gaseous pollutants and method of assembling the same	TIPO/ Taiwan	114108562 (7 March 2025)/ I928651 (11 June 2026) / 6 March 2045	Active
BHT	Modular effluent stream treatment apparatus and assembly method thereof	1. MyIPO/ Malaysia 2. IPOS/ Singapore 3. USPTO/ US 4. TIPO/ Taiwan 5. CGPDTM/ India 6. JPO/ Japan	1. PI2026001295 (7 March 2025)/ - / - 2. 10202600693P (7 March 2025)/ - / - 3. 19/556,322 (4 March 2026)/ - / - 4. 115101258 (13 January 2026)/ - / - 5. 202614026588 (6 March 2026)/ - / - 6. 2026036082 (6 March 2026)/ - / -	1. Under examination 2. Under examination 3. Under examination 4. Objected ⁽⁸⁾ 5. Under examination 6. Under examination
BHT	Device for treating gaseous pollutant with plasmas	1. KIPO/ South Korea 2. CGPDTM/ India 3. CGPDTM/ India	1. 1020227017980 (7 November 2019)/ 102694678 (8 August 2024)/ 7 November 2039 2. 202227026197 (7 November 2019)/ 529664 (21 March 2024)/ 7 November 2039 3. 202027001069 (5 July 2018)/ 378798 (7 October 2021)/ 5 July 2038	1. Active 2. Active 3. Active
BHT	Device for treating gas pollutants	CGPDTM/ India	202227072684 (15 December 2022)/ - / -	Objected ⁽⁹⁾
BHT	An apparatus for treatment of gaseous pollutants	CGPDTM/ India	202127053208 (18 November 2021)/ 419349 (27 January 2023)/ 18 November 2040	Active

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Notes:

- (1) The application was objected on 19 September 2024 due to lack of novelty and/or inventive step. In response, our Group had submitted an appeal against the objection on 13 February 2025. As at LPD, we had yet to receive a response from the relevant authority.
- (2) The application was objected on 4 July 2023 due to lack of novelty and/or inventive step. In response, our Group had submitted an appeal against the objection on 2 January 2024. As at LPD, we had yet to receive a response from the relevant authority.
- (3) The application was objected on 28 July 2025 due to lack of novelty and/or inventive step. In response, our Group had submitted an appeal against the objection on 27 December 2025. As at LPD, we had yet to receive a response from the relevant authority.
- (4) The application was objected on 23 March 2026 due to lack of novelty and/or inventive step. As at LPD, our Group is in the midst of preparing an appeal against the objection and expects to submit the same in September 2026.
- (5) The application was objected on 15 April 2026 due to lack of novelty and/or inventive step. In response, our Group had submitted an appeal against the objection on 7 July 2026. As at LPD, we had yet to receive a response from the relevant authority.
- (6) The application was objected on 16 June 2026 due to lack of clarity. As at LPD, the Group is in the midst of preparing an appeal against the objection and expects to submit the same in September 2026.
- (7) The application was objected on 14 April 2026 due to lack of novelty and/or inventive step. As at LPD, the Group is in the midst of preparing an appeal against the objection and expects to submit the same in September 2026.
- (8) The application was objected on 11 June 2026 due to lack of inventive step. In response, our Group had submitted an appeal against the objection on 24 August 2026. As at LPD, we had yet to receive a response from the relevant authority.
- (9) The application was objected on 28 February 2023 due to lack of novelty and/or inventive step. In response, our Group had submitted an appeal against the objection on 24 August 2023. As at LPD, we had yet to receive a response from the relevant authority.

Our Group is unable to estimate the expected timeframe to obtain the relevant approvals in relation to the trademarks and patents which are currently under examination. However, our Group also does not expect the patents under examination to be objected as patent applications relating to similar inventions have been filed and ultimately granted in other jurisdictions. Should the patents under examination be objected, our Group intends to proceed with an appeal against the objection.

APPENDIX II (Cont'd)

In the event the trademarks and patents above are not approved, our Group is of the view that our Group's business and profitability will not be materially affected due to the following:

- (a) Our Group does not solely rely on patent protection as the proprietary process know-how, engineering design capabilities and continuous in-house innovation through R&D carried out to produce our abatement systems are not easily replicable;
- (b) Our Group's core technologies and process expertise involved in producing the abatement systems remain protected as trade secrets which are not publicly disclosed. Our Group has implemented stringent standard operating procedures to prevent unauthorised or unlawful replication of trade secrets including imposing confidentiality and non-disclosure obligations on our employees and suppliers, tracking access to sensitive files, and prohibiting the reproduction and transmission of data by employees to external drives; and
- (c) Our Group's branding (*EcoSys*) has an established market presence in the abatement system industry and is well known by various semiconductor and solar equipment manufacturers over the years, regardless of patent status.

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